

Laurus Labs Ltd. (LAURUSLABS)

Conference call transcripts, oldest-first. 14 call(s). Generated 2026-06-08.

Call: May 2023

May 03, 2023
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Full Year and Q4 FY23 Results conference call hosted on April 27, 2023

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated April 21, 2023 , please be informed that the Results conference call for Full year and Q4 FY23 was hosted on April 27 , 2023 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

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"Laurus Labs Limited
Q4 & Full Year FY '23 Earnings Conference Call"
April 27, 2023

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND CHIEF
EXECUTIVE OFFICER – LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS LIMITED

MR. VIVEK KUMAR –INVESTOR RELATIONS – LAURUS
LABS LIMITED

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Laurus Labs Limited Q4 and Full Year FY '23 Earnings Conference Call, hosted by Antique Stock Broking Limited. As a reminder all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stockbroking. Thank you and over to you sir.

Monish Shah: Thank you, Darwin. Good evening, everyone, and welcome to Laurus Lab's 4Q FY '23 Results Conference Call. We thank the management for giving us the opportunity to host this call.

Today, we have with us Dr. Satyanarayana Chava, Founder and CEO, and Mr. V V Ravi Kumar, Executive Director and CFO.

I will now hand the call over to Dr. Satya for his opening remarks. Thank you, and over to you, sir.

Satyanarayana Chava: Thank you, Monish. Thank you all of investors joining us for our Q4 and full year FY '23 Results Conference Call. We are pleased to have this opportunity to update you on our progress and answer your questions. FY '23 has been a year of significant achievements and meaningful progress for Laurus Labs in light of a challenging environment globally. Our R&D driven manufacturing strategy across our key growth pillars did very well. And I'm glad that our team has delivered on several scientific and operational milestones. We are on track with our diversification roadmap and executing on opportunities ahead of us today and at the same time focusing on what matters for the long term.

Some of these initiatives have started giving results, especially in our CMO and CDMO business. We made significant progress in FY '23, advancing our scientific capability in offering several key technologies to global customers, including access to technologies like continuous flow chemistry at lab and commercial scale, bio-catalysis, continuous chromatography, Enzymes development and manufacturing, precision fermentation, just to name a few.

We secured an important breakthrough with a major big pharma, with record delivery of a large purchase order. We have several pipeline projects from big and medium-sized discovery companies. Revenue from animal health products expected from second half of FY '24. We also made important internal success with broadening pipeline products, collaborations, process efficiencies, innovative drug product platforms, new sterile lab and qualified new capacities for commercial APIs and intermediate production. We are confident in the underlying demand for our portfolio and making efficient use of strongly linked technology platforms, customer centricity and manufacturing excellence to seize new business opportunities and widening our target markets across human health, animal health, agrochemicals and consumer health.

We wanted to provide you an update on our strategy collaboration with cell and gene therapy platform company, ImmunoACT. They're making very good progress and our investment has

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supported establishing a state-of-the-art GMP CAR-T cell therapy facility in Mumbai. They also initiated a Phase 2 for HCAR-19 in lymphoma and Leukemia post, positive Phase 1 data. We'll continue following our disciplined approach to investments in disruptive technologies and we will act when scientific opportunity and value align together.

We have remained focused on the long-term growth and success by delivering on existing capex projects. Throughout FY '23, we invested heavily into strategic growth objectives. We have increased our API/Drug substance capacities by 30% during FY '23. And these capacities

are in

various stages of ramp-up for commercial production. Our CDMO investment to capture high value opportunity is also progressing very well. We're entering FY '24 with greater confidence that we're creating a sustainable engine that will bring greater business resilience and generate

long-term sustainable value to our stakeholders.

Moving on to our financial results, despite the challenges in the business environment, the company achieved strong growth in revenues by 22% to INR6,041 crores and an EBITDA of close to INR1600 crores, INR1,594 crores precisely, delivering a margin of 26%. The growth we experienced in FY '23 reflects fundamental strength of our key growth pillars, CDMO, generics, other than anti-retroviral. The strong growth was after taking into account unexpected and severe pricing-led impact in ARV formulations as well as APIs. We believe these began to stabilize. Our Q4 results were challenging driven by completion of material purchase order supplies last quarter and higher upfront cost on growth projects.

We reported INR1,381 crores in revenues, representing a 4% revenue decline. If you look at from FY '18 to FY '23 overall, we had a strong cumulative performance. We delivered diversified business growth, strong double-digit sales growth of 25% CAGR and EBITDA margin improved by over 500 basis points. In the period FY '18 to FY '23, share of non-ARV business improved from 27% to 60%. That was a big achievement for us.

Going into detailed performance update, I would like to share key updates on our formulation business. In line with the expectation, our formulation division continued to recover sequentially and reported overall revenues of INR1,140 crores for full year. But it declined almost 40% versus FY '22. The year-on-year sales were impacted mainly due to severe price fall and soft demand of ARV formulations. We remain intensely focused to stabilize ARV business throughout FY '24 and beyond while navigating pricing headwinds created by the competition. We have successfully implemented several measures around expansive portfolio and cost improvements. We believe these measures will sufficiently ensure our market readiness and confidence of sustaining our leadership in first-line ARV treatment, both in APIs as well as formulations. Coming to the developed market, we continue to perform well across our portfolio, despite higher competitive intensity. During FY '23, we filed 13 dossiers in the developed markets, six in US, four in Europe and three in Canada. In US, we continue to get good market share on select products and also increasing volumes for our recently launched products. During Q4, we filed one ANDA, taking the total filing to six for FY '23. Cumulative, we have 37 ANDAs, of which we have a total of 14 final approvals and 12 tentative approvals. We continue to have a diverse

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portfolio of products, including 505b(2) products and ARVs, cardiovascular, CNS and GI products.

In Canada, we filed one product during Q4, taking the total of 20 filings. Of those, we got 13 approvals and nine were launched. We expect to launch three more during FY '24. In the EU, we have a basket of 12 approved products, out of which six were launched. We continue to deepen our contract-manufacturing relationship throughout FY '24 and anticipate more volumes in the coming quarters.

During the year, we invested significantly into expanding our non-ARV formulation infrastructure with a total commission capacity of 10 billion units. We anticipate that some of these brownfield capacities that we added during this year should start to get better utilized during FY '24, as we begin to see better demand visibility in ARV business, CMO portfolio and key product approvals across US, Europe and Canada.

On the R&D front, our overall R&D spend to sales was about 3.5%. We continue to make

good

progress and invest in portfolio with product-specific approach based on complexity and economies of scale. During FY '23, we filed our first NDA for novel HIV-pediatric product using oral dissolving films technology. We intend to maximize the opportunity by leveraging this platform to create innovative pipeline in our other therapeutic areas. Our sterile R&D labs, which got commissioned during mid-2022, is already working on several priority projects. We have a total of over 60 products in R&D pipeline, either under review or under development, having addressable market size of over \$40 billion.

We have filed so far 37 ANDAs in US, 15 dossiers in Europe, 20 in Canada, nine with WHO, seven dossiers in South Africa, one dossier in Australia, 20 dossiers in India and 23 products filed in various ROW markets. As we explained multiple times, our approach remains product-specific, not market-specific.

Going to generic API, our generic API division during FY '23 reported strong and all-round growth of 28% to INR2,609 crores, supported by continued CMO opportunities in API as well as healthy growth in non-ARVs, as well as Oncology APIs. Our antiviral API business delivered 21% growth and we achieved INR1,513 crores. This growth was partially due to low base effect, which was impacted by channel destocking. We continue to maintain a leading market share in the current product line. ONCO API business reported a growth of 10% during FY '23 at INR318 crores. Q4 saw strong recovery following uptake in one of the key products.

As all our stakeholders are aware, Laurus Labs has one of the largest high-potent API capacities in India and our aim is to strengthen this further by partnering with global companies. Non-ARV, non-ONCO business also did very well, which includes cardiovascular, diabetes and asthma products. We have seen steady ramp-up of these products for the quarter and full year of FY '23. During Q4, this segment reported INR230 crores sales, growing about 38% year-on-year. While FY '23, the growth is robust at more than 50%, supported by continued ramp-up in new contract supplies. In Q4, we filed two DMFs. In the full year, we filed six DMFs, all are in non-ARV category. With this total number of DMFs filed today is 79. We are also working with Laurus Labs Limited

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a few more generic customers for CMO opportunities and some of them are in very advanced stage of implementation.

During the year, Synthesis Business recorded a sales of INR2,167 crores, representing an increase of over 136% year-on-year. This growth was driven by high-quality delivery of a large order on time and accelerated demand from existing and few projects from new customers. We have further strengthened our partnership and signed several new clinical-stage projects with a few big pharma customers. We continue to work on over 60 active projects and ongoing commercial supplies for about 10 products, including few APIs as well as several advanced intermediates. As indicated earlier, we are making good progress on new sites for CDMO division, both R&D center as well as manufacturing facility for animal health. New sites will have capabilities to handle steroids, hormones and high-potent molecules apart from large-volume products. Commercial GMP manufacturing of animal health products will begin during the second half of FY '24.

Going on to Laurus Bio, Bio generated a full year reported strong growth of 25% at INR125 crores for the entire year. The growth was driven by substantial increase in the uptake of CDMO business. During FY '23, we have enhanced technical expertise on biocatalysis to promote application of these in small molecule manufacturing, which will strengthen our offering in APIs and CDMO segment. We have completed scheduled expansion at R1, including new R&D block along with balancing downstream equipment. And our

new capacity implemented in R2 is in the ramp-up phase with large-scale CDMO partners.

New greenfield site at R3 is in design finalization phase. We expect expansion to happen in a phased manner. This site should further strengthen Laurus Bio capabilities in offering CDMO services in animal-origin-free proteins, growth factors, apart from large-scale precision fermentation. We believe global opportunity in alternate food proteins is an exciting phase and our focus is to have the right scale, cost and functionality. This will drive our technology differentiation.

Now let me turn on to our FY'24 outlook. While we continue to focus on operational excellence and evolving R&D platform, we anticipate FY'24 to be a consolidation year of sales growth. As mentioned before, we are working on several new projects from Big Pharma and a meaningful contribution from these products likely to happen in the medium term. Also new capacities invested during FY'23 is expected to get optimally utilized towards second half of this year.

With that I will hand over this to Ravi to share some financial highlights.

V V Ravi Kumar: Thank you Dr. Satya and a warm welcome to all the participants for our FY'23 and Q4 earnings call. Total income from operations for the full year is at INR6,041 crores against INR4,936 crores with a growth of 22%. During the quarter INR1,381 crores registered as revenue against INR1,425 crores with a decline of 3% year on year. The gross margin for the full year was moderately down to 54.1%. This is largely due to significant price fall in ARV portfolio and change in product mix.

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Our EBITDA for FY'23 is at INR1,594 crores with margins at 26% whereas for the Q4 it was 21% with INR287 crores. For FY'23, the business mix had positively contributed as margin pressure in ARV business got materially offset by increase in CDMO/CMO business but the negative operating leverage on new capacity commission and higher inflation impact led to the margin fall compared to the last year.

We are working on several initiatives around productivity and cost improvement to manage its impact in FY'24. We are using three-pronged strategy. One is on the raw material price improvements. Second is on the process improvements. Third is on the in-house manufacturing of some of the intermediate for ARV. These three we expect the impact will be minimized in

FY'24. Our diluted EPS for FY'23 is INR14.6 with a decline of 5%. Our return on capital employed is at 23.1 % versus the 26.3%. We have been able to manage it well due to better net working capital management when compared to the Mar ch 22 numbers.

On the capex front, we are in line with INR2,000 crores guidance for the two years, FY'23 and FY'24. INR990 crores was spent on the capex side in FY'23. In FY'24, our majority of our capex is on synthesis and bio. And almost INR800 crores, we are trying to invest into the synthesis business. And the capex investment made in FY'23 will start generating revenue from the second half of FY'24.

With this, I would request the moderators to open lines for the Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Ravi Agarwal from Agarwal Investment. Please go ahead.

Ravi Agarwal: Yes, sir. Namaste. Sir, my question is, what type of growth do you see India as a key supplier of API or intermediates when we consider energy crisis in Europe due to war situation or any other region? Whether due to energy crisis in Europe, many plants are cutting for API and it will be create an opportunity for companies like Laurus in India?

Satyanarayana Chava : The energy crisis in Europe will definitely make cost of manufacturing higher. And if you look at the opportunities for companies like Laurus Labs, it will be in intermediates and APIs, not in the large volume products like specialty chemicals and

other performance chemicals. For that

opportunity to be captured, people need to have capacity. If you look at, Laurus Labs invested almost INR1,000 crores in the last year to see such kind of opportunities.

If you go to companies who wanted to look for contract manufacturing, if some company says please give me contract and I will put up capacities and it will take 15 to 18 months to set up capacities. So Laurus is well positioned to take such advantage and we are seeing some opportunities like that what you have mentioned, Ravi.

Ravi Agarwal: Okay, sir. Sir, one more question. What type of competency in C DMO we have when we compare our company with Lonza or Samsung Biologics or Syngene? Because we have heard from Samsung Biologics that they are opening the fifth plant for bio manufacturing. So, what type of competency we have as we compare to other companies?

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Satyanarayana Chava : We are not into recombinant or bio CMO right now. So, our Laurus Bio is not into therapeutic proteins. Our Laurus Bio is into enzyme manufacturing, food protein manufacturing, not into therapeutic protein manufacturing as yet. So, we are not offering recombinant Mabs for therapeutic use as of now.

Moderator: The next question is from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda: Good evening. Thank you so much for your time. I just wanted to understand a couple of things. Firstly, you have been mentioning about, we are front-loading some costs because we are adding new capacity. Could you quantify broadly how much is the upfront cost which is not generating big revenue at this point?

V V Ravi Kumar: We can give you how much capacity is not utilized but we will not give you how much cost we are front-loading. But one standard principle what we followed since inception, the pre-operative cost of any capacity which is coming online until commercialization is expensed, not even a single dollar is capitalized. Currently, for example, Q4, we have utilized our capacities between 55 and 60 percent. So, lot of spare capacity is available right now for us to seize any opportunities.

Madhav Marda: Okay. And our plants can potentially run at 100% or is the peak utilization like 85%? How does it work in our industry?

Satyanarayana Chava: It is about 85%.

Madhav Marda: 85%. Okay. And then just the second question which I had was if you could just talk about the opportunities that we are seeing from like you mentioned just in the previous question about opportunities coming from Europe, we won the animal health contract which starts in second half. Is there any more such contracts which could potentially win in the next one year? Just wanted to understand your thought process if you could give us an idea.

Satyanarayana Chava: We have several programs in Phase 2, Phase 3 but we do not know how many of those will advance into commercial. So, we have no control and typically we do not get a contract for future supplies until the molecule moves into commercial phase. There are several programs we have and good thing is we have capacities to capture those opportunities if they move into commercial phase.

Madhav Marda: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Nishant Shah from Emkay Global. Please go ahead.

Nishant Shah: Yes. Hi, sir. Thanks for the opportunity. So basically, my question is, is there any one-off in the

revenue ?

Satyanarayana Chava: One of the large contracts we executed with Big Pharma, we have not considered any sales in FY'24. Okay.

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Nishant Shah: And what was the quantum?

Satyanarayana Chava: We cannot give you a number. We have not disclosed. Thank you.

Nishant Shah: Okay. Another question is on the outlook. What is your outlook on the near term and t

he long

term? And you are talking of the cost improvement and the technology improvement, ongoing projects and pipeline and the new growth launches. Will you be able to maintain the 25% CAGR growth that you are saying and any new addition of the geographies?

Satyanarayana Chava: Our growth will come from capturing more opportunities with the existing partners. We are not anticipating growth coming from new geographies.

Nishant Shah: Okay. And is there any line item in the revenues which have occurred in this year or in this quarter that will not be a part of the next year or the future revenues?

V V Ravi Kumar: No, Nothing

Nishant Shah: Yes. Okay. And the last question is if we are seeing the slowdown in the US and there are news of US may go into a recession, what kind of incremental impact that can be seen on the company?

Satyanarayana Chava: Our generic sales in US is not significant for us to get impacted.

Nishant Shah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed: Good evening. Thanks for the opportunity. The 60% quarter on quarter growth that we've seen in the FDF business, trying to understand how much of that has come from ARV formulations versus the exports to US and Europe. So, if you could share the ARV formulations number for the quarter and the exports?

Satyanarayana Chava: In the Q4, we did INR393 crores sales in formulations. Out of that, the ARVs is, I would say 60% is ARVs and the rest is non-ARVs.

Harith Ahamed: Okay. And going forward for the overall ARV business, in the past year, there's been guidance of around INR2,500 crores of revenues for the API plus the FDF ARV combined. Are we maintaining that number for FY'24 and beyond?

Satyanarayana Chava: Yes. We will definitely maintain that number in FY'24 and beyond.

Harith Ahamed: Okay. And in the presentation, you mentioned that you completed supplies under the last purchase order in December 22. While Pfizer has talked about continuing or are guided for fairly large revenues from the product in CY23 as well. So, can we expect further orders under this partnership in future?

Satyanarayana Chava: We don't know and we have no knowledge on that, how things will move.

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Harith Ahamed: Okay. Last one, with your permission. LSPL unit -3 and unit -4, how should we think about the timeline for commissioning of those two capacities?

Satyanarayana Chava: See, LSPL -Unit 2 will be for animal health that will go into commercial production second half of FY24. And LSPL Unit 4 is for agrochemical where we already have a pilot plant for registration batches. And commercial production will happen maybe by second half of FY25.

Harith Ahamed: Okay. And we've have had a couple of years of close to INR1000 crores of capex and we are guiding for the number in FY24. How should we think about capex beyond FY24? Will there be a reduction in the capex intensity in the business?

V V Ravi Kumar: I think we'll take another quarter to give a guidance on FY25. We are working on that. Probably, maybe lesser than what we are spending in the current year and the next year. It all depends on what opportunities will come for us. See, if opportunities are there, we are happy to invest. See, two years back we never thought we will invest INR2000 crores in capex. But we are investing because there is a visibility for us what to make, how much to make, to whom to sell.

Harith Ahamed: Yes. All right, sir. That's all from my side. Thank you for taking my question.

Moderator: Thank you. The next question is from the line of Bino Pathiparampil from InCred Capital. Please go ahead.

Bino Pathiparampil: Hi. Thanks for taking my question. Just a couple of clarifications. So, when you say FY24 is a consolidation year, can we assume that it is like

broadly a flat year for the revenue level?

Satyanarayana Chava: I think you can think that way because we were saying flat year, despite not having that large contract in FY24, we still maintain or grow slightly over FY23. It's a big achievement. So, we are not giving any quantitative guidance. We can only assume it will be flattish despite not having that large contract. We will still grow over previous year. It is a good achievement.

Bino Pathiparampil: Understood. And the 4Q EBITDA margin level, is that a good base to work with? I'm not looking for any specific number for FY24, but generally is that a good reference point for us to work forward?

Satyanarayana Chava: I think we will get back to you in appropriate time. Maybe our Q1 and Q2 results will give you some guidance on which direction we are going in the margin, but we can assure you our EBITDA margin will not go below 20-21%.

Bino Pathiparampil: And sir, I see that you have adopted the new policy for tax. So, what would be your reported tax rate for FY24?

V V Ravi Kumar: 25.17 %. We are moving to new regime.

Bino Pathiparampil: So, it will be 25 % Great. Thank you. I'll join back in the queue.

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Moderator: Thank you. The next question is from the line of Jeevan Patwa from Sahasrar Capital. Please go ahead.

Jeevan Patwa: I have a long question. This time...

Moderator: Sorry to interrupt the line for you is a little muffled.

Jeevan Patwa: So, I'm basically saying this quarter formulation and API has picked up very well, but CDMO is actually much below expectations. So, is there any kind of deferment of shipment or anything?

Satyanarayana Chava: No, no, there is no deferment of shipment, Jeevanji. We delivered what orders we were supposed to deliver in Q4. Nothing was deferred.

Jeevan Patwa: Okay. Because even if I look at the whole year and if I just remove large product delivery, one time delivery, then the CDMO still year-on-year doesn't look any growth.

Satyanarayana Chava: CDMO, you can't have a flat straight line, so it will be depending on what customer needs what to deliver. So, it will be a little bit bumpy sales you can expect in CDMO, not just for us, but any customer.

Jeevan Patwa: Sure. And secondly, the gross margin has actually dipped below 50% this time. So, I'm asking this since last two, three quarters, I think. But I'm still not able to understand the gross margin trajectory has been down since last few quarters. So, earlier, there was a large CDMO, the gross margins were almost 57-58%. Then CDMO percentage was same, but still gross margin actually came to almost 54% and 53%, and now it is below 50%. So, this kind of gross margin you think we can assume actually going forward? Is it 50% to 53% is a good, consistent, sustainable gross margin we can assume?

Satyanarayana Chava: You see, the gross margin impact was mainly due to depressed pricing in ARV APIs and formulation. As we implement some measures in process improvements, manufacturing cost improvement, purchase pricing improvement, these margins will improve. I will not give a quantitative number how much will improve, but definitely margins will improve.

Jeevan Patwa: Okay, perfect. And the last question is on the formulation side, any guesstimate on how much will be our utilization on a billion-tablet basis? So, how much will it be right now and how much you think it will be at the end of the year?

Satyanarayana Chava: Currently we are around 50% capacity utilization out of 10 billion. We expect that will go to 70% by end of FY24.

Jeevan Patwa: Okay, perfect sir. Thanks a lot.

Satyanarayana Chava: Thank you.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

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Tushar Manudhane: Sir,

just on your guidance of FY24 remaining stable compared to FY23 in terms of the overall financial performance. So will that be spread across four quarters hence we are considering that fourth quarter FY23 we had INR100 crores PAT. So, should one expect rebound in Q4 FY24 onwards or that will be more back ended as the animal health contract picks up second half of FY24? That's my first question.

V V Ravi Kumar: Tushar, actually we don't want to give a guidance on the quarterly basis. Actually, on the annual basis whatever Dr. Satya had indicated that is based on annual.

Tushar Manudhane: Okay. Secondly on this formulation capacity, while we had good number of ANDAs filed over

past couple of years but not seen good traction at least on the US generic side. So, this new non-ARV formulation, where do we see the business prospects from. Is it more from ANDAs or is it more from the customer specific contracts?

Satyanarayana Chava: Significant growth in formulations in non-ARV will come from contract manufacturing. And also increased sales in US and Canada.

Tushar Manudhane: Okay. Thank you. That's it from us. Thanks

Satyanarayana Chava: Thank you.

Moderator: Thank you. We have the next question from the line of Gaurav Singhal from Aspex Management Hong Kong Limited. Please go ahead.

Gaurav Singhal: Hi. Thanks for taking my question. So one is, can you share how many projects you have in phase 3 for the CDMO project or for the CDMO segment or any other color on phase 3 that you are working on?

Satyanarayana Chava: We are only giving the total number of active projects over 60. We are not giving the detailed breakup of how many in phase 1, phase 2, phase 3.

Gaurav Singhal: Okay. No worries. And then secondly, on the slide that you have for FY24 outlook, you mentioned that one of the negative factors is lower prices for ARV, API and FDF. So, are you suggesting that the prices in FY24 can be lower from Q4? Because my impression was that ARV, API prices, for example, are already stabilized and also on the FDF we got this global contract, which the price is kind of known. So, maybe if you can share some thoughts on why you feel prices can be lower at the end of FY24?

Satyanarayana Chava: We don't expect the prices will be lower when compared to Q4 to Q1 FY24. We are not expecting that. We believe the ARV prices were bottomed out.

Gaurav Singhal: I see, so it's more for full year FY24. Got it. And just one last thing. On this global fund project for the ARV formulation, when do we expect to start the shipment and what can be the guidance on the ramp-up?

Satyanarayana Chava: That shipment is started already.

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Gaurav Singhal: And sorry, just one more if I may. On the large project in CDMO, did we have any contribution of that in Q4 or did we have no contribution in Q4?

Satyanarayana Chava: No. The large order what we delivered has no contribution in Q4.

Gaurav Singhal: Got it. That's very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Bharath from Quest for Value Capitals. Please go ahead.

Bharath: In the presentation, I see there is a new Greenfield Unit 9 in Hyderabad. May I know how much Billion Tablet capacity is that?

Satyanarayana Chava: So that capacity we purchased land, but we haven't started construction of formulation facility in Hyderabad. The first facility will come up in that site will be sterile commercial manufacturing and then followed by oral solid manufacturing.

Bharath: Okay. Thank you. Because in Vizag, I think we have, we have all the civil structures ready and then if we just add the lines, I think we could increase the capacity from 10 billion to 15 billion, I guess.

Satyanarayana Chava: 15 billion, you're absolutely right. So that is the reason the new formation capacity will come up in Hyderabad will be for sterile

commercial manufacturing, not for oral solids.

Bharath: Okay. Yes. Thank you. Thank you very much. And my second question is like this is more on the long term. I want to know your vision, like five years down the line, may I know like how you see the product mix changing? May know how much could be the share of CDMO and bio together combined five years down the line?

Satyanarayana Chava: Very interesting question. Yes. So, this year, which is on discussion FY23, our CDMO revenue was 36%.

Bharath: CDMO and bio in five years should be 50% maybe?

Satyanarayana Chava: 50% okay. That's only a broad number.

Bharath: Yes. Got it. Yes. That comes to my next question. Like we have many divisions now, if you see we have human health CDMO, we have animal health CDMO, we have agro CDMO, we have bio, we have generic FDF, we have ARV as well. So, I just want to know like, do you think you have enough management bandwidth to manage all these divisions?

Satyanarayana Chava: Here in the CDMO, how we define is part of CDMO or not. We are selling any product where technology comes from the partner and sell it to only one, that's CDMO for us. So, there is no technology risk, there is no market risk, there is no pricing risk because all those are predetermined. So, our management bandwidth is only in the manufacturing space, not in the business development space or procurement space. That's easy business to handle for us.

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V V Ravi Kumar: We have enough management bandwidth at this juncture, we have been reviewing on a periodical basis and as, and when necessary, we induct more people into the system.

Bharath: Okay. And when you say that you want to expect for 50% of share from CDMO and bio in five years from now, so it means I understand that the management focus is more towards CDMO than generic.

Satyanarayana Chava: It's not focus. See, if you look at the investor presentation, what we posted, the revenues coming from non -ARV has gone up significantly.

V V Ravi Kumar: I'll just add one point. Yes. Here in your question, there is an answer. So, when you say 50% to the CDMO and bio, the 50% is generic. It is not that we have an equal focus.

Bharat Sheth : Okay. Thank you. Thank you very much. Yes. That's it from my side. Thank you. Thank you.

Moderator: Thank you. The next question is from the line of Monish Shah from Antique Stock Broking.

Please go ahead.

Monish Shah: Actually, my questions are answered. Thank you.

Moderator: Thank you. The next question is from the line of Neha Agarwal from SageOne Investment Managers. Please go ahead.

Neha Agarwal: Thank you so much for taking my question. Dr. Satya, you guided for FY24 revenue growth and the large base of FY23. Just want to understand the growth guidance is also in terms of profitability or is it more of top line growth that you are more confident about?

Satyanarayana Chava : We'll give you more guidance as we declare results in Q1 FY24 and Q2 FY24. So, we can't give you more granular details right now.

Neha Agarwal: Not only looking at numbers here but if you could just suggest whether this is in terms of top line or bottom line.

V V Ravi Kumar : Gave guidance on the top line.

Neha Agarwal: Okay. Okay. Thank you. And another question from my side would be the capex that we did in the last two years FY22, 23 and then the plan that we have for FY24 all put together close to say INR2,500 crores to INR3,000 crores. In how many years subsequently do you think we could achieve full utilization of those capex?

Satyanarayana Chava : I think the current capacities will be fully utilized by FY25. And I'm sure FY25 will put more capex to increase the capacities. See if you don't increase the capacities the growth opportunities are also limited. So, we need to continue to invest. See if you look at we added 30% API capacity in the last 12

months and we added 50% more capacity in formulation in the last 24 months. So that's a significant improvement in capacity.

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Neha Agarwal: So, you're suggesting the capacity put up so far at least for that we are expecting to be utilized .

Satyanarayana Chava: Yes.

Neha Agarwal: And just one last question if I may from my side, sir out of the 60 plus active projects that we have currently in the synthesis side, any new projects that we are expecting to go commercial in FY24 just on the expectations side?

Satyanarayana Chava: I'm sorry we can't give you those kinds of details but see if we broadly mentioned we are putting capacities what to make, how much to make, whom to sell at least there is clarity. Yes.

Sneha Agarwal: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Arun from Nuvama. Please go ahead.

Arun: Hi, sir. My question related to two parts. One is that your CDMO business. I'm in your CDMO page in your PPT which you have released. If you look at your CDMO business is doing INR200 crores on an average if you exclude whatever the number are. So just trying to understand that if you look at even five quarters your CDMO business remains in same level like INR200 crores per quarter. And what is the guidance you are giving for this business because it has a very high base and to matching that high base it will be very difficult even to achieve the same kind of number in FY25. Am I correct or you have some different view?

Satyanarayana Chava: I can't comment on your views. Your views we appreciate. But we feel since we are investing to capture opportunity of CDMO we see opportunities to grow. If we remain at INR200 crores, INR250 crores per quarter and there is no need for us to invest.

V V Ravi Kumar: But you need to look at how the year on year it has grown. So, it was INR500 crores couple of years back. It moved from INR500 crores to INR900 crores. The only one I can say one point of view is you always say that on e-off but the kind of mileage we get from the execution of the contract we will not give any credit. So, as we are indicating repeatedly for last four to six quarters, we are bullish on CDMO. We still bullish on CDMO. We can't give more specifics to this but maybe over a period of time you can see the numbers.

Arun: So, sir you said that we are investing and therefore we are very confident that this what I can get from your words right we are investing if the number will be remain INR200 crores then we should not have been investing. But if you look at your investment in last two years you have almost invested like INR3,000 crores, INR2, 500 crores and I presume that most of the business has gone to CDMO. If I do any kind of calculation and if you are utilizing in 50 60 percent, it is not even matching your one-time asset to turn over. If I exclude your one-off number. We can discuss it offline.

V V Ravi Kumar: But I just give a glance and then we can discuss offline any point of time Arun. If you look at the INR2,000 crores investment we never said it was invested for CDMO business. What we are saying is we are going to invest INR800 crores into the CDMO business in FY24 and those kinds

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of results you will see in the next FY25 onward. So, we can discuss further on this if you have any clarification or offline. Thank you.

Arun: My question is related to guidance sir, if you look at your 5-quarter guidance just last 2-3 quarters you tone down your guidance that you will not be able to achieve 1 billion dollar. I can understand that there are lot of uncertainties in business. But this is humble suggestion that when you guide something you should have some kind of margin of safety for that. Even if you look at this year, whatever I can infer from your word, you are saying that i

n FY24 you will be

probably a flat. If you do any kind of calculation, even you said that your FDF business which is that fixed, I mean your generic business in US will not see any kind of competitive pressure. You answer for certain very specific question which was that recession related. I can understand that recession may or may not. But in India or anywhere in the world, no generic company can guide that our business will not see any kind of pricing pressure. And you have done extremely well in last 12 to 15 months. So, this is my humble suggestion that when you are speaking with lot of investors, at least 1,000 people are listening to you. At least have some kind of margin of safety when we speak as far as the guidance is concerned.

Satyanarayana Chava : Arun, thanks for your suggestion. What I mentioned, our formulation revenue coming from US is not that large to get impacted. That is the comment I made. I think Ravi wants to make some comment.

V V Ravi Kumar: Arun, here we never gave any quantitative guidance till we gave a billion dollar. Of course, our investor friends also make some kind of provocative approach, in the sense not in negative way, positive way, what you will do, how you will do. Then one of the point actually we said billion dollar. In the next quarter when we came to know that the billion dollar is not going to happen, we gave a revised guidance and we are on par with our revised guidance. In our investor presentation also we mentioned that. So, we are cognizant of what we speak. It is not that we know, we are well aware, many people are watching us and we are also aware that how the performance has been improved for several quarters, not one quarter or two quarters and we also know that how we have been built the organization. So, in a 16 year time we have invested INR5,500 crores into capex. We have 6500 families have been working for us. So, we are very cognizant of it. We also know the margin of safety.

Moderator: Thank you. The next question is from the line of Saurabh Kapadia from Sundaram Mutual Fund. Please go ahead.

Saurabh Kapadia: Thank you for the opportunity. Sir, what is the one-off in Q4 that affected our EBITDA margins?

Satyanarayana Chava: There is nothing in Q4, no one-off.

Saurabh Kapadia: Okay, so how can we look at the margins for 2024? You mentioned about the top line to be maintained at FY23 level. How we should look at the margins for 2024?

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Satyanarayana Chava: As we mentioned, I think you will get more clarity and color when we give results for Q1 and Q2 for FY24. I think we will leave at that stage.

Saurabh Kapadia: Okay, thank you.

Moderator: Thank you. The next question is from the line of Yasser Lakdawala from M3 Investment Pvt. Ltd. Please go ahead.

Yasser Lakdawala: Good evening, I have a question on a non-ARV API side. Probably the oncology API business is a low volume, high value API business. But what about the other APIs? What is our right to win in the other APIs? Are they large volume products, do we have some cost advantage there to give some qualitative insight? Are these older or newer molecules, basically things that have lost IP protection in the recent past, if you could give some color on that, that would be very

helpful.

Satyanarayana Chava: Sure. If you slice the API revenues of around INR2,600 crores, we mentioned INR1,513 crores coming from ARV APIs and INR318 crores is coming from oncology. And about INR780 crores is coming from non-ARV, non-oncology. I think that's INR780 crores, half of that revenue coming from contract manufacturing of generic APIs to generic customers. So, we are offering manufacturing as a service to our generic companies where they include our site into their DMF. So, technology is theirs, DMF is theirs. And we make with a defined margin. At least it's a good business because we know

the raw material cost, our partner also knows the raw material cost, we are not changing process. Most likely we are not changing the batch sizes also. We create capacities for them, so we are giving our manufacturing facility, kind of a total manufacturing for them. That's about half of the business. Rest is again medium to large volume products. We are not doing small volume products there. Most of those products are well-established generic molecules. We are not trying to get into day 181 or P4 markets there, well-established markets.

Yasser Lakdawala: Thank you. Also on the formulation side, I saw that we have a few para IV and FTFs. So just to understand this better, we have a CDMO business which is dealing with Big Pharma, biotech. On the one side, we are doing IP protected work for them and on the other side, we are having these para IV and FTFs. So how does, do you feel that you can run these two businesses independently? Is there any sort of conflict of interest or if you can just help us understand what is the thought process here and how do you see your customers reacting to this.

Satyanarayana Chava: Thank you. It's a very pertinent question you have asked. It all depends on the customer and how we are approaching customer and IP. Typically for the class of compounds we work, we don't want to work in generics. And more often right now we are not working on any P4 opportunities with the partners which we are working. So, we don't want to have a conflict in business. So, we are also very clear on our approach right now to the CDMO business.

Yasser Lakdawala: And last question here, we've had this one opportunity during COVID. Just to understand from a company level margin, how do you see or give us some color on the EBITDA level profitability

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of our API and FDF business as compared to CDMO? Are they higher, lower than, what would be our normalized margin?

Satyanarayana Chava: We gave a quantitative, qualitative guidance that in the order of increasing profitability, APIs, formulations and CDMO. That is the only guidance we gave and we stick to that. We don't want to give any absolute numbers there.

Yasser Lakdawala: No worries. Thanks a lot, Dr. Chava.

Satyanarayana Chava: Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Singhal from Aspex Management Limited. Please go ahead.

Gaurav Singhal: Hi. Thank you for taking my question again. Just one follow-up. On the CDMO side, can you share some thoughts on the competitive landscape and the supply of capacity that is coming up in India? And also, specifically for Laurus Labs, some of the advantages I can see obviously is we're working on 60 active projects. So, as they get commercialized, you can be the vendor of choice and you also completed this large project on time. Are there any other advantages that can help us stand versus the competition when we look at the new supply of CDMO in India?

Satyanarayana Chava: The Indian CDMO companies are well positioned to capture the opportunities because of supplier diversification initiatives by big pharma. I think it is a good opportunity not just for Laurus. There are many other CDMO companies that will do very well. That's what we feel. The advantages are the ability to create capacities, the ability to recruit people to support the capacities and the current global scenario is also helping India to get more projects. I'll put it that way.

Gaurav Singhal: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Ratish Varier from Sundaram Mutual Fund. Please go ahead.

Ratish Varier: Yes. Thanks for the opportunity, sir. Congrats. Over the last two years, our execution has been excellent. I would like to place that on board that it has been an excellent execution. There's just one clarity only I wanted. One of my colleagues

also asked this on margins. No guidance. But if you see in the previous five, six quarters, because of one-off opportunities or specific contracts etc, we had certain margins. I just wanted to understand as you move forward over the next one or two years, are those margins aspirational or those are one-offs which went by and it will go by what current Q4 exit run rate is there. From that, slowly improvement is what we have to see?

Just wanted some colors around that. You can give us some thoughts there? Thanks.

Satyanarayana Chava: When the business was very prosperous, even before this large contract, we were inching towards 30% EBITDA even before this large contract from Global Pharma Company. I think we'll put our efforts to improve our margins. And the change in business mix and improvement
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in margins of ARV business and our dependence on ARV business goes down, our margin profile should also increase. If you look at our FY '18 to FY '23, the numbers, we grew our ARV business by INR500 crores, but non-ARV business by INR4,000 crores. So, but the other challenge what we're having is, since we're adding a lot of capacity, a lot of de-leverage is happening. So, as we move away from de-leverage to leverage of our capacities and teams, I think our margins will improve.

Ratish Varier: Okay. Just one more follow-up, sir. Regarding the revenue guidance. I'm not asking for any numbers. Here when we are saying consolidation, etc, this is we are saying based on still we are left to sign certain contracts as you're saying they're in pipeline. Because of that, we are not that confident from a guidance perspective, or we want to be more cautious this time? Thanks.

Satyanarayana Chava: We want to be more cautious.

Ratish Varier: Okay, I understand that. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we will take the last question from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda: In the PPT in the beginning you mentioned about you want to invest up to 10% of profits on disruptive technologies. Has it already started in the previous quarters or this is something we will be starting FY '24?

Satyanarayana Chava: When we mentioned disruptive technologies, the investment we made in ImmunoACT is part of that. And we're evaluating a few more opportunities. And we are also very conscious not to invest more than 10% of our profits in such kind of initiatives. So, we did one and we are evaluating one more and probably when it is materialized, we will let you know. Yes.

Madhav Marda: Has this already happened? Was it FY '23 or is it starting? I'm assuming it's already happened in the last few months.

Satyanarayana Chava: This will happen in FY '24. The new investment will happen in '24, not in FY '23. Our investment in ImmunoACT happened in FY '22 actually. FY '23 we haven't done any such investments. We evaluated but we are moving forward and we will let you know if there is something.

Madhav Marda: And this is 10% of PBT or EBITDA, what is the profit stream?

Satyanarayana Chava: It's a very qualitative number. It's 10% of our profits. Yes. PAT.

Madhav Marda: Of PAT. Okay. Thank you.

Satyanarayana Chava: Thank you.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

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Satyanarayana Chava: Thank you all stakeholders for engaging discussions and whatever steps we do, whatever investment we do, whatever initiatives we do is for the benefit of all the stakeholders and we wish you all the best. Yes. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

August 01 , 2023
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Q1 FY24 Results conference call hosted on July 27, 2023

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated July 21, 2023 , please be informed that the Results conference call for Q1 FY24 was hosted on July 27, 2023 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

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"Laurus Labs Limited Q1 FY'24 Earnings Conference
Call"

July 27 , 2023

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND CHIEF
EXECUTIVE OFFICER
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER
MR. VIVEK KUMAR – INVESTOR RELATIONS
MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING
LIMITED .

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Moderator : Ladies and gentlemen, good day and welcome to the Laurus Labs Limited Q 1 FY'24 Earnings Conference Call, hosted by Antique Stock Broking.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference has been recorded.

I would now like to hand the conference over to Mr. Monish Shah from Antique Stockbroking.

Thank you and over to you sir.

Monish Shah: Good evening, everyone and welcome to Laurus Lab's for 1 Q FY'24 Results Conference Call.

We thank the management for giving us the opportunity to host the call. Today, we have with us Dr. Satyanarayana Chava - Founder and CEO ; Mr. Ravi Kumar - Executive Director and CFO, and Vivek Kumar from the IR Team.

I will hand the call over to Dr. Satya for his opening remarks. Thank you, and over to you sir.

Satyanarayana Chava : Thank you everyone for joining us for Q1 FY'24 Results Conference Call.

We are pleased to have this opportunity to update you on our results and answer your queries.

During our last call we emphasized on our growing commercial and scientific capabilities along with our customer centricity, which will position us to achieve a sustained future growth.

During the current quarter we have continued to build on it and further advanced our operational excellence as we stepped up application of cutting -edge technologies like Continuous Flow Chemistry, Synthetic Biology and Precision Fermentation. We also executed several value enhancing business development work including our first multiyear commercial contract with a leading Crop science company and deepening our collaboration in cell and gene therapy.

We increased our stake in ImmunoACT close to 34% which will support ImmunoACT with Phase -III trials for their lead candidate HCAR -19 along with expansion of the multi -location GMP facility and scale -up manufacturing of CAR -T. Besides, we also collaborated with IIT Kanpur in in-licensing four patents for three gene therapy programs. And we will also support the clinical activity there. we are also planning to set up a cGMP and vector manufacturing facility at IIT Kanpur. Therefore our team remain fully committed in driving scientific capabilities and delivering on long -term growth of business and efficiency and also allocating resources very efficiently to forward on our transformative opportunities .

During this quarter, our formulation unit, unit -2 received EIR from USFDA.

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Financial Results

Moving onto our Financial Results, our Q1 results were very challenging driven by lower revenues and higher upfront cost and also rescheduling of some of the supplies by customers and global ARV agencies.

It is also important to keep in mind that our year -on-year growth was subdued due to particularly strong quarter last year where we had executed a large PO for a big pharma.

As a result of these factors our revenues have declined to Rs. 1,182 crore and EBITDA at Rs.

168 crore with the EBITDA margin of 14.2%. We believe this is a transient and underlying demand for our key growth portfolio remains strong. We believe both our API business and FDF business will return to normal levels from Q2 itself. Our CDMO business improvement is on track along with execution on some very interesting projects and new partnerships.

ARV revenues on an overall basis have incrementally stabilized during the quarter and expect continued strength given our leadership position in many of the First Line Therapy products.

Our cost improvement programs are also progressing as expected. Therefore we are optimistic about our Q2 and

future quarters in the current financial year.

Key Updates

To begin with I would like to share key updates on our formulation business. We did Rs. 285 crore of formulation sales in Q1 with the decline of around 18% over last year and sequential basis revenues have dropped by 2.7%. Mainly impacted by lower demand particularly in the ARVs, this should rebound from the current quarter itself.

While the overall market volumes largely remain stable in the LMIC business. A shift in the procurement timing from global agencies along with continued lower prices led to a fall in Q1 revenues. This is transitional in nature and expected to be back on track very soon. We remain intensely focused to stabilize ARV business through FY'24 and beyond while navigating pricing headwinds created by the competition.

We have successfully implemented several measures around an expansive portfolio with cost improvement initiatives. And we believe these measures will ensure our market leadership and confidence of sustaining our leadership position in the first-line products both in APIs as well as in formulations.

Coming to the developed market demand for our broader product portfolio remains healthy. In U.S. we continued to get good market share on products and also increasing volumes from the marketed products. During the quarter we filed one ANDA with that cumulatively we have filed 38 ANDAs to date. Of this we have received 15 final approvals and 13 tentative approvals. We

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continue to have diverse portfolio and pipeline including Novel 505b(2) products across ARV, cardiovascular, CNS and GI franchise.

In Canada we have 20 filings of those we got 13 approvals which we have launched in nine products. And we intend to launch three more products during the current financial year.

In EU markets we have 15 filings and we got 12 approvals. Out of those we have launched six products. We have continued to deepen our CMO relationship and anticipate more volumes in the current financial year.

Our FDF division continue to operate a total commission capacity of 10 billion units. We anticipate that some of the Brownfield capacities will fully utilize over the rest of the financial year.

On the R&D front the overall spending to sales for Q1 FY'24 was at 4%. We continue to make good progress and invest in portfolio with product specific approach based on complexity and scale.

During the quarter we got approval for an NDA for HIV pediatric oral dissolving film by USFDA. And we are working towards maximizing opportunity by leveraging this ODF platform in other therapeutic areas including HIV.

We have total 55 products in the R&D pipeline right now with an addressable market size of over \$40bn.

Status of Filings across Globe

38 ANDAs in U.S.; 15 dossiers filed in Europe, 20 in Canada and 9 with WHO, and eight dossiers filed in South Africa, one dossier in Australia, and we filed 21 dossiers in India. And 23 products filed in various ROW markets.

Of the 38 ANDAs filed in U.S. we have 16 PAR IV filings and out of those 11 First to File opportunities having a sizable market opportunity.

In the generic API division during Quarter 1, 2024 we achieved a Rs. 597 crore revenue increased by 2% year-on-year but sequential decline by about 16%.

Our antiviral business during Q1 continuous it's steady momentum and witnessed volume led improvement growing 6% year-on-year and 17% sequentially with the revenues out Rs. 407 crore.

The impact of ARV pricing have slowed down and we continue to maintain a leading market share in the first-line HIV treatment.

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Onco API business for the quarter was lower and declined by 13% year-on-year with the revenues of Rs. 54 crore. Sequentially there was a drop of about 60%. This was because we executed a large contract in Q4 FY'23.

As you are aware your company has one of the largest High Potent API capacities in the country. And we continued to strengthen our global leadership in some of the molecules.

In other API segment, which includes cardiovascular diabetes and asthma products, the revenue decreased by 1% year-on-year with the revenues of Rs. 136 crore, the decline was on account of temporary market dynamics and scheduling pattern from our partner.

We are very confident that our underlying demand for our products under CMO order book

continue to look better.

In Q1 we filed three DMFs out of those two are in the non -ARV category. With this the total number of DMFs filed to date is 83.

In the synthesis business, company recorded revenues of Rs. 250 crores during Q1 FY24, the revenues declined due to year-on-year comparison given PO executed last year. Otherwise, the baseless business is seeing healthy momentum overall and the project pipeline continues to scale up, with our existing as well as new customers.

We continue to work on over 60 active projects, ongoing commercial supplies for about 10 products, out of those 4 APIs. We continue to execute well on our scientific led approach to customer acquisition and retention. During Quarter 1 we signed a multiyear commercial supply agreement to global leader in Crop Sciences Company. We believe this agreement is a big milestone and the beginning of our journey towards leadership position in Crop Science chemicals as well. With this we have added a new global partner in our CDMO growth strategy. We are making good progress on new sites for CDMO division, both R&D as well as manufacturing. Our animal health unit was inaugurated during June '23 and commercial validations will begin from October '23. Our animal health site will have capabilities to handle steroids, hormones, high potent molecules apart from large volume products.

Laurus Bio reported Rs. 50 crore revenue in the Quarter 1 with a growth of 70%. The growth was driven by increased uptake in CDMO business and partially booking of certain delayed shipments in the previous quarter. We continue to expand our customer base with a strong pipeline. We are also optimizing our capabilities at R2 with the large-scale CDMO partners. And further expect to complete the downstream debottlenecking during Q3 FY'24. This unit will achieve its peak revenues during FY'25.

Our enhanced technical expertise on biocatalysis is expanding its application in small molecule manufacturing, which is helping the parent company significantly. Progress on our new

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Greenfield site R3 is on track and expect expansion happening in a phased manner. This site should further strengthen Laurus Bio capabilities in offering CDMO services in animal origin free proteins and growth factors apart from large-scale biotransformations and fermentation. With a profound scientific team of over 2400 people, one-third of a total talent works in R&D and quality. We are continuously evolving our R&D platform towards more sustainable technologies to be used in the development and production of small molecules. We continue to implement and operate best-in-class R&D manufacturing quality systems in line with the highest global standards along with comprehensive EHS management.

During Q1 FY'24 the total of 31 quality audits were undertaken including several customer audits. To date since inception, we have successfully passed 89 regulatory audits since 2007 including 44 audits from major global regulatory agencies.

With that I would like to hand it over to Ravi, to share some financial highlights.

V. V. Ravi Kumar : A very welcome to everyone for our Quarter 1 FY'24 earning call.

Total income from operations is Rs. 1,182 crore against Rs. 1,539 crore with a decline of 23%.

As Dr. Satya explained the underlying reasons for that and

and we have more visibility from the

second quarter onwards. Gross margin for Q1 came at 50.6%. This is largely due to the product mix change and partly the fall in ARV prices over last year. But whatever savings we are expecting from raw material prices will affect from Q2.

Our EBITDA for Quarter 1 is at Rs. 168 crore with the EBITDA margin of 14.2% because of operational deleverage and the raw material selling price decrease etc. And we are expecting to improve from Quarter 2 onwards based on the order book, RM price stabilization.

Our diluted EPS for Quarter 1 was Rs. 0.5 reporting a decline of 89%. Our ROCE declined to 16% against 21% due to weak operating results and stronger capital deployments.

On the CAPEX front we invested around Rs. 200 crore for the quarter as I referred that for FY'24 majority of the CAPEX is in synthesis and bio divisions. Most of the expansion projects are on track to support our future growth. You can refer our Slide #7 of our IR presentation for more details.

With this I would request the moderator to open the lines for Q&A.

Moderator : Thank you very much. Ladies and gentlemen we will now begin the question-and-answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

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Tushar Manudhane : So, firstly on the formulation revenue how much is ARV and how much is non -ARV for the

quarter?

Satyanarayana Chava : Rs. 188 crore is ARV and Rs. 97 crore is non -ARV , two-third, one -third , yes.

Tushar Manudhane : And given that the facility being started in November '22 so how do we see the ramp up for non - ARV formulation business?

Satyanarayana Chava : The majority growth in formulations in FY'25 onwards will only come from non -ARV. See we expect a similar trend in the diversification of revenues from formulations similar to APIs, if you look at APIs around Rs. 1,500 crore to Rs. 1,600 crore of API sale is in ARVs, but our oncology, non-oncology and CMO revenue increased in API . Similarly, our formulation also we believe the ARV contribution will stabilize around Rs. 1,200 crore and the rest will only come from non - ARV formulations.

Tushar Manudhane : But the visibility for that would be based on the contracts we receive from the customer or product like ANDA product approvals?

Satyanarayana Chava : We have enhanced our CMO for European customers significantly this year when compared to last year . The volumes have gone up significantly. And we also got a few approvals from U.S. and in Canada, so those volumes are also adding up. So, currently our nominal capacity of FDF is 10 billion. But we are operating at 5 billion right now. It will go up to may be 7 billion by the end of the financial year.

Tushar Manudhane : While we have highlighted consolidation year for FY' 24 but given that there has been shift in the procurement by the global agencies and CDMO orders picking up second half. So, just would like to sort of have a reiteration about the sales guidance in terms of whether we will be able to match or there could be some dip in the sales compared to FY'23?

Secondly, given the kind of profitability, which we had from the purchase orders in FY'23, and considering 1Q FY'24 EBITDA margin, how do you look at the full year EBITDA margin for '24?

Satyanarayana Chava : The shift in procurement from the global agencies (ARV overall year they will procure what they committed), is that they shifted from Q1 to Q2, so we will have more sales of ARV formulations in Q2, so that's what we mentioned is that the shift is only transitional in nature, okay. When it comes to the revenue so we mentioned we will be very close to what we indicated earlier so we are not giving any guidance right now on our revenue numbers.

V. V. Ravi Kumar : Tushar whatever we have indicated as consolidation year there

is no change in that statement.

In fact, we are at par with our internal targets or maybe we are better than our internal targets for Quarter 1.

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Moderator : Thank you. The next question is from the line of Jeevan Patwa from Sahasrar Capital. Please go ahead.

Jeevan Patwa : I have a question on ImmunoACT. So, we are also starting trials in Dubai and Mexico, right for ImmunoACT Phase -III trials?

Satyanarayana Chava : It's not Phase -III trial Jeevan; the Mexican authorities will do trial in Mexico using the product made in Mumbai. Yes, it is, you can call Phase -II only not Phase -III, not in Dubai ; it is only in Mexico, that's the current agreement. But they are working with many other countries to have the similar opportunity, but nothing finalized as yet.

Jeevan Patwa : Okay, because we will be launching as per our timelines we may be launching it in end of '24 and start of '25 in India, right. So, are we going to launch it in other countries as well at the same time line or it could be a little later?

Satyanarayana Chava : No, it is only India.

Jeevan Patwa : And secondly on the Richcore side, so have we order from the R3 capacity, have you ordered for the reactors and fermenters?

Satyanarayana Chava : We are in the process of finalizing, yes.

Jeevan Patwa : But we haven't yet ordered it?

Satyanarayana Chava : No not yet, we will order during this quarter.

V. V. Ravi Kumar : The land was acquired, the registration formality is completed , the other groundwork just began.

Jeevan Patwa : Okay, so once we order I think nine to twelve months will be taken right after we order ?

Satyanarayana Chava : I think the facility qualification will start in 18 months from now.

Moderator : Thank you. The next question is from the line of Bharath from Quest for Value Capital. Please go ahead.

Bharath : What is the CAPEX for FY'25 ?

V. V. Ravi Kumar : Especially the animal health whatever we have capitalized during FY'24 it starts generating revenue even in FY'24 in the second half of FY'24 , but in FY'25 it will generate a fully year revenue.

Bharath : I mean my question is about the CAPEX, what is the CAPEX for FY'25, how much of CAPEX

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V. V. Ravi Kumar : FY'25 CAPEX we have yet to crystallize actually without crystallization it's not fair on our part to comment, probably September we will, September result we will come back definitely.

Bharath : And my other question is to Dr. Chava, so I think this animal health would be one of the big growth trigger in FY'25. Apart from animal health may I know what else are the growth triggers in FY'25?

Satyanarayana Chava : FY'25, we will start supplying the Crop Science product, later part of FY'25. And some of the projects in the CDMO will move into higher clinical phases so we will get more volumes. And some of the large volume APIs in the generic also will be commercialized in FY'25. So, the growth will come from generic APIs, generic formulations, and AgChem, animal health and also CDMO so we expect as Ravi mentioned FY'24 is consolidation year, we see these investments will start giving good returns next financial year onwards.

Moderator : Thank you. The next question is from the line of Balaji Boina from JM Financial. Please go ahead.

Balaji Boina : And as an investor, from last two years we are dragging in terms of results and that is reflecting in our stock prices. So, any improvements can we expect in the next financial, next two quarter or after six months?

Satyanarayana Chava : See the biggest CAPEX is going on into commitments what we made to do manufacturing at the commercial scale for several CDMO projects. That was the biggest commitment in capital of what we do. And when it comes to improvement as we mentioned we are very sure the improvement will be visible from Q2 FY'24 itself.

Balaji Boina : As a promoter, from the market perspective you are holding very low equity as a promoter. Is there any probability to buyback or acquiring from your end to make it more than 30%, because actually we have a good name in the market saying that Mr. Satyanarayana Chava is maintaining ethical values for the company and as well as employees, that there is a proud of our state. And if you are increasing the stake for the investors point of view it will help to the investor confidence more. Is there any, can we expect anything?

Satyanarayana Chava : We don't have any plans for that right now. See whatever money the company is generating is going into deployment which will benefit every shareholder of the organization rather than few ones, so we have no plans of buyback in the near future.

Moderator : Thank you. The next question is from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda : My question was on the Crop Science business, the contract which we won so if you could give us some more details in terms of duration of the contract, price of the contract if you can give us some more details that will be very helpful.

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Satyanarayana Chava : As we mentioned this is a multiyear contract long-term, it's not one, two years it's a long-term contract. And volumes are reasonable, I would say. And that partner has a lot of portfolio so we have the ability and interest from both sides to work on more projects we can give that much details right now.

Madhav Marda : And basically, this product was being made by the partner in-house which they are now outsourcing or it is being shifted from a different vendor that they were buying from earlier?

Satyanarayana Chava : We can't give you those details right now.

Madhav Marda : Is it a patented product or is it off-patent?

Satyanarayana Chava : Still under patent.

Madhav Marda : And on the CDMO projects, which we are, doing \$100 million plus CAPEX this year typically what are the asset turns for the CAPEX

Satyanarayana Chava : See CDMO assets are not utilized fully around the year. So, if CDMO assets are utilized fully round the year the asset turn is very high. But this you can consider may be, I think similar to our API business I would say.

Madhav Marda : I was just asking that you said it's similar to the API but typically what is that, is it 1, 1.5x asset turn we can expect typically in a year from the CDMO CAPEX?

Satyanarayana Chava : See what is happening right now as I mentioned earlier, the CDMO partners are asking us to deliver commercial scale batches for Phase -II, Phase -III onwards, especially Phase -III onwards.

So, your facility will be ideal for a reasonable time once you deliver Phase -III molecules, Phase -III volume and wait for significant amount of time. If the block is fully utilized asset turn ratios are over 2 in some cases. In some cases, it is around 1.5 but it is safe to assume at a fully utilized basis for a mix of products we can assume 1.5 asset turn ratio.

Madhav Marda : In CDMO business what is the total gross block that we have invested now excluding what we will be doing this year, like end of FY'23 what was our gross block?

V. V. Ravi Kumar : FY'23 gross block is we don't have any it is a common facilities, the exclusive gross block is

Rs. 250 crore, exclusive gross block Rs. 250 crore to Rs. 300 crore, but it is common facilities.

Moderator : Thank you. The next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh : On ARV side of business, two queries I have, in formulation side the price erosion what we witnessed has stabilized now or we feel that further scope of price erosion is there looking at kind of competition?

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Second question that in ARV API we saw a good uptick in this

quarter. Therefore, again we see

that is going to sustain or this will remain volatile quarter-on-quarter?

Satyanarayana Chava : The ARV API business we have very good order book and visibility. So, we expect ARV, API sale to continue like that. And your first question of price erosion of ARV formulations, it was very drastic in the last financial year, but now we believe it is very close to stable, yes.

Ranvir Singh : So, my question was in a context that because the new tender cycle has started for formulations.

And we expected that gradually we would see the overall revenue moving up. Then two elements here, so price erosion is one, and I believe that volume has also not been witnessing any uptick.

So, am I right that volume is also stable and the price erosion that is impacting or it is volume, we are seeing the improvement but it's a severe price erosion which has impacted the revenue there?

Satyanarayana Chava : In the Q4 to Q1 the price erosion is not much. And volume only went up. And we expect similar pricing in Q2, both API as well as formulations in ARV, but Q2 volumes looking much better than Q1 in formulations.

Ranvir Singh : And on margin side, I think I see three elements here, so operating leverage is one, secondly the price erosion in formulation would have impacted. But on the other hand, we see the raw material prices has also softened that is visible in your gross margin profile also. So, there also I wanted to understand next quarter when we see that most of business vertical we will see a better QoQ growth. Then, regarding raw material prices, do you see that this will also help going forward. So, if any kind of on an annual basis if you could guide the margins that what kind of EBITDA margin we ballpark number we can expect.

Satyanarayana Chava : The raw material price has definitely softened. And we don't expect and we don't wish the prices to go down to unsustainable levels. So, if prices go much below unsustainable levels, some of them will stop manufacturing and then it will have a very bad impact on the prices, they will go up. So, we believe the prices have softened and I think it will maintain at that level.

Moderator : Thank you. The next question is from the line of Harshal Patil from the Mirae Asset. Please go ahead.

Harshal Patil: Just one clarification I need for the oncology and the other API segments where we have got a transient issue in this quarter. So, is it possible to quantify the impact?

Satyanarayana Chava: No.

Harshal Patil: But we are quite confident of it getting rebounded into Q2 onwards?

Satyanarayana Chava: That is based on order book and visible demands we have.

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Moderator: Thank you. The next question is from the line of Devvrat Mohta from Capital International.

Please go ahead.

Devvrat Mohta : Can you just walk us through, you know you called out the reasons for why margins fell so much this quarter, can you I mean without specific numbers can you just walk us to whatever levers for margin can improve Q2 onwards?

V. V. Ravi Kumar : Devvrat one is, ARV FDF uptick is lower that is one reason and then because of that operating leverage to ok place. And the CDMO business is of course when we compare to the last year Quarter 1 this is much lower, these are the two reasons and then selling price is also whatever it impacted in the first quarter, especially one or two APIs, the selling price benefit has not been there, sorry raw material prices decreases not been affected in the quarter 1, that will be affected in the second quarter. These are the three reasons for the decline in the EBITDA margins.

Devvrat Mohta : And what drives the improvement as we go forward, because I mean again next quarter if you look at next quarter if ARV formulation revenues pick up and CDMO I mean you are saying improvement is really second half onwards

rd. So, I mean the mix is again adverse right, there has

been more ARV versus CDMO in the next quarter, so what is the confidence that margin will improve from where we are today. So, what gives you confidence that margins will improve from where we are today?

V. V. Ravi Kumar : ARV FDF we have an order book actually for the entire second quarter and we will be doing

better in the AR V FDF #1. #2, Oncology also it is going to go up . #3 The overall volume we are expecting to go in the second quarter. These are the three reasons; #4 is whatever be the raw material prices softened all these raw materials will be utilized in majority of the second quarter, I don't say entire second quarter, but majority of the second quarter. These are the reasons we are expecting the margins will improve in the second quarter onwards.

Devvrat Mohta : One more question with regard to the animal healthcare, when does that contract starts contributing from a meaningful revenue contribution perspective?

Satyanarayana Chava : From the second half of FY25. So, with the second half of FY24 commercial validations will start Dev vrat and then supplies will start from second half of FY25.

V. V. Ravi Kumar : But FY25 you will have a more meaningful, full year revenue, Dev vrat.

Devvrat Mohta : But do you think second half FY24 itself revenue starts coming though but the full blown impact is FY25?

V. V. Ravi Kumar : Yes corr ect.

Moderator : Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

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Nitin Agarwal : Two things, one is on the CDMO business now we have three verticals in CDMO, we have human health, animal health and Crop Protection . Typically crop protection margins are much lower as we have seen in some of the peers group as well . So, is that the right understanding that our margin mix is going to change in CDMO once we have a larger share of Crop protection coming through?

Satyanarayana Chava : See we are not in the Crop protection B2C, it's B2B our margins are similar to other CDMO projects.

Nitin Agarwal : So, I guess whatever margins you are making right, you used to make in human health you are saying the same margins are applicable even for the larger volume contract which are there in CAR production ?

Satyanarayana Chava : See current contract what we have signed is mid volume , we have to experience if we have sign a very large volume how the margins look like. But the current product which we have signed is a complex chemistry so margins are good. It is not a one step or two step but it's a multi -step synthesis so complex chemistry so margins are good.

Nitin Agarwal : If you were to look at maybe two to three years down the line when all of these three streams are, firing is there a broad sense you have in terms of the mix that could be there for us in terms of verticals in the CDMO business.

Satyanarayana Chava : Definitely in the order of revenues we can say human health, animal health and Ag-Chem .

Nitin Agarwal : And last bit on this, we are currently about Rs. 250 crores thereabouts for quarter on the human health CDMO business, and I guess . Where you see that this piece of the business scaling up over the next two to three years? What kind of projects or any color if you can give us, the possibilities which are there in this part of the business?

Satyanarayana Chava : Just I want to correct one statement, here in the CDMO our Rs. 250 crores I want to mention that the entire thing came from human health. It is the combination of many other, many segments. You see we are not giving segment -wise revenues in our CDMO, it will confuse everyone . So, maybe at some point in time, when all the things become very big, we will give, but otherwise we are not fragmenting our synthesis revenues segment wise.

Nitin Agarwal: So, just coming back to the human health oppor

tunity as you see in your pipeline right now how should one think about this opportunity over two-to-three -year time period?

Satyanarayana Chava : Which one in that?

Nitin Agarwal : Human health.

Satyanarayana Chava : Very good, we are very bullish on that, yes.

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Nitin Agarwal : And is it possible if you can give us a sense how many molecules do you possibly see getting commercial in the space over the next two to three years?

Satyanarayana Chava : No, we would like to defer answering that question actually.

Nitin Agarwal : And lastly on the other API segments again taking a two-to-three -year view of the business, what would be the driver, we have done very well in the business over the four to five years in terms of the way we have scaled it up. I mean is it getting to a side where incremental growth is going to be a little more tepid or do you see opportunities to grow this business at the rate you have grown the business in the past and what will drive it?

Satyanarayana Chava : I think it all depends on how many new partners we will bring into that CMO space. See currently we have done very well with one partner and we have added another one . Portfolio is increasing

and we are talking to third one to add. So, we expect it will grow, but it is very difficult to quantify what could be the growth.

Nitin Agarwal : And apart from the CMO partners any other drivers for this business? Earlier you talked about entry into diabetes, cardiac and those products scale up that will drive up the business?

Satyanarayana Chava : I think our CMO approach in generic APIs and formulations is okay, we are not doing Potent formulations but when it comes to APIs we are doing Potent and non -Potent all. So, there is no therapy preference for us.

Moderator : Thank you. The next question is from the line of Kunal Shah from Carnelian Asset Management. Please go ahead.

Kunal Shah : I had two questions; one question was on borrowings so as on 31st March 2023 we had about Rs. 600 odd crores of borrowing and we plan to do another Rs. 1000 crores of CAPEX in the current year. So, how should we look at this borrowings figure in the current year?

The second question was on the expenses part, so you did articulate when explaining on the margin front that since our revenues have kind of went down, the EBITDA margins have kind of compressed due to the operating leverage part. So, just wanted to understand now we will have animal health CAPEX of the CDMO from start in the second half, so how should we look at the employee expenses and other expense which is about Rs. 160 odd crores quarterly right now employee and other expenses at about Rs. 270 odd crores right. So, how do we see this moving ahead?

V. V. Ravi Kumar : First question see we already indicated even in the last call; our net -debt is going to increase by March 2024 maybe by Rs. 300 to Rs. 400 crores , but again start declining from FY25, that is one.

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Second on the expenses part, some of the like s of animal health is already some of the employees or maybe most of the employees required for the completed production block is already been engaged. But we will recruit more people in the second half. So, you are right the expenditure on account of manpower will increase in the second half. But most of this manufacture are at the ground team maybe in the bottom three layers so we are not expecting too much of an increase there.

Kunal Shah : But you would want to guide some amount to have a better understanding for the whole year that would come up in the second half on account of employee addition?

V. V. Ravi Kumar : No we have not disclosed, but if you are particular be in touch with Vivek , he will provide you.

Moderator : Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutions.

Please
go ahead.

Aditya Khetan : The FDF business is witnessing de -growth from the last five quarters. So, what gives you confidence that it will improve from the next quarter?

Satyanarayan a Chava : So, we have order book, so that's the reason that it will improve, yes, your observation is right. In FDF the growth is bumpy , but we expect some stability will come.

Aditya Khetan : So, weakness in numbers in first quarter so we have given a guidance of consolidation for the full fiscal so can we assume that on top -line basis we would be almost flattish for FY24?

V. V. Ravi Kumar : Yes, that's what we are expecting.

Moderator : Thank you. The next question is from the line of Anirudh Shetty from Solidarity Investment . Please go ahead.

Anirudh Shetty: I had two questions around our CDMO business, the last two years has been a bit of a topsy - turvy period wherein it is also given as an opportunity to do projects that really push us to the next level . So, can you just share some of the strengths around our CDMO business, what makes us a unique player compared to the other CDMO players? Where do our strengths lie?

My second question is there are other players in the CDMO business that don't do formulations, because they believe that it can either create conflict of interest or a perception of conflict of interest with the innovator, customers. So, how do we manage that given that we do both formulations and CDMO?

Satyanarayana Chava : The conflict we are managing very well, because we are not filing any more Paragraph IV filings with the partners with whom we are working, that is one conflict management we did. And second, with whom we are working they haven't expressed the concern so far. So, with the partners with whom we are working they never talk to us expressing their dissatisfaction that we

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are in formulation. With some we are doing some of their formulations work also now. Actually we are expanding our offering from API intermediate to API, API to some formulation work. So, we are moving up in the value chain because of having formulations capabilities.

Anirudh Shetty : And my first question around what makes our CDMO business a differentiated business
Satyanarayana Chava : The differentiator is our R&D strength where we have well over 1000 people and our ability to do biocatalysis at scale we have one of the largest hydrogenation capabilities in the country. And the ability to deploy large reactor volume at a short notice, ability to allocate technical resource at a short notice, these are our differentiators.

Anirudh Shetty : And if you are comfortable sharing in our CDMO business today how much would be business from commercial molecules and how much would be more early stage?

Satyanarayana Chava : We gave number, we have over 10 commercial projects, out of those four APIs, that's we are giving but we are not giving break up of revenue coming from those commercials.

Moderator : Thank you. The next question is from the line of Sajal Kapoor an individual investor. Please go ahead.

Sajal Kapoor : I have just two questions, 1) Once a novel molecule during the clinical phase becomes commercially successful, the same team of scientist can support a new project right. So, to grow five times on the current CDMO base we need not double our scientists?

Second question is on Laurus Bio, the design and construction of R3 will take all the learning our R2 downstream debottlenecking that's my understanding. So, we should expect a relatively smoother/faster ramp -up when R 3 goes commercial.

Satyanarayana Chava : I think you have put a very valid point, our learning from R2 debottlenecking will certainly help R3 design which we have done keeping those in mind. The one challenge at R2 was availability of land ; so we have overcome that by taking an adjacent piece of land for debottlenecking, that

problem was not there in R3 , R3 is a 27 acre site so we are designing it very well keeping the challenges what we faced at R2.

Sajal Kapoor : And on the CDMO side Dr. Satya to grow five times current days we need not hire or we need not double the scientific days because once a project is either failed supposed commercial the same set of scientists can pick up the next available project right?

Satyanarayana Chava : You are absolutely right . So, to grow our CDMO we need to add capacity, not scientific staff more. We need to add some, but not in the same arithmetic proportion, yes.

Sajal Kapoor: And finally on this CDMO Slide #13 you mentioned solid outsourcing trend, please can you shed some light on the indicators that lead to such bullishness , is this on the expectation of supply

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chain risk mitigation coming from innovators where they are shying away from staying overly committed to a single country or a single organization for their entire basket of CDMO projects or is this bullishness backed by innovator commitments and contract?

Satyanarayana Chava : It is on the visibility on the number of projects we are talking. See earlier our growth in CDMO came from, we started with Phase -I went with the program Phase -II, commercial and all now off late we are getting opportunities when the molecule is in Phase -III sometimes even when they filed NDA they are coming and trying to add us as additional source. So, that is because of derisking definitely.

Sajal Kapoor : And finally, this new ARV synthesis filings they kick off in second half so is that the reason we are stopped using the old synthesis process , because it wasn't cost effective and the new filing or the new synthesis route is cost effective and that will kick in from second half of this fiscal?

Satyanarayana Chava : It is not new synthesis routes; it is only process scale optimization, solvent recovery optimizations and lower RMC prices. We are not changing processes, that will be very lengthy approval timelines.

Moderator: Thank you. The next question is from the line of Darshil Zaveri from Crown Capital. Please go ahead.

Darshil Zaveri : I just wanted to ask about , now we see better results going forward with Q2, so would we say the margins that we have done last year in Q2/Q3 or how would the margins progression be, will it be an easier growth or would we be able to just jump back to the margin that we have?

Satyanarayana Chava : Going back to healthy margins of 28% to 29% we will need not just this year maybe we will achieve during the next financial year.

Darshil Zaveri : Not 27% or 28% but maybe from 14% could we see a movement towards 24 % and then maybe next year 28% of how would it workout?

Satyanarayana Chava : It will gradually go up, yes. See if you look at why we are saying that, our margin is not impacted, our sales were impacted, our gross margins are around 50%. Our sales was impacted that has impact on every key metrics.

Darshil Zaveri : So, with better volumes you will be able to see better margins.

Satyanarayana Chava : Yes.

Darshil Zaveri : Do we see any threat or risk other than the normal business risk or something specific that we might be on the lookout?

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Satyanarayana Chava : See all our facilities are regulatory inspected, there is no regulatory risk. So, we have good visibility of orders in ARV, APIs and formulations. So, we believe the risks are minimal, so we can't say risk is zero, the risks are minimal.

Moderator : Thank you. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra : Starting with your introduction we see a lot more emphasis on gene therapy and immuno ACT , there is also this crop protection contract we have signed . So, increasingly we are seeing efforts now starting to become intense

on the need to diversify from ARV and the traditional areas you were working on.

Can you just throw some qualitative light and maybe some milestones to look out for over the next say three years. On the different areas that you are working on including maybe immuno ACT and gene therapy itself maybe on flow chemistry, fermentation -based products . There was in one of the calls talk about your efforts on injectables or you are looking out for injectables , just to understand the bridge from where Laurus is today in say three years' time where we would be from a therapy and area of work perspectives.

Satyanarayana Chava : If you look at our Investor Presentation Page 15, we clearly put transformation what we have done in the last 5 years. In FY18 73% of revenues came from ARV both APIs and formulations.

In FY23 37% of revenue only came from ARV, APIs and formulations. So, that's a big transformation. So, when we initiate any transformation activity we also need a lot of gestation period. And going back to your question, what are the areas which will drive our future growth will definitely come from our CMO, generic API and formulations, CDMO and Laurus Bio, these will drive our growth.

Tushar Bohra : This is like something that's already understood. What I am trying to understand is let's say within Laurus Bio what are the initiatives being taken today qualitatively what areas you are focusing flow chemistry you have mentioned, so what exactly are you looking at, something on those lines, maybe a bit more granular and not speaking to generic API and CDMO kind of things ?

Satyanarayana Chava : In the CDMO space as we mentioned and few of our investors also asked questions our animal health, Ag chem space and human health advance clinical programs will give lot of benefit, in the Laurus Bio we are expanding capacity to cater to precision fermentation, we are also getting into terpene space, we are also planning to get into media space there. So, there are several initiatives in CDMO, yes.

Tushar Bohra : And in flow chemistry?

Satyanarayana Chava : Flow chemistry we had two flow chemistry commercial machines installed at Vizag. I think that will continue to help. See what is happening in overall reaction schemes right now, we have a Laurus Labs Limited

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one flow chemistry in out of 10 reactions. So, unless we have flow chemistry capabilities we cannot take up the entire project. Similarly, biocatalysis, if you are doing 10 chemical steps for a program one biocatalysis, one continuous flow or two biocatalysis, two continuous flow. So, those are the capabilities helping us to get customers attracted towards us in providing manufacturing.

Tushar Bohra: And on immuno ACT though we are now at about 34%, the idea is to consolidate this eventually?

And does this also mean that you are looking at CDMO projects in this space maybe, what is the ambition for this segment?

V. V. Ravi Kumar : Right now no plans Tushar.

Tushar Bohra: You mentioned on the CMO activity on combinations that you are moving up from APIs to formulations. If we could understand what kind of projects are we picking up and what is the potential and is this also, is this maybe to sort of scale up the large capacities or is there an element of specific capabilities at play, that are helping us get high margin CMO activity?

Satyanarayana Chava : You are asking, CMO generic formulations?

Tushar Bohra: Yes.

Satyanarayana Chava : Last year we did close to a billion units, this year that number may inch closer towards 1.5 or 1.6 billion.

V. V. Ravi Kumar : If you have any questions let's take it offline.

Moderator: Thank you. The next question is from the line of Rishabh Shah from Dalal & Broacha . Please go ahead.

Rishabh Shah: My concern would be that in the ARV business, which declined last quarter. So, one of the reasons for the dip in ARV business is

because we did not have procurement of ARV

intermediates by global agencies. So, this quarter where do we stand now? And over the course of time in FY24 how do we expect the business coming from global agencies regarding the ARV intermediates?

Satyanarayana Chava : It's looking very healthy right now, so both API front and formulation front looking very healthy. The only challenge what we had last year was the pricing erosions, so this year we expect price erosion will not happen.

Rishabh Shah : Can you share any ballpark numbers regarding this?

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Satyanarayana Chava : We shared the API sales around Rs. 400 crores ARV and about close to Rs. 190 crores formulations and about Rs. 600 crores of Q1 sales came from ARV, APIs and formulation put together.

Rishabh Shah : Other than pricing improvement, there is no specific improvement for getting orders from global agencies?

Satyanarayana Chava : See we have more supplies planned in Q2 than in Q1 we can give that much guidance.

Moderator : Thank you. Ladies and gentlemen that was the last question for today, I would now like to hand the conference back to the management for their closing comments.

Satyanarayana Chava : Thank you investors for asking very insightful questions. And want to thank Monish for hosting this. And want to thank everyone for your active participation. Thank you.

Moderator : Thank you. On behalf of Antique Stock Broking that concludes this conference thank you all for joining, you may now disconnect your lines.

Call: Oct 2023

October 25 , 2023
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Q2 FY24 Results conference call hosted on October 20 , 2023

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated October 13, 2023 , please be informed that the Results conference call for Q2 FY24 was hosted on October 20 , 2023 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

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"Laurus Labs Q2 FY'24 Earnings Conference Call"

October 20, 2023

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER & CHIEF
EXECUTIVE OFFICER , LAURUS LABS LIMITED
MR. V V RAVI KUMAR – EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER , LAURUS LABS LIMITED
MR. VIVEK , INVESTOR RELATIONS TEAM, LAURUS
LABS LIMITED

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

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Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Laurus Labs Limited hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you and over to you, Mr. Shah.

Monish Shah: Thank you, Michelle. Good evening, everyone, and welcome to Laurus Labs 2Q & H1 Results Conference Call. On behalf of Antique Stock Broking, I thank the management for giving us the opportunity to host the call.

Today, we have with us Dr. Satyanarayana Chava -- Founder and CEO; Mr. V V Ravi Kumar - Executive Director and CFO, and Vivek from the IR team.

I will hand the call over to Dr. Satya for his opening remarks. Thank you and over to you sir.

Dr. Satyanarayana Chava: Thank you, Monish for hosting this conference call. Thank you for joining us for our Q2 & H1 FY24 Results Conference Call. We're pleased to have this opportunity to update you on our progress and answer your questions.

Our performance from Q2 started to see improvement and our priorities remain consistent. By focusing on R&D-led commercial strategy and customer-centric business orientation, we're advancing and augmenting our operational excellence to offer cutting-edge technology platforms in the manufacturing of small molecules, deliver the best external and internal opportunities as well as bringing innovative manufacturing solutions to companies and patients. We've executed on several important business development transactions last quarter and we are further accelerating our strategic manufacturing partnerships.

We're also pleased to report that our investment into disruptive technology is progressing well. The first one is our investment in ImmunoACT CAR-T lead compound, NexCAR-19, which completed Phase-II trial for lymphoma and leukemia indication, has been granted marketing approval from CDSCO, Government of India. We feel it is a significant breakthrough and will be the India's first indigenous developed and manufactured cell therapy product for treating certain blood cancers.

The second one is initiation of GLP Lab Construction for the manufacture of viral vectors and gene therapy products at IIT, Kanpur.

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The third one is increase in our stake in Laurus Bio, now 88%. This is a reflection to our confidence on great potential for future developments in enzyme technology platform.

Currently, it's an exciting time at Laurus labs and we are determined to build on our R&D-driven commercial excellence to deliver best quality and affordable healthcare solutions as we seek to create a long-term value for both patients and our all stakeholders.

Our Q2 results is in line and improved over Q1 due to recovery in customer supplies, which is driving higher revenues. While gross margins were maintained at very healthy level, our EBITDA margins have clocked a modest recovery as higher upfront expenses and growth projects have weighed on our overall operating cost. It is important to keep in mind as well as that our year-on-year growth was subdued due to particularly strong quarter we had in FY23. As a result of these factors, our revenues were declined by 22% to Rs.1,224 crores and EBITDA came at Rs.188 crores with a margin of 15.4%. Our quarter-on-quarter growth is rebounding in both our API and formulations business, supported by strong underlying demand in other segments.

Our CDMO business project pipeline have

continued to scale up along with the expansion of our new partnerships. Our cost improvement programs are also progressing as expected. Following the recovery, we saw in Q2, we remain optimistic for a better H2 resulting from both healthy order book and strong commercialization capabilities.

To begin, I would like to share key updates on our formulations business. Our formulations division reported overall revenues of Rs.332 crores for Q2, increasing over 120%. That was because of low base last year. On sequential basis revenues have also improved by 16%. Moreover, if you look at our H1, revenues increased by 24%. This was primarily driven by recovery in every business along with growth in our developed market share.

Coming to LMIC business, overall market volumes have largely remained stable, partly supported from stable prices. We remain fully committed to stabilize our ARV franchise business throughout the FY24 and beyond while navigating the pricing headwinds.

We awarded with 20% recent NACO tender for a supply of key products and this is our maiden successful bid in the Government of India tender for the supplies of HIV products in India. This was achieved primarily because of our fully backward integrated offering in ARV model.

We have successfully implemented several cost improvement measures and we believe these measures will sufficiently ensure our market readiness and confidence of sustaining leadership position in first line ARV treatment both in APIs and formulations.

Coming to the developed markets, demand for our broader portfolio remain healthy. In US, we continue to get good market share on several products and also increasing volumes.

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During H1, we filed one ANDA. Cumulatively, we have filed total 38 ANDAs to-date. Of this, we have 15 final approvals and 13 tentative approvals so far.

We continue to have diverse portfolio and pipeline including novel 505(b)2 products comprising of ARV, cardiovascular, diabetes, CNS, and gastrointestinal.

In Canada, we have 21 filings with 13 product approvals, of which we have launched nine products and we are intending to launch at least two more products during the second-half of FY24.

For EU markets, we have 18 filings with 14 product approvals, of which we already launched six products. We have continued to strengthen our CMO relationships and anticipate further volume increases in the coming quarters.

Our FDF division continue to operate most of the total commission capacity of 10 billion, in which we anticipate that the remaining Brownfield capacities that we added in the last year should start to get optimally utilized by end of this year.

On R&D front, overall R&D spending to sales for H1 FY24 was at 4.5%. We have incurred little higher R&D expenditure in this quarter as we acquired intellectual rights for few gene therapy products from IIT, Kanpur.

We continue to make good progress and invest in portfolio with product-specific approach based on complexity and scale economics.

We have total 62 products in R&D pipeline with market size of over US\$ 49 billion.

I would like to share the status of our filings as of now; 38 ANDAs in the US, 18 dossiers in Europe, 21 products in Canada, nine dossiers with WSO, eight dossiers in South Africa, one in Australia, while 20 dossiers filed in India, while several products were filed in various ROW markets.

Overall R&D to sales of the full year is expected to be around 4.5%.

While coming to generic APIs, revenue from generic APIs during the Q2 declined by 8% year-on-year to Rs.629 crores. However, sequentially, it has improved by 5%. For H1, overall growth was flatish.

ARV retained its volume-led steady momentum through Q2 and revenues moderated a bit, attributing to an element of cyclicity in the ordering.

We continue to maintain a lead

ing market share in the first line HIV treatment-related APIs.

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In the onco API space, the sales for the quarter rebounded and delivered a strong revenue increase over 100% year-on-year to Rs.117 crores. In H1, the growth is over 50%. This is reflective of strong demand across our portfolio and favorable industry dynamics. We are augmenting the new capacity for oncology products to accommodate the increased demand. More importantly, Laurus Labs, one of the largest high potent API capacities in the country. And our aim to strengthen global leadership in some of the existing products by focusing on higher volumes and adding new potent molecules.

In the other API segment, which includes cardiovascular, diabetes, asthma has slightly

recovered, tracking only 2% growth quarter -on-quarter to Rs.139 crores. Recovery is muted on account of tempo rary market dynamics and scheduling patterns from our partners. On the year -on-year basis , revenues declined by 37%. We are confident that underlying demand for our products remain strong and our CMO order book has continued to look very healthy.

In first half this financial year, we have filed three DMF , out of those two are in non -ARV category . With this company has a total of 83 DM F.

While coming to synthesis business during the Q2, the company CDMO business recorded revenues of Rs.224 c rores, decline of almost 70% year -on-year. The revenues declined due to a weak year -on-year comparison given large CDMO projects executed last year. Otherwise , the baseline business tracking healthy and project pipeline continues to scale up very well with our existing and new customers added in the last six months.

We continue to execute on our scientific -led approach to customer acquisition and retention. We are further strengthening and expanding our relationship with several big pharma.

We remain focused on improving ou r integrated CDMO enabling technology platform to achieve diversified revenue stream, ensuring stability and resilience.

We are working on over 60 projects , out of this, there are 10 products, commercial , few APIs and several intermediates.

We made good pr ogress on new science for CDMO division, b oth R&D Center and manufacturing facilities under L SPL.

Our animal health unit initiated commercial validations from this month and should gradually scale up. R&D center is likely to get commissioned by the end of FY24. Our new animal health site will have all the capabilities to handle steroids, hormones and high poten t molecules apart from other large volume products.

In Laurus Bio, we recorded strong growth for Q2 and H1 ; Q2 we grew the revenues by 44% and H1 by 56%. The growth was led by attraction in CDMO services along with the expansion in Laurus Labs Limited

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our customer base. We're also optimizing our capacities with the large scale CDMO partners and expect increased downstream capacity to come on line by December '23. This unit will achieve its peak revenues during F Y25.

Our enhance d technical expertise and biocatalysis is expanding its application in several small molecule manufacturing where Laurus is utilizing this expertise to servic e big pharma.

Progress on our new Greenfield site at R3 is on track and we have completed the design phase. We expect the expansion to happen in a phased manner. This site should further strengthen Laurus capabilities in offering CDMO services in animal or igin free proteins and growth factors apart from large scale permutation.

Let me share brief on quality and EHS initiatives. We have continued to implement and operate best-in-class R&D, manufacturing and quality control systems in line with the highest gl obal standards along with a comprehensive EHS management . This is enabled by our profound scientific team of over 2 ,300 people embracing comm

itment to ev olve to address new opportunities.

During Q2, we implemented the project called "Sankalp " in associatio n with DuPont Sustainability Solutions to further enhance organizational safety excellence.

During the H1 F Y24, a total of 51 quality audits were undertaken, including several customer audits . To-date since inception we have successfully passed 91 regulator y audits, including 40 audits from major global regulatory agencies like US FDA, WHO, PMDA, TGA, EMA and MHRA.

With that, I would like to hand it over to Ravi to share some of the financial highlights.

V V Ravi Kumar : Thank you, D r. Satya and a very warm welcome to everyone for Q2 and H1 FY24 earnings call.

Total income from operations for the H1 was Rs. 2,406 crores as against Rs.3,115 crores.

Excluding large PO, you're all aware that we have executed a large PO last year. The underlying busine ss delivered growth of 14% for H1, whereas for the Q2 it was 18%.

As you would notice that our quarter performance has recovered and we showed an improving momentum for majority of our business , also as D r. Satya highlighted about the strong underlying dem and across our growth pillars, we believe it will continue to support our outlook for the rest of the current fiscal.

Gross margin for Q2 have improved at 52.5%. And if you look at EBITDA for Q2 FY24, is at Rs.188 crores with a margin of 15.4 % , whereas for the first half it was Rs.356 crores with an EBITDA margin of 14.8%. The impact is primarily due to operational deleverage, lower CDMO business , and some of the new initiatives' expenditure being incurred like CGT , etc., I think overall, we spent about Rs.16 crores on the new initiatives.

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Our diluted EPS for Q2 was 0.6 and for H1 it is 1.1 without any annualization. And our ROCE is at 11.4 % due to operating deleverage and the strong capital deployments for the future growth. On the CAPEX front, we invested close to Rs.182 crores for the quarter and Rs.385 crores for the first H1.

The board of directors recommended a dividend of 40 paise per share.

As you are aware for FY24, the majority of CAPEX is for the synthesis and bio divisions and most of the expansion projects are on track to support our future growth ...you can refer to our IR presentation for more details.

With this, I would request the moderator to open the lines for Q&A .

Moderator: We will now begin the question -and-answer session. We'll take the first question from the line of Jeevan Patwa from Sahasr Capital. Please go ahead.

Jeevan Patwa : Firstly, congratulations for market authorization for CAR -T technology. Just wanted to understand , now we have the authorization for India, what is our plan for other markets or other geography , is there any other geographies where we are conducting the clinical trials?

Dr. Satyanarayana Chava: Currently , our associate company Immun oACT has partnered with Mexican Minister of Health and trials will be done in Mexico and We are in the process of finalizing some licensing deal with a European company. So , next year we expect clinical trials will start in Mexico for this product , and in year 2025, clinical trials will also start in Europe . In Europe since the licensing deal is under negotiation , I can't give you more details, but there are some licensing deals being pursued by the company . Going back to your question, since the approval is obtained, we expect to launch in the next few months in India, we are gearing up to do commercial manufacturing while getting all the necessary licenses needed for India launch.

Jeevan Patwa: Is there any other type of cancer that you are working on ... any solid tumor cancer?

Dr. Satyanarayana Chava: There is one Clinical candidate is in pipeline which is in preclinical , will go to Phase -II in the next six months , that is BCMA. There is another asset which is in t

he early stage of research for the solid tumors.

Jeevan Patwa: Just wanted to understand on this API and FDF side. So, we are talking about new CMO orders .

Last quarter we said we have tied up with few clients. This quarter, we are saying we have CMO order , a healthy pipeline. So , can you elaborate more on this when will they are going to start ... so is it going to be in the second -half and how big they are ? Because our API revenue has been constant since last many quarters now despite having expanded our capacities by more than 50%. So, when can we actually see this number ramping up on the API side actually , and then on the FDF side as well ? So, on this CMO order basically can you elaborate more ?

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Dr. Satyanarayana Chava: The CMO order we got from our partners for integrated manufacturing of API and formulations. If you recollect , we were talking about billion tablets CMO . That will increase to 1.5 , 1.6 billion . We are qualifying the packaging lines also. Earlier , we used to do bulk packaging , now we are doing the secondary packaging as well. And then your question of our 50% capacity addition, majority addition, we have done for CDMO. So , as you're aware , in CDMO business, we have to have patience because we have to deliver Phase -II, Phase -III and wait for the commercial launch. So , I can assure you your company is in a good position to offer CDMO differentiation when compared to other CDMO companies in India.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Please go ahead.

Tushar Manudhane: So just on the gross margin firstly on sequential basis, when the synthesis business has in fact there has been slight decline and formulations business has also been quite stable. So , if you could just explain the reason for better gross margin this quarter compared to previous quarter ?

Dr. Satyanarayana Chava: The better gross margin in this quarter is primarily because of improvements we have done earlier were commercialized and also, we are operating our ARV facilities at full scale , that is also helping us to leverage.

Tushar Manudhane: Considering the FY 24 sales outlook and presumably significant chunk of the business coming from CMO , CDMO side, as you have indicated in just the earlier commentary that the ARV -led API and formulations could be stable, so does it mean that there should be a significant improvement further in the gross margin in the coming quarters?

Dr. Satyanarayana Chava: The gross margin improvement, if you look at our second quarter FY23 was at 55% where our revenue was primarily driven by large CDMO orders. Yes, if the CDMO revenues pick up, the margins will slightly improve better.

Tushar Manudhane: Means we can go back to 55% ?

Dr. Satyanarayana Chava: I'm not commenting, but with the revenue growth primarily driven by CDMO business, the chances of increasing beyond the 52% what we have reported will certainly go up.

Moderator: The next question is from the line of Bharat from Quest Value Capitals . Please go ahead.

Bharat: Recently , Andhra Pradesh Chief Minister has said ground breaking for unit -7 in Vizag . May I know what is this unit -7?

Dr. Satyanarayana Chava: New groundbreaking ceremony was done last week is primarily to add more capacity for CDMO. We are making that common infrastructure for new CDMO sites.

Bharat: This unit-7 for a specific customer or is it for generic -?

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Dr. Satyanarayana Chava: There are two sites. We are creating common infrastructure and building one block in each of those to get the necessary regulatory approval so that that site also can be audited by big pharma and we can able to service from that site as well.

Bharat: May I know what is the CAPEX for FY25?

Dr. Satyanarayana Chava:

We will give you more details in the next quarter conference call about the new CAPEX in those new sites.

Bharat: If you see in the presentation you said like this year would be a year of consolidation and the two quarters back you said that a year of consolidation means you don't expect any degrowth.

May I know what do you mean now with this a year of consolidation , do you expect any degrowth now?

Dr. Satyanarayana Chava: When we are saying this year will be a year of consolidation , that means we are adding a lot of capacity. If you look at in the last three years, we have added 3 million liters capacity and 5 billion tablets capacity. So , all those will be utilized in the next financial year onwards. There , a lot of leverage will come. Currently , negative leverage is happening. We have capacities , we have people and we are only doing trial quantities. So, we are spending more than what we are earning from those sites. So , once we do commercial manufacturing from those sites, you will see very healthy EBITDA margins and then return ratios.

Moderator: The next question is from the line of Vivek Agrawal from Citigroup. Please go ahead.

Vivek Agrawal: In API segment actually, we have seen a decent rebound and it is largely led by oncology. So , can you please call out what has driven this rebound and is it a broad -based or any product - specific contribution , any milestone income in oncology , etc., that would be helpful ?

Dr. Satyanarayana Chava: Thanks, Vivek. The growth in oncology business is also a pleasant surprise for us as well . Maybe the regulatory setbacks for some of the companies is helping us to gain market share , and as I mentioned, we have the largest capacity in oncology , so we're able to capture that opportunity.

And if you look at our oncology API sale in H1, we have done Rs.171 crores and we have very, very good order book for H2. So , looks like we'll do very well in our oncology segment.

Vivek Agrawal: So, do you expect the current run rate can sustain in the coming quarters or in the next year as well?

Dr. Satyanarayana Chava: We certainly believe so because we have order books well beyond Q4 of this year .

Vivek Agrawal: One question on FDF. How much of the business coming from US now, if you can help us understand?

Dr. Satyanarayana Chava: I can give you a number for North America . This year all put together, it could be \$35-40 million

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Vivek Agrawal: Just last question on synthesis business, right . So next few projects that we have in the segments are largely in the animal health region or agrochem, right . So, can you also talk a bit on human health project , that's a bigger market , so is there any progress out there , has the company received any mid or large -scale project of late

Dr. Satyanarayana Chava: In the synthesis, there are several projects in the clinical phase right now. We believe we are well positioned for several reasons. The one reason is we have capacity and our regulatory track record is very good and we have scale and we have technical capabilities. See, nowadays we have capabilities from biocatalysis to continuous flow chemistry to very large -scale hydrogenation, very low temperature reactions, very high temperature reactions. We are capable of delivering wide variety of chemistries , that is also well appreciated by our partners. So , we believe we are well positioned to get that opportunity.

Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav : I just wanted to understand on the approval for the CAR-T therapy which we have received for India. How big is the addressable market , like do we know how many patients there are in India which can be addressed by this drug? And I was just reading some article online. They said that treatment cost is about 30 lakhs per patient per year. I

s that like broadly a right number that we should understand?

Dr. Satyanarayana Chava: We cannot give you the exact cost to the patient. We can only give you what is the product cost we are going to supply to the hospitals. It is between 30 to 40 lakhs. So, we don't have any control or estimation on how much it will cost to the patient. Our associate companies plan to sell between 30 to 40 lakhs per treatment.

Madhav: What's the patient population in India, do we have any broad estimation for that?

Dr. Satyanarayana Chava: I don't have the right number with us, but currently, Immuno ACT geared up to deliver about 500 treatments per year from the current facility and also creating facility which will be ready by March 2025 where we can deliver additional 2,500 treatments per year.

Madhav: Then just on the CDMO business, I think you have mentioned we have 62 active projects in the pipeline. Could you please help us understand like how many of these are Phase -II, Phase -III and commercialized molecules, if you could share some split it will be very helpful.

Dr. Satyanarayana Chava: As I mentioned in our presentation, we have about 10 commercial products, four APIs and other advanced intermediates and we have an additional 60 projects in various clinical stages.

Madhav: My question is like if we have 10 commercialized projects, that should mean like good potential as we go into next year, right, because we are building the capacity and if 10 of them are commercial, is that the right understanding?

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Dr. Satyanarayana Chava: We have built capacity for commercial products already. The additional capacity, for example, in animal health, we just started commercial validation from this month. Our crop science facility is still under construction. While other human health projects where we are creating capacity, we are doing either Phase -II or Phase -III quantities. So, once we do those, we have to wait for certain time until we get the commercial orders. So, what we are envisaging, what we're also telling all our stakeholders, the company is well positioned because of the Greenfield infrastructure, our quality and our chemistry capabilities, the company is well positioned to take those opportunities.

Moderator: The next question is from the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: My first question is if you could provide the split between your ARV and non-ARV revenue for this quarter on a consolidated basis?

Dr. Satyanarayana Chava: ARV is 49%.

Krish Mehta: Could you provide the split between your ARV FDF and non-ARV FDF for this quarter?

Dr. Satyanarayana Chava: We have done about Rs.110 crores of non-ARV formulations. If you look at our split there, it is slightly moving towards non-ARV products, that's what we are mentioning. The growth in formulations also in the future quarters will only come from non-ARV.

Moderator: The next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: My question is related to Immuno ACT. When we are expecting it to roll out in India?

Dr. Satyanarayana Chava: We expect the rollout will happen in the next two months.

Ranvir Singh: Do we have a plan to increase your stake there from 34%?

Dr. Satyanarayana Chava: It's too early to say anything because they have enough capital to deploy and if they get approval and that will also give some additional cash flow for them, we don't expect.

Ranvir Singh: In last quarter, we indicated that EBITDA margin may come back to around 25% -plus kind of a number going forward. Because in first half that doesn't seem a distant goal. So, any comment over here?

Dr. Satyanarayana Chava: Based on the current trend of growth in all segments, we expect the margins will be better when compared to the first half and we are

very optimistic about second half of this financial year.

Ranvir Singh: So overall for a full year, the margin can we expect in the range of 20% at least?

Dr. Satyanarayana Chava: I can still say we'll improve beyond this 15% right now, yes.

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Ranvir Singh: Third on bio side, have you added any more products other than Trypsin in this division?

Dr. Satyanarayana Chava: In bio, the majority revenue is driven by our CDMO partners. So, our revenue coming from Trypsin and animal origin free ingredients is also growing, but major growth is coming from our CDMO offerings there.

Ranvir Singh: So, on a full year basis, what kind of potential we can see from this division?

Dr. Satyanarayana Chava: The H1 bio is Rs.89 crores and the second half will also be very similar to that, yes. We expect some more decrease in Q3 because of we are shutting down some of the facility for debottlenecking and where Q4 will rebound. So, that that division is doing very good as you have seen from our previous quarters. That is the reason we increase our stake in the company. We have lot of confidence on that business segment.

Moderator: The next question is from the line of Sajal Kapoor, an individual investor. Please go ahead.

Sajal Kapoor: My first question is, there is a quote from Henry Ford and I quote him, he said, "The only real

mistake is the one from which we learn nothing. " Do you believe D r. Satya that failures can sometimes lead to new opportunities or landing strips and provided the lessons are learned and internalized , and if yes, what examples from your own experience over the past year or so might you be able to share?

Dr. Satyanarayana Chava: We have several examples. Our conviction put us into a very leadership position . For some products where we failed to validate , some products we failed to get the right costing, but we continue to invest on those products and we enjoyed the success , there are several examples for that. We cannot fail every time. So , we fail once , twice, but we eliminate the opportunities for failure significantly at every failure.

Sajal Kapoor: My second question, D r. Satya is , at a recent innovation conference in Cambridge , I heard a quote from a member of pharmaceutical life sciences company that kind of keeps coming back to me . The person asserted that possibility always produces uncertainty and fear of uncertainty is a competitive advantage or mode that keeps their business safe from rivals or competition. And they claim that if something is too simple to discover or develop, then anybody and everybody will eventually get involved in the field of delivering or developing new drugs. So , the uncertainty is kind of a mode that protects their business , that was their hypothesis. I mean, what's your sense on this , if you can please ?

Dr. Satyanarayana Chava: We can give you on our recent success . Our investment in cell therapy is a lot of uncertainties around that discovery and development. So many people don't go into that. That's one way we had enjoyed success. The second is not many people are investing in gene therapy because of lack of talent, lack of understanding of that segment , we invested there . But it will take some time for us to enjoy success in gene therapy . When it comes to the CDMO, what you said is absolutely right. How many companies in India have created three million liters of new capacity

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in the last three years ? Not many . How many companies have scale at which we are operating? How many companies are having fully integrated development , that means from enzyme design, enzyme manufacturing to biocatalysis to large scale hydrogenations , flow chemistry and all . So, we are creating competitive advantage by investing ahead of the time , that is our success mantra ,

that's we are saying many a time and you pointed out very well. So , the fear of failure will prevent many people to invest, yes.

Sajal Kapoor: Dr. Satya, one question on regulatory uncertainty . What else could potentially harm or disappoint shareholders in the medium term, let's say next two to three years when it comes to the uncertainty that we have on the regulatory front, it could be USFDA audit, it could be some unexpected development , anything on your horizon that we have to be guarded against ?

Dr. Satyanarayana Chava: We have derisked significantly, but we can't say 100%. We have multiple facilities now . We are operating in multiple regions. So , we have our bio division in Bangalore, Tumkur and Mysore. We have our R&D in Hyderabad, Telangana. We have API facilities in Vizag, Andhra Pradesh. We have our associate company in Mumbai . And we have our cell and gene therapy facility being created at Kanpur. So , we have diversified significantly regional wise also . And second when it comes to regulatory inspections , you have seen our impeccable track record there and we expect to maintain that.

Moderator: We will take the next question from the line of Saurabh Kapadia from Sundaram Mutual Fund. Please go ahead.

Saurabh Kapadia: The outlook for second -half and '25 looks positive. So , will it be driven by more of the animal health project or the current commercialized molecule has the scope to drive it further , is there any large molecule or the molecule where there's a large opportunity in the current commercialized molecule as well?

Dr. Satyanarayana Chava: Our optimism in second -half is primarily driven by increased sales in API , ARV, increased sales in oncology, increased sales in formulations , and also increased sales in CDMO , it is driven by all segments.

Saurabh Kapadia: On synthesis side, will it be the animal health project only or the current commercial molecules also should the ARV growth as well ?

Dr. Satyanarayana Chava: We are not expecting any new commercial sales during the second -half. We're only anticipating a supply of Phase -II, Phase -III quantities in the second -half.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Just following up, sir, on the synthesis question , after the second -half, you mentioned the animal health business begins to scale up. When is the agrichem business contract largely to scale up for us

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Dr. Satyanarayana Chava: That will be in the second -half of FY25.

Nitin Agarwal: Sir, beyond these two contracts, are there any major milestones for the segment that we can sort of look forward to ?

Dr. Satyanarayana Chava: We are working on some R&D projects with partner, but we don't expect commercial sales in the next 12 to 18 months, yes. As you are aware, we are working with one of the top leading crop science companies. So, we have lot of potential to grow, but we are also cautious not to overcommit and underdeliver. We are taking projects what we can deliver. So, our current challenge is also lot of CAPEX projects going on. So, we are also cautious on where to invest, how much to invest.

Nitin Agarwal: So, sir, is the understanding right that animal health will contribute this second -half of this year, agrochemicals product will contribute in second -half of next year, and I guess there is not much of incremental large contract is likely to contribute in the human health over the next at least 18 months ?

Dr. Satyanarayana Chava: I said next six months.

Nitin Agarwal: So, do you expect some commercialization of human health business also in FY25?

Dr. Satyanarayana Chava: I can't give more specific, but there are products which will go from Phase -II to Phase -III next year.

Nitin Agarwal: Sir, this \$100 million ongoing CAPEX in synthesis, by when do you see it is reasonably utilized?

Dr. Satyanarayana Chava: Mid of next financial year onwards.

Nitin Agarwal: Sir, lastly on the FDF business this quarter, what was the component of non -ARV business in that?

Dr. Satyanarayana Chava: Rs.105 crores are non-ARV business from formulations.

Nitin Agarwal: And sir, lastly, on the other APIs, how should we think about this business growth from a 12 to 18 months perspective?

Dr. Satyanarayana Chava: Non-ARV formulations potential is very high. In ARV, API as well as formulations, we will have a threshold, we will not go beyond that because the number of patients is also plateauing in the African region. We anticipate both ARVs APIs and formulations will also attain its peak revenues soon maybe. So, the growth in both APIs growth, in formulations will come from non-API, non-ARV formulations.

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Nitin Agarwal: What will be the drivers for this growth, any specific molecules or therapies or it could be broad-based growth over here?

Dr. Satyanarayana Chava: Our new approvals in US, our new contract manufacturing deals in APIs and formulations, our onco sales are growing, our non-ARV, non-onco API sales are growing. So, there are a lot of avenues for us to grow there.

Nitin Agarwal: On this Immuno ACT business, apart from the financial stake that we have, what other role do we have in this partnership?

Dr. Satyanarayana Chava: We have two board membership there and we help them in thinking at about scale, some strategic

inputs. Beyond that we are not involved in the day-to-day operations there.

Nitin Agarwal: Any role in the manufacturing?

Dr. Satyanarayana Chava: No. But in IIT, Kanpur we are operating our own facility there. So, just on the contrary to Immuno ACT, In gene therapy, we are going to operate our own facilities.

Moderator: The next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: So, on the last call, you said that you expect improvement in the synthesis business from the next quarter onwards and this quarter that we have seen that that particular division has grown by 10% sequentially. So, can you help us understand what changed within three months and what is the outlook for this particular division going forward?

Dr. Satyanarayana Chava: See, CDMO, supplies, timelines all depends on what our partner is requesting. Sometimes if the partner asks deliveries in the next quarter, we have to deliver when he needs. So those kinds of uncertainties will be at CDMO. But, our customer list is increasing, our project list is increasing.

That is the reason we are also very confident on this segment.

Rohit Jain: No, I understand. The reason I ask that is on the last call you said that there was some deferment and that's why the first quarter number was lower and you expect improvement sequentially. So, should we understand that there was some further deferral?

Dr. Satyanarayana Chava: Yes, that's the reason we didn't have any sequential growth.

Rohit Jain: This was asked earlier on the call. Just wanted to confirm that. So, you said that this is the year of consolidation which earlier sort of indicated that you expected flat EPS YoY given the performance in 1H that seems like a difficult task. So, how should we think of that qualitative guidance of this year of consolidation in terms of financial?

Dr. Satyanarayana Chava: We're not giving guidance, but as we mentioned, this is exciting times for us in the company, that means we have many prospects, many exciting projects and things are in a good shape. So,

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that is the reason we are investing into the future. That's my answer for this, yes. We can't give you guidance right now.

Rohit Jain: For the CDMO CAPEX and

and for the size that you're preparing, what sort of asset turns should we think of, the broad range like the high and the low?

Dr. Satyanarayana Chava: I will give you a very broad number. It varies between one and two asset turn, all depends on the project, yes.

Moderator: The next question is from the line of Abhijeet K from PCL. Please go ahead.

Abhijeet K: First, I'd like to ask a question with regards to the revenue base. I'm looking at the presentation, I see that there is a sequential increase in the revenue removing the CDMO base of the previous contract which is Paxlovid. How do you see the revenues growing over the next two quarters and also in the next one year?

Dr. Satyanarayana Chava: In the synthesis, if you look at the overall year, last year was lot of commercial supplies happened. This year, we don't have any commercial supplies, but we hope next year will be again a good year for a CDMO, some of the projects are moving into the late clinical phase or commercial. So, things will be in a good shape next year.

Abhijeet K: Next part is with regards to the CDMO. You've mentioned that one is going to be the animal API business that is going to come into place and the other is the agrochemical. Do you see that this is going to be a structural change in the company where you're going to be diversifying not only from a pharma-based thing and diversify into other revenue streams like agri and also alternative sectors?

Dr. Satyanarayana Chava: The animal health is a contract signed with one customer for good chunk of products. And in crop sciences, we have signed one development agreement and we'll also sign a second commercial agreement soon. So, our CDMO comprises of human health, animal health, some cosmetic ingredients we are doing. So that way, our CDMO division is well diversified when compared to many other CDMOs, yes.

Moderator: We'll take the next question from the line of Aditya Sen from RoboCapital. Please go ahead.

Aditya Sen: Once we start utilizing our new facilities, let's say by late FY25 or even FY26, then will we be able to get back to the previous high range that is plus 25% range of EBITDA?

Dr. Satyanarayana Chava: This is a very interesting question, but we can promise you we will get closer to 30%, but I will not tell you which year. Our growth, our revenue contribution significantly tilts towards CDMO, I'm sure we have an opportunity to take our EBITDA back to around 30% level.

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Moderator: Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Dr. Satyanarayana Chava: Thank you, Mohanish for organizing this call and thank you our stakeholders who have a lot of confidence on us and I'm sure we will meet your expectations as we continue to commit ourselves to bring cutting edge technologies and servicing customers with our wide range of chemistry offerings.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Antique Stock Broking, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

October 25 , 2023
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Q2 FY24 Results conference call hosted on October 20 , 2023

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated October 13, 2023 , please be informed that the Results conference call for Q2 FY24 was hosted on October 20 , 2023 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

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"Laurus Labs Q2 FY'24 Earnings Conference Call"

October 20, 2023

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER & CHIEF
EXECUTIVE OFFICER , LAURUS LABS LIMITED
MR. V V RAVI KUMAR – EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER , LAURUS LABS LIMITED
MR. VIVEK , INVESTOR RELATIONS TEAM, LAURUS
LABS LIMITED

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

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Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Laurus Labs Limited hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you and over to you, Mr. Shah.

Monish Shah: Thank you, Michelle. Good evening, everyone, and welcome to Laurus Labs 2Q & H1 Results Conference Call. On behalf of Antique Stock Broking, I thank the management for giving us the opportunity to host the call.

Today, we have with us Dr. Satyanarayana Chava -- Founder and CEO; Mr. V V Ravi Kumar - Executive Director and CFO, and Vivek from the IR team.

I will hand the call over to Dr. Satya for his opening remarks. Thank you and over to you sir.

Dr. Satyanarayana Chava: Thank you, Monish for hosting this conference call. Thank you for joining us for our Q2 & H1 FY24 Results Conference Call. We're pleased to have this opportunity to update you on our progress and answer your questions.

Our performance from Q2 started to see improvement and our priorities remain consistent. By focusing on R&D-led commercial strategy and customer-centric business orientation, we're advancing and augmenting our operational excellence to offer cutting-edge technology platforms in the manufacturing of small molecules, deliver the best external and internal opportunities as well as bringing innovative manufacturing solutions to companies and patients. We've executed on several important business development transactions last quarter and we are further accelerating our strategic manufacturing partnerships.

We're also pleased to report that our investment into disruptive technology is progressing well. The first one is our investment in ImmunoACT CAR-T lead compound, NexCAR-19, which completed Phase-II trial for lymphoma and leukemia indication, has been granted marketing approval from CDSCO, Government of India. We feel it is a significant breakthrough and will be the India's first indigenous developed and manufactured cell therapy product for treating certain blood cancers.

The second one is initiation of GLP Lab Construction for the manufacture of viral vectors and gene therapy products at IIT, Kanpur.

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The third one is increase in our stake in Laurus Bio, now 88%. This is a reflection to our confidence on great potential for future developments in enzyme technology platform.

Currently, it's an exciting time at Laurus labs and we are determined to build on our R&D-driven commercial excellence to deliver best quality and affordable healthcare solutions as we seek to create a long-term value for both patients and our all stakeholders.

Our Q2 results is in line and improved over Q1 due to recovery in customer supplies, which is driving higher revenues. While gross margins were maintained at very healthy level, our EBITDA margins have clocked a modest recovery as higher upfront expenses and growth projects have weighed on our overall operating cost. It is important to keep in mind as well as that our year-on-year growth was subdued due to particularly strong quarter we had in FY23. As a result of these factors, our revenues were declined by 22% to Rs.1,224 crores and EBITDA came at Rs.188 crores with a margin of 15.4%. Our quarter-on-quarter growth is rebounding in both our API and formulations business, supported by strong underlying demand in other segments.

Our CDMO business project pipeline have

continued to scale up along with the expansion of our new partnerships. Our cost improvement programs are also progressing as expected. Following the recovery, we saw in Q2, we remain optimistic for a better H2 resulting from both healthy order book and strong commercialization capabilities.

To begin, I would like to share key updates on our formulations business. Our formulations division reported overall revenues of Rs.332 crores for Q2, increasing over 120%. That was because of low base last year. On sequential basis revenues have also improved by 16%. Moreover, if you look at our H1, revenues increased by 24%. This was primarily driven by recovery in every business along with growth in our developed market share.

Coming to LMIC business, overall market volumes have largely remained stable, partly supported from stable prices. We remain fully committed to stabilize our ARV franchise business throughout the FY24 and beyond while navigating the pricing headwinds.

We awarded with 20% recent NACO tender for a supply of key products and this is our maiden successful bid in the Government of India tender for the supplies of HIV products in India. This was achieved primarily because of our fully backward integrated offering in ARV model.

We have successfully implemented several cost improvement measures and we believe these measures will sufficiently ensure our market readiness and confidence of sustaining leadership position in first line ARV treatment both in APIs and formulations.

Coming to the developed markets, demand for our broader portfolio remain healthy. In US, we continue to get good market share on several products and also increasing volumes.

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During H1, we filed one ANDA. Cumulatively, we have filed total 38 ANDAs to-date. Of this, we have 15 final approvals and 13 tentative approvals so far.

We continue to have diverse portfolio and pipeline including novel 505(b)2 products comprising of ARV, cardiovascular, diabetes, CNS, and gastrointestinal.

In Canada, we have 21 filings with 13 product approvals, of which we have launched nine products and we are intending to launch at least two more products during the second-half of FY24.

For EU markets, we have 18 filings with 14 product approvals, of which we already launched six products. We have continued to strengthen our CMO relationships and anticipate further volume increases in the coming quarters.

Our FDF division continue to operate most of the total commission capacity of 10 billion, in which we anticipate that the remaining Brownfield capacities that we added in the last year should start to get optimally utilized by end of this year.

On R&D front, overall R&D spending to sales for H1 FY24 was at 4.5%. We have incurred little higher R&D expenditure in this quarter as we acquired intellectual rights for few gene therapy products from IIT, Kanpur.

We continue to make good progress and invest in portfolio with product-specific approach based on complexity and scale economics.

We have total 62 products in R&D pipeline with market size of over US\$ 49 billion.

I would like to share the status of our filings as of now; 38 ANDAs in the US, 18 dossiers in Europe, 21 products in Canada, nine dossiers with WSO, eight dossiers in South Africa, one in Australia, while 20 dossiers filed in India, while several products were filed in various ROW markets.

Overall R&D to sales of the full year is expected to be around 4.5%.

While coming to generic APIs, revenue from generic APIs during the Q2 declined by 8% year-on-year to Rs.629 crores. However, sequentially, it has improved by 5%. For H1, overall growth was flatish.

ARV retained its volume-led steady momentum through Q2 and revenues moderated a bit, attributing to an element of cyclicity in the ordering.

We continue to maintain a lead

ing market share in the first line HIV treatment-related APIs.

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In the onco API space, the sales for the quarter rebounded and delivered a strong revenue increase over 100% year-on-year to Rs.117 crores. In H1, the growth is over 50%. This is reflective of strong demand across our portfolio and favorable industry dynamics. We are augmenting the new capacity for oncology products to accommodate the increased demand. More importantly, Laurus Labs, one of the largest high potent API capacities in the country. And our aim to strengthen global leadership in some of the existing products by focusing on higher volumes and adding new potent molecules.

In the other API segment, which includes cardiovascular, diabetes, asthma has slightly

recovered, tracking only 2% growth quarter -on-quarter to Rs.139 crores. Recovery is muted on account of tempo rary market dynamics and scheduling patterns from our partners. On the year -on-year basis , revenues declined by 37%. We are confident that underlying demand for our products remain strong and our CMO order book has continued to look very healthy.

In first half this financial year, we have filed three DMF , out of those two are in non -ARV category . With this company has a total of 83 DM F.

While coming to synthesis business during the Q2, the company CDMO business recorded revenues of Rs.224 c rores, decline of almost 70% year -on-year. The revenues declined due to a weak year -on-year comparison given large CDMO projects executed last year. Otherwise , the baseline business tracking healthy and project pipeline continues to scale up very well with our existing and new customers added in the last six months.

We continue to execute on our scientific -led approach to customer acquisition and retention. We are further strengthening and expanding our relationship with several big pharma.

We remain focused on improving ou r integrated CDMO enabling technology platform to achieve diversified revenue stream, ensuring stability and resilience.

We are working on over 60 projects , out of this, there are 10 products, commercial , few APIs and several intermediates.

We made good pr ogress on new science for CDMO division, b oth R&D Center and manufacturing facilities under L SPL.

Our an imal health unit initiated commercial validations from this month and should gradually scale up. R&D center is likely to get commissioned by the end of FY24. Our new animal health site will have all the capabilities to handle steroids, hormones and high poten t molecules apart from other large volume products.

In Laurus Bio, we recorded strong growth for Q2 and H1 ; Q2 we grew the revenues by 44% and H1 by 56%. The growth was led by attraction in CDMO services along with the expansion in Laurus Labs Limited

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our customer base. We're also optimizing our capacities with the large scale CDMO partners and expect increased downstream capacity to come on line by December '23. This unit will achieve its peak revenues during F Y25.

Our enhance d technical expertise and biocatalysis is expanding its application in several small molecule manufacturing where L aurus is utilizing this expertise to servic e big pharma.

Progress on our new Greenfield site at R3 is on track and we have completed the design phase. We expect the expansion to happen in a phased manner. This site should further strengthen Laurus capabilities in offering CDMO services in animal or igin free proteins and growth factors apart from large scale permutation.

Let me share brief on quality and EHS initiatives. We have continued to implement and operate best-in-class R&D, manufacturing and quality control systems in line with the highest gl obal standards along with a comprehensive EHS management . This is enabled by our profound scientific team of over 2 ,300 people embracing comm

itment to ev olve to address new opportunities.

During Q2, we implemented the project called "Sankalp " in associatio n with DuPont Sustainability Solutions to further enhance organizational safety excellence.

During the H1 F Y24, a total of 51 quality audits were undertaken, including several customer audits . To-date since inception we have successfully passed 91 regulator y audits, including 40 audits from major global regulatory agencies like US FDA, WHO, PMDA, TGA, EMA and MHRA.

With that, I would like to hand it over to Ravi to share some of the financial highlights.

V V Ravi Kumar : Thank you, D r. Satya and a very warm welcome to everyone for Q2 and H1 FY24 earnings call.

Total income from operations for the H1 was Rs. 2,406 crores as against Rs.3,115 crores.

Excluding large PO, you're all aware that we have executed a large PO last year. The underlying busine ss delivered growth of 14% for H1, whereas for the Q2 it was 18%.

As you would notice that our quarter performance has recovered and we showed an improving momentum for majority of our business , also as D r. Satya highlighted about the strong underlying dem and across our growth pillars, we believe it will continue to support our outlook for the rest of the current fiscal.

Gross margin for Q2 have improved at 52.5%. And if you look at EBITDA for Q2 FY24, is at Rs.188 crores with a margin of 15.4 % , whereas for the first half it was Rs.356 crores with an EBITDA margin of 14.8%. The impact is primarily due to operational deleverage, lower CDMO business , and some of the new initiatives' expenditure being incurred like CGT , etc., I think overall, we spent about Rs.16 crores on the new initiatives.

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Our diluted EPS for Q2 was 0.6 and for H1 it is 1.1 without any annualization. And our ROCE is at 11.4 % due to operating deleverage and the strong capital deployments for the future growth. On the CAPEX front, we invested close to Rs.182 crores for the quarter and Rs.385 crores for the first H1.

The board of directors recommended a dividend of 40 paise per share.

As you are aware for FY24, the majority of CAPEX is for the synthesis and bio divisions and most of the expansion projects are on track to support our future growth ...you can refer to our IR presentation for more details.

With this, I would request the moderator to open the lines for Q&A .

Moderator: We will now begin the question -and-answer session. We'll take the first question from the line of Jeevan Patwa from Sahasr Capital. Please go ahead.

Jeevan Patwa : Firstly, congratulations for market authorization for CAR -T technology. Just wanted to understand , now we have the authorization for India, what is our plan for other markets or other geography , is there any other geographies where we are conducting the clinical trials?

Dr. Satyanarayana Chava: Currently , our associate company Immun oACT has partnered with Mexican Minister of Health and trials will be done in Mexico and We are in the process of finalizing some licensing deal with a European company. So , next year we expect clinical trials will start in Mexico for this product , and in year 2025, clinical trials will also start in Europe . In Europe since the licensing deal is under negotiation , I can't give you more details, but there are some licensing deals being pursued by the company . Going back to your question, since the approval is obtained, we expect to launch in the next few months in India, we are gearing up to do commercial manufacturing while getting all the necessary licenses needed for India launch.

Jeevan Patwa: Is there any other type of cancer that you are working on ... any solid tumor cancer?

Dr. Satyanarayana Chava: There is one Clinical candidate is in pipeline which is in preclinical , will go to Phase -II in the next six months , that is BCMA. There is another asset which is in t

he early stage of research for the solid tumors.

Jeevan Patwa: Just wanted to understand on this API and FDF side. So, we are talking about new CMO orders .

Last quarter we said we have tied up with few clients. This quarter, we are saying we have CMO order , a healthy pipeline. So , can you elaborate more on this when will they are going to start ... so is it going to be in the second -half and how big they are ? Because our API revenue has been constant since last many quarters now despite having expanded our capacities by more than 50%. So, when can we actually see this number ramping up on the API side actually , and then on the FDF side as well ? So, on this CMO order basically can you elaborate more ?

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Dr. Satyanarayana Chava: The CMO order we got from our partners for integrated manufacturing of API and formulations. If you recollect , we were talking about billion tablets CMO . That will increase to 1.5 , 1.6 billion . We are qualifying the packaging lines also. Earlier , we used to do bulk packaging , now we are doing the secondary packaging as well. And then your question of our 50% capacity addition, majority addition, we have done for CDMO. So , as you're aware , in CDMO business, we have to have patience because we have to deliver Phase -II, Phase -III and wait for the commercial launch. So , I can assure you your company is in a good position to offer CDMO differentiation when compared to other CDMO companies in India.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Please go ahead.

Tushar Manudhane: So just on the gross margin firstly on sequential basis, when the synthesis business has in fact there has been slight decline and formulations business has also been quite stable. So , if you could just explain the reason for better gross margin this quarter compared to previous quarter ?

Dr. Satyanarayana Chava: The better gross margin in this quarter is primarily because of improvements we have done earlier were commercialized and also, we are operating our ARV facilities at full scale , that is also helping us to leverage.

Tushar Manudhane: Considering the FY 24 sales outlook and presumably significant chunk of the business coming from CMO , CDMO side, as you have indicated in just the earlier commentary that the ARV -led API and formulations could be stable, so does it mean that there should be a significant improvement further in the gross margin in the coming quarters?

Dr. Satyanarayana Chava: The gross margin improvement, if you look at our second quarter FY23 was at 55% where our revenue was primarily driven by large CDMO orders. Yes, if the CDMO revenues pick up, the margins will slightly improve better.

Tushar Manudhane: Means we can go back to 55% ?

Dr. Satyanarayana Chava: I'm not commenting, but with the revenue growth primarily driven by CDMO business, the chances of increasing beyond the 52% what we have reported will certainly go up.

Moderator: The next question is from the line of Bharat from Quest Value Capitals . Please go ahead.

Bharat: Recently , Andhra Pradesh Chief Minister has said ground breaking for unit -7 in Vizag . May I know what is this unit -7?

Dr. Satyanarayana Chava: New groundbreaking ceremony was done last week is primarily to add more capacity for CDMO. We are making that common infrastructure for new CDMO sites.

Bharat: This unit-7 for a specific customer or is it for generic -?

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Dr. Satyanarayana Chava: There are two sites. We are creating common infrastructure and building one block in each of those to get the necessary regulatory approval so that that site also can be audited by big pharma and we can able to service from that site as well.

Bharat: May I know what is the CAPEX for FY25?

Dr. Satyanarayana Chava:

We will give you more details in the next quarter conference call about the new CAPEX in those new sites.

Bharat: If you see in the presentation you said like this year would be a year of consolidation and the two quarters back you said that a year of consolidation means you don't expect any degrowth.

May I know what do you mean now with this a year of consolidation , do you expect any degrowth now?

Dr. Satyanarayana Chava: When we are saying this year will be a year of consolidation , that means we are adding a lot of capacity. If you look at in the last three years, we have added 3 million liters capacity and 5 billion tablets capacity. So , all those will be utilized in the next financial year onwards. There , a lot of leverage will come. Currently , negative leverage is happening. We have capacities , we have people and we are only doing trial quantities. So, we are spending more than what we are earning from those sites. So , once we do commercial manufacturing from those sites, you will see very healthy EBITDA margins and then return ratios.

Moderator: The next question is from the line of Vivek Agrawal from Citigroup. Please go ahead.

Vivek Agrawal: In API segment actually, we have seen a decent rebound and it is largely led by oncology. So , can you please call out what has driven this rebound and is it a broad -based or any product - specific contribution , any milestone income in oncology , etc., that would be helpful ?

Dr. Satyanarayana Chava: Thanks, Vivek. The growth in oncology business is also a pleasant surprise for us as well . Maybe the regulatory setbacks for some of the companies is helping us to gain market share , and as I mentioned, we have the largest capacity in oncology , so we're able to capture that opportunity.

And if you look at our oncology API sale in H1, we have done Rs.171 crores and we have very, very good order book for H2. So , looks like we'll do very well in our oncology segment.

Vivek Agrawal: So, do you expect the current run rate can sustain in the coming quarters or in the next year as well?

Dr. Satyanarayana Chava: We certainly believe so because we have order books well beyond Q4 of this year .

Vivek Agrawal: One question on FDF. How much of the business coming from US now, if you can help us understand?

Dr. Satyanarayana Chava: I can give you a number for North America . This year all put together, it could be \$35-40 million

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Vivek Agrawal: Just last question on synthesis business, right . So next few projects that we have in the segments are largely in the animal health region or agrochem, right . So, can you also talk a bit on human health project , that's a bigger market , so is there any progress out there , has the company received any mid or large -scale project of late

Dr. Satyanarayana Chava: In the synthesis, there are several projects in the clinical phase right now. We believe we are well positioned for several reasons. The one reason is we have capacity and our regulatory track record is very good and we have scale and we have technical capabilities. See, nowadays we have capabilities from biocatalysis to continuous flow chemistry to very large -scale hydrogenation, very low temperature reactions, very high temperature reactions. We are capable of delivering wide variety of chemistries , that is also well appreciated by our partners. So , we believe we are well positioned to get that opportunity.

Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav : I just wanted to understand on the approval for the CAR-T therapy which we have received for India. How big is the addressable market , like do we know how many patients there are in India which can be addressed by this drug? And I was just reading some article online. They said that treatment cost is about 30 lakhs per patient per year. I

s that like broadly a right number that we should understand?

Dr. Satyanarayana Chava: We cannot give you the exact cost to the patient. We can only give you what is the product cost we are going to supply to the hospitals. It is between 30 to 40 lakhs. So, we don't have any control or estimation on how much it will cost to the patient. Our associate companies plan to sell between 30 to 40 lakhs per treatment.

Madhav: What's the patient population in India, do we have any broad estimation for that?

Dr. Satyanarayana Chava: I don't have the right number with us, but currently, Immuno ACT geared up to deliver about 500 treatments per year from the current facility and also creating facility which will be ready by March 2025 where we can deliver additional 2,500 treatments per year.

Madhav: Then just on the CDMO business, I think you have mentioned we have 62 active projects in the pipeline. Could you please help us understand like how many of these are Phase -II, Phase -III and commercialized molecules, if you could share some split it will be very helpful.

Dr. Satyanarayana Chava: As I mentioned in our presentation, we have about 10 commercial products, four APIs and other advanced intermediates and we have an additional 60 projects in various clinical stages.

Madhav: My question is like if we have 10 commercialized projects, that should mean like good potential as we go into next year, right, because we are building the capacity and if 10 of them are commercial, is that the right understanding?

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Dr. Satyanarayana Chava: We have built capacity for commercial products already. The additional capacity, for example, in animal health, we just started commercial validation from this month. Our crop science facility is still under construction. While other human health projects where we are creating capacity, we are doing either Phase -II or Phase -III quantities. So, once we do those, we have to wait for certain time until we get the commercial orders. So, what we are envisaging, what we're also telling all our stakeholders, the company is well positioned because of the Greenfield infrastructure, our quality and our chemistry capabilities, the company is well positioned to take those opportunities.

Moderator: The next question is from the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: My first question is if you could provide the split between your ARV and non-ARV revenue for this quarter on a consolidated basis?

Dr. Satyanarayana Chava: ARV is 49%.

Krish Mehta: Could you provide the split between your ARV FDF and non-ARV FDF for this quarter?

Dr. Satyanarayana Chava: We have done about Rs.110 crores of non-ARV formulations. If you look at our split there, it is slightly moving towards non-ARV products, that's what we are mentioning. The growth in formulations also in the future quarters will only come from non-ARV.

Moderator: The next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: My question is related to Immuno ACT. When we are expecting it to roll out in India?

Dr. Satyanarayana Chava: We expect the rollout will happen in the next two months.

Ranvir Singh: Do we have a plan to increase your stake there from 34%?

Dr. Satyanarayana Chava: It's too early to say anything because they have enough capital to deploy and if they get approval and that will also give some additional cash flow for them, we don't expect.

Ranvir Singh: In last quarter, we indicated that EBITDA margin may come back to around 25% -plus kind of a number going forward. Because in first half that doesn't seem a distant goal. So, any comment over here?

Dr. Satyanarayana Chava: Based on the current trend of growth in all segments, we expect the margins will be better when compared to the first half and we are

very optimistic about second half of this financial year.

Ranvir Singh: So overall for a full year, the margin can we expect in the range of 20% at least?

Dr. Satyanarayana Chava: I can still say we'll improve beyond this 15% right now, yes.

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Ranvir Singh: Third on bio side, have you added any more products other than Trypsin in this division?

Dr. Satyanarayana Chava: In bio, the majority revenue is driven by our CDMO partners. So, our revenue coming from Trypsin and animal origin free ingredients is also growing, but major growth is coming from our CDMO offerings there.

Ranvir Singh: So, on a full year basis, what kind of potential we can see from this division?

Dr. Satyanarayana Chava: The H1 bio is Rs.89 crores and the second half will also be very similar to that, yes. We expect some more decrease in Q3 because of we are shutting down some of the facility for debottlenecking and where Q4 will rebound. So, that that division is doing very good as you have seen from our previous quarters. That is the reason we increase our stake in the company. We have lot of confidence on that business segment.

Moderator: The next question is from the line of Sajal Kapoor, an individual investor. Please go ahead.

Sajal Kapoor: My first question is, there is a quote from Henry Ford and I quote him, he said, "The only real

mistake is the one from which we learn nothing. " Do you believe D r. Satya that failures can sometimes lead to new opportunities or landing strips and provided the lessons are learned and internalized , and if yes, what examples from your own experience over the past year or so might you be able to share?

Dr. Satyanarayana Chava: We have several examples. Our conviction put us into a very leadership position . For some products where we failed to validate , some products we failed to get the right costing, but we continue to invest on those products and we enjoyed the success , there are several examples for that. We cannot fail every time. So , we fail once , twice, but we eliminate the opportunities for failure significantly at every failure.

Sajal Kapoor: My second question, D r. Satya is , at a recent innovation conference in Cambridge , I heard a quote from a member of pharmaceutical life sciences company that kind of keeps coming back to me . The person asserted that possibility always produces uncertainty and fear of uncertainty is a competitive advantage or mode that keeps their business safe from rivals or competition. And they claim that if something is too simple to discover or develop, then anybody and everybody will eventually get involved in the field of delivering or developing new drugs. So , the uncertainty is kind of a mode that protects their business , that was their hypothesis. I mean, what's your sense on this , if you can please ?

Dr. Satyanarayana Chava: We can give you on our recent success . Our investment in cell therapy is a lot of uncertainties around that discovery and development. So many people don't go into that. That's one way we had enjoyed success. The second is not many people are investing in gene therapy because of lack of talent, lack of understanding of that segment , we invested there . But it will take some time for us to enjoy success in gene therapy . When it comes to the CDMO, what you said is absolutely right. How many companies in India have created three million liters of new capacity

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in the last three years ? Not many . How many companies have scale at which we are operating? How many companies are having fully integrated development , that means from enzyme design, enzyme manufacturing to biocatalysis to large scale hydrogenations , flow chemistry and all . So, we are creating competitive advantage by investing ahead of the time , that is our success mantra ,

that's we are saying many a time and you pointed out very well. So , the fear of failure will prevent many people to invest, yes.

Sajal Kapoor: Dr. Satya, one question on regulatory uncertainty . What else could potentially harm or disappoint shareholders in the medium term, let's say next two to three years when it comes to the uncertainty that we have on the regulatory front, it could be USFDA audit, it could be some unexpected development , anything on your horizon that we have to be guarded against ?

Dr. Satyanarayana Chava: We have derisked significantly, but we can't say 100%. We have multiple facilities now . We are operating in multiple regions. So , we have our bio division in Bangalore, Tumkur and Mysore. We have our R&D in Hyderabad, Telangana. We have API facilities in Vizag, Andhra Pradesh. We have our associate company in Mumbai . And we have our cell and gene therapy facility being created at Kanpur. So , we have diversified significantly regional wise also . And second when it comes to regulatory inspections , you have seen our impeccable track record there and we expect to maintain that.

Moderator: We will take the next question from the line of Saurabh Kapadia from Sundaram Mutual Fund. Please go ahead.

Saurabh Kapadia: The outlook for second -half and '25 looks positive. So , will it be driven by more of the animal health project or the current commercialized molecule has the scope to drive it further , is there any large molecule or the molecule where there's a large opportunity in the current commercialized molecule as well?

Dr. Satyanarayana Chava: Our optimism in second -half is primarily driven by increased sales in API , ARV, increased sales in oncology, increased sales in formulations , and also increased sales in CDMO , it is driven by all segments.

Saurabh Kapadia: On synthesis side, will it be the animal health project only or the current commercial molecules also should the ARV growth as well ?

Dr. Satyanarayana Chava: We are not expecting any new commercial sales during the second -half. We're only anticipating a supply of Phase -II, Phase -III quantities in the second -half.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Just following up, sir, on the synthesis question , after the second -half, you mentioned the animal health business begins to scale up. When is the agrichem business contract largely to scale up for us

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Dr. Satyanarayana Chava: That will be in the second -half of FY25.

Nitin Agarwal: Sir, beyond these two contracts, are there any major milestones for the segment that we can sort of look forward to ?

Dr. Satyanarayana Chava: We are working on some R&D projects with partner, but we don't expect commercial sales in the next 12 to 18 months, yes. As you are aware, we are working with one of the top leading crop science companies. So, we have lot of potential to grow, but we are also cautious not to overcommit and underdeliver. We are taking projects what we can deliver. So, our current challenge is also lot of CAPEX projects going on. So, we are also cautious on where to invest, how much to invest.

Nitin Agarwal: So, sir, is the understanding right that animal health will contribute this second -half of this year, agrochemicals product will contribute in second -half of next year, and I guess there is not much of incremental large contract is likely to contribute in the human health over the next at least 18 months ?

Dr. Satyanarayana Chava: I said next six months.

Nitin Agarwal: So, do you expect some commercialization of human health business also in FY25?

Dr. Satyanarayana Chava: I can't give more specific, but there are products which will go from Phase -II to Phase -III next year.

Nitin Agarwal: Sir, this \$100 million ongoing CAPEX in synthesis, by when do you see it is reasonably utilized?

Dr. Satyanarayana Chava: Mid of next financial year onwards.

Nitin Agarwal: Sir, lastly on the FDF business this quarter, what was the component of non -ARV business in that?

Dr. Satyanarayana Chava: Rs.105 crores are non-ARV business from formulations.

Nitin Agarwal: And sir, lastly, on the other APIs, how should we think about this business growth from a 12 to 18 months perspective?

Dr. Satyanarayana Chava: Non-ARV formulations potential is very high. In ARV, API as well as formulations, we will have a threshold, we will not go beyond that because the number of patients is also plateauing in the African region. We anticipate both ARVs APIs and formulations will also attain its peak revenues soon maybe. So, the growth in both APIs growth, in formulations will come from non-API, non-ARV formulations.

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Nitin Agarwal: What will be the drivers for this growth, any specific molecules or therapies or it could be broad-based growth over here?

Dr. Satyanarayana Chava: Our new approvals in US, our new contract manufacturing deals in APIs and formulations, our onco sales are growing, our non-ARV, non-onco API sales are growing. So, there are a lot of avenues for us to grow there.

Nitin Agarwal: On this Immuno ACT business, apart from the financial stake that we have, what other role do we have in this partnership?

Dr. Satyanarayana Chava: We have two board membership there and we help them in thinking at about scale, some strategic

inputs. Beyond that we are not involved in the day-to-day operations there.

Nitin Agarwal: Any role in the manufacturing?

Dr. Satyanarayana Chava: No. But in IIT, Kanpur we are operating our own facility there. So, just on the contrary to Immuno ACT, In gene therapy, we are going to operate our own facilities.

Moderator: The next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: So, on the last call, you said that you expect improvement in the synthesis business from the next quarter onwards and this quarter that we have seen that that particular division has grown by 10% sequentially. So, can you help us understand what changed within three months and what is the outlook for this particular division going forward?

Dr. Satyanarayana Chava: See, CDMO, supplies, timelines all depends on what our partner is requesting. Sometimes if the partner asks deliveries in the next quarter, we have to deliver when he needs. So those kinds of uncertainties will be at CDMO. But, our customer list is increasing, our project list is increasing.

That is the reason we are also very confident on this segment.

Rohit Jain: No, I understand. The reason I ask that is on the last call you said that there was some deferment and that's why the first quarter number was lower and you expect improvement sequentially. So, should we understand that there was some further deferral?

Dr. Satyanarayana Chava: Yes, that's the reason we didn't have any sequential growth.

Rohit Jain: This was asked earlier on the call. Just wanted to confirm that. So, you said that this is the year of consolidation which earlier sort of indicated that you expected flat EPS YoY given the performance in 1H that seems like a difficult task. So, how should we think of that qualitative guidance of this year of consolidation in terms of financial?

Dr. Satyanarayana Chava: We're not giving guidance, but as we mentioned, this is exciting times for us in the company, that means we have many prospects, many exciting projects and things are in a good shape. So,

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that is the reason we are investing into the future. That's my answer for this, yes. We can't give you guidance right now.

Rohit Jain: For the CDMO CAPEX and

and for the size that you're preparing, what sort of asset turns should we think of, the broad range like the high and the low?

Dr. Satyanarayana Chava: I will give you a very broad number. It varies between one and two asset turn, all depends on the project, yes.

Moderator: The next question is from the line of Abhijeet K from PCL. Please go ahead.

Abhijeet K: First, I'd like to ask a question with regards to the revenue base. I'm looking at the presentation, I see that there is a sequential increase in the revenue removing the CDMO base of the previous contract which is Paxlovid. How do you see the revenues growing over the next two quarters and also in the next one year?

Dr. Satyanarayana Chava: In the synthesis, if you look at the overall year, last year was lot of commercial supplies happened. This year, we don't have any commercial supplies, but we hope next year will be again a good year for a CDMO, some of the projects are moving into the late clinical phase or commercial. So, things will be in a good shape next year.

Abhijeet K: Next part is with regards to the CDMO. You've mentioned that one is going to be the animal API business that is going to come into place and the other is the agrochemical. Do you see that this is going to be a structural change in the company where you're going to be diversifying not only from a pharma-based thing and diversify into other revenue streams like agri and also alternative sectors?

Dr. Satyanarayana Chava: The animal health is a contract signed with one customer for good chunk of products. And in crop sciences, we have signed one development agreement and we'll also sign a second commercial agreement soon. So, our CDMO comprises of human health, animal health, some cosmetic ingredients we are doing. So that way, our CDMO division is well diversified when compared to many other CDMOs, yes.

Moderator: We'll take the next question from the line of Aditya Sen from RoboCapital. Please go ahead.

Aditya Sen: Once we start utilizing our new facilities, let's say by late FY25 or even FY26, then will we be able to get back to the previous high range that is plus 25% range of EBITDA?

Dr. Satyanarayana Chava: This is a very interesting question, but we can promise you we will get closer to 30%, but I will not tell you which year. Our growth, our revenue contribution significantly tilts towards CDMO, I'm sure we have an opportunity to take our EBITDA back to around 30% level.

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Moderator: Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Dr. Satyanarayana Chava: Thank you, Mohanish for organizing this call and thank you our stakeholders who have a lot of confidence on us and I'm sure we will meet your expectations as we continue to commit ourselves to bring cutting edge technologies and servicing customers with our wide range of chemistry offerings.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Antique Stock Broking, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Jan 2024

January 30, 2024
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East)
Mumbai – 400 051

Code: LAURUSLABS

Dear Sirs,

Sub: Transcript of the Q3 FY24 Results conference call hosted on January 24, 2024

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Results conference call intimation dated January 17, 2024 , please be informed that the Results conference call for Q3 FY24 was hosted on January 24, 2024 and the Transcript of the conference call is enclosed for information and record.

Thanking you,

Yours sincerely,
For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

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"Laurus Labs Limited
Q3 FY '24 Earnings Conference Call "
January 24, 2024

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS
MR. VIVEK KUMAR – INVESTOR RELATIONS – LAURUS
LABS

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to Laurus Lab Limited Q3 FY '24 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you, and over to you, sir.

Monish Shah : Thank you, Yusuf. Good evening, everyone, and welcome to Laurus Labs 3Q and 9 Months FY '24 Results Conference Call. On behalf of Antique Stockbroking, I thank the management for giving us the opportunity to host this call. Today, we have with us Dr. Satyanarayana Chava, Founder and CEO; Mr. V.V. Ravi Kumar, Executive Director and CFO; and Vivek from the IR team.

I will hand the call over to Dr. Satya for his opening remarks. Thank you, and over to you, sir.

Satyanarayana Chava: Thank you for joining us for our Quarter 3 and 9 months FY '24 results conference call. We are pleased to have this opportunity to update you on our progress and answer your questions.

We continue to make good progress in advancing our strategic priorities with focus on long-term success. We are progressing on building promising pipeline, augmented by our widening technology platform offerings and leveraging our commercial excellence. Our enabling capability is gaining lot of customer confidence, and this is quite well complemented by our continued growth investment which is expected to accelerate future business potential driven by several volume and value late-stage projects with key CDMO partners.

We also remain quite excited on transformative cell and gene therapy space that were added through strategic business development, such as India's first indigenously developed cell therapy product, NexCAR19, which was approved in December 2023 and is moving rapidly with commercial collaboration to enhance access, which will benefit cancer patients in India.

In addition, the Phase II interim results of NexCAR19 were presented during November '23 ASH conference, which was well appreciated. Secondly, our collaboration on gene therapy is progressing well and started GLP lab construction for the manufacture of viral vectors and cGMP gene therapy products. We expect to operate Phase 1 of this facility at IIT Kanpur campus from June 2024.

Moving on to our financial results. While our quarter 3 headline results were subdued, the underlying financial strength of our business have remained quite strong, which was reflected in our resilient gross margins of over 52% for several quarters. EBITDA margin were negatively impacted due to higher upfront expenses on growth projects and new initiatives to access

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innovative technologies. It is important to keep in mind as well as our year-on-year growth was impacted due to a particularly strong quarter we had in 2023, which included large PO delivery in the CDMO space.

Our revenues for the quarter increased by 6% ex-large CDMO PO, but overall declined by 23% to INR1,195 crores. And our EBITDA came at INR183 crores with a margin of 15.3%. The positive momentum in FDF and Onco APIs as well as Bio division was more than offset by softer sales in CDMO and our APIs.

This volatility was more driven by timing of several customer contracts. Having said that, the overall volume trend across our business have remained upbeat. Our cost improvement programs are also progressing quite well. We anticipate that a slower Q3 performance should rebound resulting from both healthy order book and strong commercial execution from Q4 FY

'24 onwards.

Overall, our confidence in the business remains high, and we are moving ahead with a clear

focus on technology breadth, coupled with scale differentiation to address commercial needs of our customers and create a value for our stakeholders over long term.

To begin, I would like to share key updates on our Formulation business. Our formulation division reported overall revenues of INR367 crores for the quarter 3, increasing by 47% over last year. On a sequential basis, revenues improved by 11%. Moreover, if you look at our 9 months, the revenues increased by 32%. This is primarily driven by consistent recovery in the ARV business, along with growth in developed market sales.

Coming to our LMIC business, overall market volumes have largely remained stable, partly supported from stable prices. We remain on course to fully stabilize our ARV franchise business through FY '24 and beyond. We are actively pursuing optimization programs to counter any pricing impact in the future. Supplies to recent NACO tender has started that will ensure our volume continuity.

Coming to the developed market, demand for our broader portfolio have remained healthy. In US, we continue to get good market share on the products that we are selling and also with very good increase in volumes. We have additional products under launch preparation for Q4, which will support asset utilization of our expanded greenfield capacity.

During 9 months, we filed 2 ANDAs. Cumulatively, we have a total 39 ANDAs filed to date.

Of this, we have a total 16 final approvals and 14 tentative approvals so far. In Canada, we have 21 filings, 14 product approvals, of which we have launched 9 products, and we intend to launch 2 more products in the current quarter.

For EU markets, we have 18 filings with 14 product approvals with 6 commercial launches. We have continued to strengthen our existing CMO relationships and discussing additional opportunity with new customers. Accordingly, we anticipate further volume increases in the coming quarters.

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Our FDF division has a total commission capacity of 10 billion units right now, and we anticipate that some of the brownfield capacities that we have added in the last year should start to get optimally utilized from the next quarter onwards. This is primarily driven by sales in partner portfolio, full scale benefit of our new launches scheduled in Q4 and certain key product approvals besides stabilizing ARV volumes.

On R&D front, overall R&D spending to sales for the 9 months FY '24 was at 4.8%. Higher R&D spend in this quarter is in line to enhance our pipeline, which also includes our spend toward additional initiatives in gene therapy assets. We continue to make good progress and invest in portfolio with product-specific approach based on complexity and scale. We have a total of 61 products in the R&D pipeline, either under review or under development.

I'd like to share the status of our filings as of now. We have filed so far 13 ANDAs in US, 18 dossiers in Europe, 21 in Canada, 9 with WHO, 8 dossiers in South Africa and 1 in Australia, while 20 dossiers were filed in India. And 23 products were filed in various Rest of the World markets. Of the 13 ANDAs filed in US, we have 16 Para IV filings, including 11 fast-to-file opportunities. Overall, R&D to sales for the full year is expected to be around 4.5%.

In the generic API space, the revenue from generic API during the Q3 declined by 9% year-on-year to INR574 crores. For the 9 months, overall revenue was down by 5% only. ARV APIs retained its volume-led steady momentum and reported revenues of INR347 crores, a decline of 8% year-on-year and quarter-on-quarter. The current order book for these APIs looks encouraging. We continue to maintain a leading market share in the first-line HIV treatment. Onco API business

for the quarter delivered a strong revenue increase of 18% year-on-year to INR87 crores. When compared to 9 months, the revenue increased by 38%. We remain upbeat on this portfolio, which was supported by positive market dynamics. Accordingly, new capacity addition work is also under progress. More importantly Laurus Labs have one of the largest high-potent API capacity in the country. Our aim is to strengthen global leadership in some of the existing products by focusing on high-potent molecules.

In the other API segment, which includes cardiovascular, diabetes and asthma, these API sales largely remain muted and reported sales of INR140 crores, a decline of 23% year-on-year, whereas it was very flat quarter-on-quarter. The moderation was mainly due to transitional shipment impact and subdued pricing. We anticipate a better Q4 following the scheduled delivery of some of our CMO contracts.

We are confident that the underlying demand for our products in the CMO space, which have remained very strong and order book continue to look healthy. During the 9 months period, we filed 4 DMFs, 3 in non-ARV category that shows the diversification efforts of the company moving away from filing more DMFs in non-ARV space. As of today, the company has filed 83 DMFs.

Coming to the Synthesis business. During the Q3, the company's CDMO business recorded

revenues of INR212 crores. Baseline business is tracking healthy and project pipeline continue
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to scale up well with our existing and new customers. On 9 months basis, ex -large CDMO PO, the division recorded a 30% growth.

We are seeing good RFPs flow from several big pharma and leading biotechs, and our advanced and integrated scientific platform is helping us in working towards addressing commercial needs of our customers, which is expected to accelerate CDMO growth potential in the coming years. We are working on over 60 active projects with ongoing commercial supplies for about 10 products, including APIs as well as advanced intermediates.

Key CDMO capex projects across R&D and commercial manufacturing facility are on track.

Our Crop Sciences chemical unit is under construction. And the Animal Health unit has started commercial validation supplies and scaling up well. As we mentioned, the Animal Health capacities are almost fully contracted to one big pharma partner.

The new animal site will have the capabilities to handle steroids, hormones, high -potent molecules apart from other large volume products. Our dedicated R&D center likely to get commissioned by end of this financial year, which will support our new business opportunities. Our focus remains to build diversified CDMO engine besides riding on the momentum in our NCE clinical projects.

Our Bio division witnessed a continued strong momentum with INR42 crores sales in Q3 and INR131 crores sales in the 9 months of FY '24, reporting a significant growth. The strong growth was led by diversifying application of our CDMO services across expanding customer base. We have continued to grow our enzyme engineering and production capabilities into small molecule clinical as well as commercial API projects, which will augment our pipeline in the green chemistry for sustainable journey.

Downstream processing at R2 is now operational, increasing capacity by about 20%, and this unit will achieve its peak revenues during FY '25. We broke the ground for greenfield R3 facility after receiving environment clearance. The construction is likely to begin this quarter with a target to install up to 2 million liters fermentation capacity in a phased manner.

We see overall demand for products delivered from fermentation to remain upbeat, and the new large -scale capacity expansion should further transform Laurus capabilities into API offerings and CDMO activity.

Let me share brief on our quality and ESG si

de as well. While we execute on our R&D -led commercial strategy and planned growth investments, we remain equally committed to advance our quality systems and ESG agenda. We signed GHG commitment with SBTi during the quarter, and there are several ESG projects under implementation, including carbon neutral sourcing of power for few of our manufacturing units.

Further, during 9 months FY '24, a total of 97 quality audits were performed, including several customer audits. To date, since inception, we have successfully passed 96 regulatory audits, Laurus Labs Limited

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including 45 audits from major global regulatory agencies like USFDA, WHO, PMDA, TGA, EMA and MHRA.

With that, I would like to hand it over to Ravi to share financial highlights.

V. V. Ravi Kumar : Thank you, Dr. Satya. A warm welcome to quarter 3 and 9 months of FY '24 conference call.

Excluding large CDMO PO, the underlying business delivered 11% growth in the 9 months' time. Total income from operations, INR3,601 crores in 9 months as against INR4,660 crores, with a declining of 23%. During the quarter, we reported INR1,195 crores sales against INR1,545 crores with a 23% decline. But barring large CDMO PO, we have registered a growth of 6%. The underlying demand across our growth portfolio has largely remained healthy. Gross margin for quarter 3 have improved at 54.3%. This is in line with our guidance on the improvement in various areas, especially in the ARVs. However, EBITDA for the quarter was lower to INR183 crores with 15.3% EBITDA margins .

Our EBITDA for 9 months was at INR539 crores, with a margin of 15%. The impact is primarily due to operational leverage, lower CDMO business. And these are the two reasons. Our diluted EPS of INR0.4. And for 9 months, it is INR1.60. Our ROCE and return on net worth was lower due to the lower profitability and higher investments.

On the capex front, we have invested INR191 crores during the quarter. And for the 9 months, it is INR576 crores. As you are aware that FY '24, the majority of the capex is for the Synthesis and Bio divisions. Most of the expansion projects are on track to support our future growth. You may refer for further details in IR presentation .

And with this, I would request the moderator to open the lines for the Q&A. Thank you.

Moderator : Thank you. We will now begin the question-and-answer session. First question is from the line of Sajal Kapoor an investor.

Sajal Kapoor : So firstly, Laurus operates in highly regulated markets, including the U.S. and Japan. They have multiple lines of business in Bio CDMO, NCE CDMO, generic APIs and generic formulations. We have a diverse development and manufacturing footprint across several units and locations, and we are growing. So in future, we will be a much bigger organization. With all that context, my question is, how do you verify that good culture is uniform.

And that there is no cross contamination between compliance plus mindset and the practice of cutting corners and not maintaining the high standards of compliance that regulators and stakeholders expect from Laurus. That's my first question, and I've got another one.

Satyanarayana Chava: Interesting question. Our philosophy always remain operate all units to one standard, quality standard. When we go through audits, either customer or regulatory audits, any comments which will improve our quality systems are implemented across the units, even one unit comments from the audits, we don't implement for that unit only. We take those improvements across all of our units. That's the corporate culture, and we don't want to deviate from that. So going back

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to your question, the quality culture will remain similar across all units. There are no cost-cutting or corners taken unit-wise.

Sajal Kapoor : That's helpful

and reassuring, Dr. Satya. And my second question is, one of our Indian competitors which is a pure-play CDMO has close to 100 projects with 400 scientists. So 4 scientists per project is the average. We have 60 projects and 750 scientists excluding generic formulations and generic API scientific talent that we have.

So I'm adjusting the number that we have published, which is 1,088, and I'm reducing that to a number closer to 750, spread across 60 projects. Now this is way above the industry average of 4 to 5 scientists per project. So 60 projects should require anywhere between 200 to 400 scientists as a rough estimate, depending upon where that project is in the life cycle. Early-stage projects will require more scientists, Phase III projects will require less scientists and so on.

So how come our scientific talent pool purely on the CDMO side is double that of the industry average? That is the question I'm trying to get your view on because clearly, scientific talent is a fixed cost for us. And part of the operational deleverage that we are seeing in the operating margins is because of this high fixed cost that is not translating into revenues and scientific talent is definitely 1 element in that fixed cost. So why are we having such a high ratio of only 60 projects with 750 scientists?

Satyanarayana Chava: Thanks for asking this question. It all depends on the stage and complexity of the projects being handled. If it is RSM, which may involve 1 or 2 steps. If it is intermediate, maybe 6, 7 steps, if it is API, it could involve additional steps. I'll give you an example. We executed on project last quarter, including backward integration, we did 15 chemical steps. So you can't compare projects and number across the 60 projects.

We also hope to work on some projects which are even more complex than what we handled so far, 30, 40 chemical steps for each project. Then the demand for the scientific talent, I would say depending on number of steps, your initial comment of 4 scientists. It may be valid for 1 step. If we are handling 30, 40 steps, you may need 100 people for project also, depending on the complexity.

So the advantage what the company is having is the ability to handle complex projects at scale. Maybe we are in a sweet spot to attract such kind of projects, high volume, high complex, large synthetic schemes. That is taking away a lot of our scientific talent. One good thing is there are not many companies who can offer such complex chemistry and scale. That is the reason we have some interesting projects coming to scale up. I hope I answered your question.

Sajal Kapoor : Definitely, Dr. Satya. Thank you so much. I've got more questions. I will rejoin the queue.

Moderator : Next question is from the line of Jeevan Vijay from Sahasrar Capital.

Jeevan Vijay : So just wanted to understand, so I would request you to actually give us some sense on how we are going to move in next quarter and next year? So since start of the year, we are saying this is

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a consolidating year for us. And we are seeing that in terms of technology, in terms of projects, everything we are basically moving toward diversifying from ARV based and we are doing it pretty successfully. I just want to understand in terms of numbers.

So qualitatively, I understand we are on right track. But quantitatively, just want to understand where are we? So -- because last 3 quarters, I think, honestly, it's below our expectations. So in

terms of numbers, in term of quantitative give us some sense, where do we stand? And how do you see FY '24 year closing and the next year?

Satyanarayana Chava: We believe we are putting the bad quarters behind. And we hope Q4 onwards, we definitely see improvements. That confidence is coming because of the order book and the deliveries what we are going and planning to do in Q3. That's the confidence what we have.

Jeevan Vijay : Any quantitative numbers -- I just request you to -- if you can just share some numbers because we are already close to FY '24 and we are 1 month already into Q4. And we'll be closing the year after 2 months. So last year, it was like we will be somewhere closer to what we did in FY '23. And now we are almost 23% lower than there. So is it like we are going to close actually minus 10%, minus 15%, where do you see this year getting closed

Satyanarayana Chava: I will give it to Ravi to give some light on this?

V. V. Ravi Kumar : I think we can't give any quantity guidance. We never gave except once. But if you look at it in our investor presentation, we have given a slide where we said that based on the capex investment, what could be the asset turn we can do it, what we have done in the peak. So we are in a growth phase. We also indicated in the last 2-3 quarters back that 3 year or back, actually, we have seen the same situation. We are hoping that history should repeat, and there is a progress but we can't give any quantitative guidance

Jeevan Vijay : I also have similar view, Ravi, that history will repeat, the FY '20, FY '21 numbers should start again coming in FY '25, '26. So just wanted to check what is happening as after Q1 everyone and I also thought that the bad is behind, and now we should move ahead. But Q2 was, again, the number didn't come and now Q3 again, the number didn't come. So I'm just trying to understand, are we closer now to the end of the tunnel

V. V. Ravi Kumar : That's what Dr. Satya indicated. And if you look at our last quarter call, we have guided that second half will be better than the first half. We still commit to that. We have not indicated quarter 3 will be better than quarter 2, but second half will be definitely better than the first half.

That's what we indicated in the last call, and we are still committing to that.

Jeevan Vijay : Okay. Perfect. Around the Bio side, we say that we have started the work on the new facility, the 2 million-liter facility and we see that Phase 1 should start in June '26, which is almost 30 months from now. So why there is so much of time? Is it like once we start the Phase I the next phases will come quickly after that?

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Satyanarayana Chava: As I mentioned, the 2 million liters fermentation capacity will be added in a phased manner. The first phase, we are expecting to add 700,000 to 800,000 liters fermentation capacity and which will come up in qualified trials done in '24 months. That's the estimation of what we have right now. It's not a brownfield, it is a greenfield expansion, yes.

Jeevan Vijay : Okay. Okay. And then the next expansion, the next phase will come pretty fast.

Satyanarayana Chava: 12 months. We expect it will be 12 months, yes.

Jeevan Vijay : Okay. And the third question, the last question, we have commercialized the ImmunoACT, the CAR-T cell therapy in India. So any sense on how is the response or what is our strategy to reach to the patients in India? How do you basically plan to reach to the masses of India.

Satyanarayana Chava: So last month, they started enrolling patients. And we're happy to share. Hopefully, they will turn from red to green in this quarter.

Moderator : Next question is from the line of Harith Ahamed from Avendus Spark.

Harith Ahamed : So Ravi sir, when I look at the operating cash flows that you have shared in your presentation, I see that for 9 months FY '24 is around INR370 crores, which is less than what you have shared in the last quarter. So we are seeing a negative OCF in 3Q? How would you explain this?

V. V. Ravi Kumar : Harith, your voice is not very clear. Are you using hands-free?

Harith Ahamed : No. Yes. Is it better now? Can I try again?

V. V. Ravi Kumar : Yes, it's better.

Harith Ahamed : Yes. So for the operating cash flow

is that you've disclosed for 9 months FY '24, it's less than what you had disclosed in 1H. So it appears that there is a negative operating cash flow in the third quarter. So I'm just trying to understand what exactly has happened. So the INR370 crores number that you shared in the 3Q presentation for 6 months, it was INR475 crores.

Harith Ahamed : So 9 months OCF is less than 6 months OCF. That's my question.

V. V. Ravi Kumar : It cannot be probably we will discuss offline on this, yes.

Harith Ahamed : Yes. And the last couple of years, we had a capex of around INR900 crores and as compared with where we are looking at a similar level for FY '24 as well. So from FY '25 there will be a moderation from this INR900 crores numbers that we've seen in the last few years?

V. V. Ravi Kumar : Right now, the capex for the FY '25, the ongoing projects of Animal Health, may be one block from Animal Health and Agri unit also will be there and then Bio. These 3 are the ongoing

projects, apart from that, the LSPL R&D. These 4 are the ongoing projects. We are not taking up any new projects as of now. So probably on the specific number, what we are planning for

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FY '25, we will come back in the April conference call. But we are also thinking like if possible, actually, we want to downsize without cutting the future

Harith Ahamed : Okay. And then you mentioned that we have operationalized LSPL 2 during the quarter. So I'm just wondering if there is a contribution from the Animal Health contract in the CDMO revenues for the quarter?

V. V. Ravi Kumar : Very small and meager. They are very meager in the quarter 3. And maybe quarter 4 onwards, it will slowly pick up. But as we envisaged it before, it has got 1, 2 quarters delay, yes.

Harith Ahamed : Okay. And sir, just to rephrase my previous question on the operating cash flow. When I look at net debt number currently, based on your disclosure of around 3x EBITDA, it's around -- it's working out to around INR2,500 crores. The same number at the end of September quarter was around INR2,000 crores. So there's a INR500 crores increase in net debt, that cash flow deficit is what I am trying to understand.

I will connect with you offline on this. So the question from my side is on the R&D center, CDMO R&D center, which you've guided for commissioning in June this year. So how should we think about revenues from the center? Is this R&D center for our captive R&D work? Or Should we look at this as R&D center commissioning will lead to revenue generation from this center? So just trying to understand the nature of work that we are planning at the center.

Satyanarayana Chava: R&D center will augment our capacity to offer more clinical early stage projects. We don't anticipate significant revenue coming out of that R&D center.

Moderator: Next question is from the line of Rohit Jain from Tara Capital Partners. Please proceed.

Rohit Jain : One question from my side. Can you help us understand what is the target margin, let's say, levels for FY '25, the EBITDA margin levels?

Satyanarayana Chava: As the volume of sales picks up, we do anticipate significant improvement from the EBITDA margins from current little over 15% to definitely behind 20%. We can't give you a number, but it will improve significantly, yes.

Rohit Jain: Just one -- I think one of the earlier callers has also mentioned this. Over the last 3 quarters, what we have seen on the call, which is just qualitative comments that it will get better without any tangible numbers. So for us, to be honest, it's a very difficult situation because, let's say, if you have 15% going to 18%, that can also be classified a significant improvement, 20% can also be significant, 22% can also be significant. So how should we think about the actual numbers because a lot of improvement is obviously already

ready baked in?

Satyanarayana Chava: I think, see, one confidence what we wanted to give the investors is, one is quality of business. Second is quantum of the business. As we mentioned in this call, the quality of business is very good. We are doing gross margin well above 52% even in the current quarter Q3 FY '24, we did over 54%. And we expect that will continue.

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As we increase our sales in CDMO space, which we expect next year will increase. The ability to remain at that level for gross margins is very high. And what we are saying as the order book increases and the revenue goes up, and most of the gross margin will flow into EBITDA, not all of that, most of the gross margin.

So that is the reason we expect significant improvement. And it's not that we have done that performance earlier. Which we had. Without segment contribution from CDMO, we were at close to 30% of EBITDA. And we came down, but we never went down at a gross margin level. So that's the confidence the management has. And I'm sure we will regain your confidence for sure in as shortest possible time as we can, yes.

Rohit Jain : And just one last question on margin again. Your slide said that your asset turn is right now 0.9 and the average is 1.1. So assuming we reach 1.1 next year, let's say, 20% increase from the current level. And if we assume gross margin at 50% and we assume that the entire incremental sales flows to EBITDA then we get to a margin of 20% from the current 15%. Would that be the right way of looking at it, that is pretty much the ceiling as far as our utilization remains at 1.1?

Satyanarayana Chava: I'm not going to give arithmetic of that statement, but we are on the right direction, you and we, both of us, yes.

Rohit Jain : Okay. Fair enough. And can you help us understand, you mentioned that Animal Health has been delayed by a couple of quarters. So is this just a time delay or the initial amount that we thought we will get from this, has there been some tampering in that also?

Satyanarayana Chava: No, no. So we have a long-term contract in place. The delay was due to 2 reasons. One was there was delay in qualifying the facility. There was some delay in validations because of the strong chemical synthesis needs of that. And as I mentioned in my opening remarks, whatever capacity we have created in that unit is already contracted to 1 big pharma. And we don't have any reservations that the quantum of the business will go down than what we anticipated.

Like the CDMO revenue coming from our Unit 5 steroids and hormones went into a pretty stable mode. We expect Animal Health revenues will also go into a stable mode in the next 3 years. So we will have a very detailed plan in place, how many products are going to validation, how many products are going to filing, how many products are going to be commercialized. This is a well-structured program, and we don't see any challenges out of that.

Rohit Jain : Okay. And I think you mentioned to the other participant that you will clarify the cash flow and the debt, even we can't understand whether this quarter had a negative operating cash flow because that is what the slide deck suggests. So in case there is any clarification, it would be really helpful if you can file it with BSE so that the wider group can understand what happened with the cash flow in this quarter. That would be one suggestion.

Satyanarayana Chava: We'll submit revised statement, if there are any changes, yes.

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V. V. Ravi Kumar : As far as the debt is concerned, as answered to the previous question, it is indicated around that level.

Rohit Jain : I'm talking about cash flow. So in case there is any change in numbers there. That is what I was mentioning.

Satyanarayana Chava: Thanks for raising that question. If there are any changes,

we'll resubmit to the stock exchanges.

Moderator: Next question is from the line of Foram Parekh from Sharekhan.

Foram Parekh : Thank you for the opportunity. I only have one question. So in the last con call, the management has alluded that H2 would be better than H1. And 9 months down the line, our EBITDA margin is just 15-odd percent. And now in the commentary also, the management did mention that H2 will be significantly better than H1, despite 3 quarters being passed. So are we confident that we will close FY '24 at 20% EBITDA margin as guided in the previous quarter con call?

Satyanarayana Chava: Our CFO mentioned, we are committed to our statement made in the last con call that H2 will be better than H1, and we are very confident that we will deliver better H2 than H1 even now.

Foram Parekh : Okay. So then we see that in the larger pie of [inaudible 0:43:43] segment and commodity prices are softening and also CDMO, which is just 25% of the total sales. So if there's a pickup in CDMO sales too, so you'll be still saying that when the larger pie is not growing, we can still increase our EBITDA margin?

Satyanarayana Chava: You are right, we'll definitely increase our EBITDA margins. See, currently, all our costs are absorbed and any improvement in sales the gross margins, most of that will flow into EBITDA. So we're very confident the EBITDA percentage will also move upwards in Q4.

Foram Parekh : Okay. So while gross margin remains the same and EBITDA is expected to increase, so where are we seeing the cut. Are we expecting R&D sales to come down or employee costs to come down? If you can just specifically highlight which cost is expected to come down?

Satyanarayana Chava: Costs are not going to come down. Only sales is going up.

Moderator : Next question is from the line of Harshal Patil from Mirae Asset Capital Markets. Please go ahead.

Harshal Patil : Thank you sir for the opportunity to ask the question. Most of my questions are answered. Just need 2 clarifications from you. One is for the other APIs where we've clearly mentioned of shipments getting impacted or delayed. So is it that, sir, we will see the shipments coming back in Q4?

Satyanarayana Chava: Actually, see, it's not shipment delays. So that is a scheduled delivery. Our partner asked us to deliver in Q4 than in Q3, yes.

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Harshal Patil : So it will be there in Q4. And sir, if you could just also mentioned like, you also said that there's some impact of pricing. So any flavor of what can be the impact in terms of maybe percentage or something for the pricing thing?

Satyanarayana Chava: Actually, the pricing impact was offset by increased volumes in some of the products. So that's the one reason where our gross margins also went up. If you look at it from quarter-to-quarter, we have improved our gross margin of 180 basis points, yes.

Harshal Patil : Okay. Got that. And sir, just one more thing on the Animal Health project, where we are envisaging some delay of 1 to 2 quarters, I'm sure that would definitely be starting. But sir, any flavor on the potential size of revenues that can be expected from the Animal Health, I guess it

will be mostly in FY '25 now.

Satyanarayana Chava: The peak revenues for that unit will be in FY '26, not in FY '25 also. So we have to validate 20 APIs from the site. But currently, third product validation is going on right now. You can imagine 17 more products to go validation. And we have to do at least 1 product per quarter or more than 1 product per quarter to complete our validation. We scheduled to complete our validation by 2026 April. That's the current schedule.

Harshal Patil : Okay. So post that only, we would see some material revenue coming in from the Animal Health.

Satyanarayana Chava: The earlier products, which are validated, will be filed and we expect 12 months' time required

to get approvals from the agencies. So we expect commercial sales will come from first product, 2 products are already done. I think we have orders for 1 product for next year. Second product orders will come end of FY '25. So it is a very well-defined program we have in place.

Harshal Patil : Okay. And the potential definitely would be a sizable one?

Satyanarayana Chava: It will be very good, yes.

Mod erator : Next question is from the line of Tushar Bohra from Emkay Ventures. Please go ahead.

Tushar Bohra : Thanks for the opportunity . Sir, first, just to quickly check what is the expected gross block going to be end of this year as per the guided capex line, ballpark number?

Satyanarayana Chava: I'll ask Ravi to take this question.

V. V. Ravi Kumar : Around INR6,000 crores, Tushar.

Tushar Bohra : And next year, we are doing another, sir, INR1,000 crores capex . I don't know the exact ballpark, what is your guidance for next year?

V. V. Ravi Kumar : Nothing at this juncture, but probably, we have a visibility of adding at least INR500-600 crores . We will get back on the exact number in the April quarter.

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Tushar Bohra : So my question is just looking back, the first time we hit, Sales more than INR1,100 crores about INR1,140 crores was second quarter of FY '21, which was quite a few quarters back. I am just looking at the gross margin and the cost structure and the profit structure for the company at that point versus for the current quarter, which is INR1,195 crores or thereabout revenue. So the revenue profile is in the similar ballpark Q2 FY '21 versus Q3 FY '24. And on the cost side, below gross profit, I see a difference of INR300 crores on a quarterly basis.

And for the corresponding revenue, the costs are higher by INR300 crores, employee, other operating costs, depreciation and interest. So my assumption would be a large part of this would be for incremental initiatives, which are not yet yielding results because the revenue profile is very much similar. And now that the CDMO business has also seen an increase in revenues but some segments have degrowth elsewhere. But the overall revenue profile is similar.

So I'm assuming and that is where I would like a commentary from you that this INR300 crores difference in cost, a large part of this, can we attribute this to new initiatives where obviously, the depreciation and interest toward the capacity? That's first. Second, from INR2,700 crores or thereabouts gross block end of FY '21, which was good enough to support close to INR5,000 crores revenues that year.

We are now going to be at INR6,500 crores gross block by end of next year, INR6,000 crores by end of this year. So Ideally, if we assume that the asset utilization would be similar to earlier levels, we are talking potentially more than INR10,000 crores revenue being supported by the current gross block alone, and we're adding to it.

So just to get a sense, when do we start to see the revenue profile not exactly in the same ballpark, but the revenues have been stagnating for some time now. When do we start to see material traction on revenues, which obviously will then cover for your operating deleverage for the operating cost as well?

Satyanarayana Chava: I think, Tushar, very interesting thought provoking question you put. The revenue profile in Q3 FY '21 to Q3 FY '24 has changed significantly. From ARV -driven revenues to non -ARV driven revenues, that is one. And second, as we mentioned, gross block improved significantly. Our team size has also improved significantly.

Not just capex , in the last 3 years, we also invested non -capex close to INR450 crores, almost INR300 crores equity infusion done in Laurus Bio. And about INR100 crores , a little over INR100 crores was done in ImmunoACT. And the gene therapy assets were licensed from IIT Kanpur. So

over INR450 crores, non -capex -related investments were also done.

That is another significant diversification by the company. And second, 2021, no new R&D center for Synthesis, no new unit for Animal Health, no new unit construction for Crop Science chemicals. So we have taken a lot of initiatives to diversify revenues from nongrowing therapies like HIV to potentially high -growth segments like CDMO, Animal Health , Crop Science with great opportunity, disruptive therapies like cell and gene therapy and also going into new age

So all these have added to our cost structure significantly, while we are not seeing the real benefit right now. But all these at some point of time, will start delivering the right results what we anticipated. If you look at Bio, which is older investment, when compared to other investments. When we invested the company was having INR50 crores revenue. Today, this year, I'm sure that will deliver INR50 crores EBITDA. So that is definitely giving benefit what we thought. ImmunoACT will also give benefit.

As I mentioned, hopefully, this quarter, they'll become green from red. That is very remarkable for a start-up. Whereas our Animal Health, we invested significant money. We had a full-fledged team on the ground, but we are only doing validation right now. So it will take another 12 months for that unit to turn green.

Crop Sciences will take 18 months to turn green. So all these are very conscious and judicious investment the company is doing to diversify and also bring sustainability to the organization.

Tushar Bohra : Sir, noted, and we appreciate the purpose of the management, which is not looking at a short-term view. But so the point to really understand is that the gross block investment has already been done, and it's a sizable investment. And we've done it over a 4-year period from FY '21 -- at least 3-year period until end of this year.

Now -- so one question that we need to understand is that whether some of the revenue profile that has changed, does this point to a permanent loss of competitiveness or revenue opportunities from the existing business. So what happens to that gross block, which was part of the original INR2,700 crores whether that gross block can be or has been repurposed and is yet to deliver results because we don't have a breakdown of the gross block for each segment or at least not immediately in front of me to qualify that.

But if you're saying that some of these gross block change has gone toward a revenue replacement for the earlier ARV business. Then what has happened to the original gross block, the original capacity dedicated to ARV. Have they been repurposed in any way? Or how do we ensure that, that capacity can be repurposed if the ARV business is going to permanently be at a different scale than originally envisaged?

Second, if the new initiatives like you highlighted. Can we have some more milestones for the other segments? Like let's say, from here over the next 3 years, how do we look at Laurus Bio. What kind of numbers can we look at from Animal Health business? Some more clarity that allows us to say, if not segment-wise at an overall gross block level, this INR6,500 crores gross block that we're talking FY '25.

How do we look at this over the next 3 years? How should we look at the overall utilization? And how do we get a comfort that by the time we reach the utilization for this gross block, the management would have not already added another INR2,000 crores, INR3,000 crores gross block in anticipation of the business, which are thereafter. We don't want to be in a perennial investment situation where the investors don't see a profit outcome.

V. V. Ravi Kumar : I think, Tushar, your points are valid, good obser

vation. So the overhead numbers and coming to the ARVs more or less in this last 3-year time, the more or less the ARV revenue is close to the number of what quarter to FY '21 you have talked about. But if you look at the price fall in the last 3 years on the ARV side and then the volume increase there in the ARV. For example, efavirenz is the 1 product of ARV, which was fallen, which was replaced with the dolutegravir, we have changed that.

But if you recollect and refer to Slide 8, what we have given here, how the capex is right now, the 0.9 is the asset turn and the peak is 1.4, but if you look at last 5-year average is 1.1. This is how the revenue can be scaled. It's only a matter of time. The kind of an investment, what we have made in the last 3 years or last 4 years when we added a INR3,000 crores capex. Some of it has not generated any revenue. So that has a potential to generate more revenue. If you look at on the positive side, once everything has been done, actually, we have a capacity to run, people to run. We are incurring the expenditure.

So probably the incremental revenue generate with a not significant upside on the expenditure side. That's how you have to look at. And, then coming to the numbers, what we are saying, we don't want to give any quantitative guidance, Tushar. And then I think once we start generating revenues, then everything will be fine.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal : Sir, we've discussed a bit on the CDMO part during the call. But the other relevant component

of the business, which is the Fixed Dosed Formulations business and the other API business segment, I mean, they've also had their share of challenges over the last 1 year, 1.5 years. Now when you look forward or the next few quarters, I mean, the 2 things is what has really led to relatively modest growth in some of these segments. I think we've been reasonably positive on the contract manufacturing opportunities in both these businesses. And from here on, sir, how should we look at growth in these businesses?

Satyanarayana Chava: Nitin, you're breaking, but we got the essence of your question. Some segments did very well in the Q3 as well. The oncology did report significant growth. Other APIs did okay. The FDF we did well. FDF in developed market did very well. We hope oncology growth will continue to be there. That will also be reflected in our Q4 numbers you will see in April. Overall, the growth has to come from oncology, other APIs, generics CMO, CDMO and Bio. And as we mentioned, we expect the plateau for ARV APIs and formulation sale together. It will be vary INR50 crores - INR100 crores here and there, but it will stabilize around INR2,500 crores. We don't expect that will go significantly up or significantly down. The growth is anticipated in other areas, and that is primarily, we believe, because of the projects we are working, customers who are talking to us on the volumes in various fields.

Nitin Agarwal : Sir, on the FDF last capacity expansion that you undertook, most of the capacity was utilized by the ARV supplies. Now since the ARV supply is not an incremental growth driver for the

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business, and we've put up significant FDF capacity since then. How do you see the FDF capacity getting utilized? I mean, what will be the utilization drivers for the FDF capacity going forward? Because CDMO largely, I presume, is all API and specialty chemical driven.

Satyanarayana Chava: The capacity required for ARV formulations is very less. So less than 20% of our capacity, 2 billion. I wouldn't expect we'll use even 2 billion tablets. It is probably 1.5 billion tablets will be used for ARVs because these are a 3 -drug combination. So increase or decrease in ARV capacity utilization formulations will not consume bigger capacity for our

molecules. I hope Nitin, I answered your question.

Nitin Agarwal : What sort of therapies, what segment do you think, which geographies will use up the 8 billion other capacity, which is there outside of the ARVs? And how much utilization are we on that right now of the 8 billion?

Satyanarayana Chava: We're between 6 billion and 7 billion right now. And we expect to use maybe 1 more billion during this quarter because of the anticipated launches in U.S. and also increased demand coming from our CMO partner from Europe. So in next 6 months, we hope to utilize that capacity optimum. And at the time, I think once we reach that stage, where we will equip our remaining MB3 . But right now, we definitely have some capacity to offer to our launches or to our CDMO partner.

Moderator : We will take our last question from the line of Shivam Agarwal from Mirae Asset Capital Markets. Please go ahead

Shivam Agarwal : So just one question for you, sir. On the CDMO side, so can we assume that the quarter 3 revenues for CDMO will be the base going forward? And even that on an ex-PO basis, we have grown at 30% on the 9 -month period. So can this growth trajectory be sustained going forward?

Satyanarayana Chava: We have enough projects on hand to take our revenue beyond our peak last year. But we are not committing when we will cross that. But we can tell you we have enough projects to surpass that number. See, we have no control on the advancement of clinical programs, but we have enough projects in advanced stages. That is the reason despite of the current challenges, management is very upbeat and continue to invest in resources to take us to the next level in our CDMO plays.

Moderator : Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for the closing comments.

V. V. Ravi Kumar : The question asked by 2 people on the operating cash flow, the numbers are right. Numbers have been reflecting because of this change in working capital. So this, we thought we will clarify. We are clarifying in the call itself. Thank you.

Satyanarayana Chava: Thanks, everyone, for your insightful questions and also patience in waiting for our performance and which, as we mentioned, we hope to keep up to your confidence from Q4 onwards. Thanks for your time to join this call. Thank you.

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January 24 , 2024

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Moderator: Thank you very much, sir. On behalf of Antique Stock Broking that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Apr 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

July 29, 2024
To

The Corporate Relations Department
BSE Limited
Phiroz Jeejeebhoy Towers, 25th Floor,
Dalal Street ,
Mumbai – 400001

Code: 540222 To

The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex , Bandra (East) ,
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q1 FY25 results conference call hosted on July 25, 2024

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our results conference call intimation dated July 19 , 2024 , please be informed that the Results conference call for Q1 FY25 was hosted on July 25, 2024 and the transcript of the conference call is enclosed for your information and record.

Thanking you,

Yours sincerely,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary &
Compliance Officer

Encl: As above

Page 1 of 15

“Laurus Labs Limited Q1 FY25 Earnings Conference
Call”

July 25, 2024

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER & CEO,
LAURUS LABS LIMITED

MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR &
CFO, LAURUS LABS LIMITED

MR. VIVEK KUMAR – INVESTOR RELATIONS , LAURUS
LABS LIMITED

MODERATORS : MR. MONISH SHAH – ANTIQUE STOCK BROKING

Laurus Labs Limited

July 25, 2024

Page 2 of 15 Moderator: Ladies and gentlemen, good day and welcome to Laurus Labs Limited Q1 FY25 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you, and over to you, sir.

Monish Shah : Thank you, Seema. Good evening, everyone, and welcome to Laurus Labs Q1 FY 25 Earnings Conference Call .

Today we have with us Dr. Satyanarayana Chava – Founder & CEO, Mr. V. V. Ravi Kumar – Executive Director & CFO, and Vivek from the IR team. On behalf of Antique Stock Broking, I thank the Laurus management for giving us the opportunity to host this call.

I would now like to hand the call over to Dr. Satya for his opening remarks. Thank you and over to you, sir.

Dr. Satyanarayana Chava: Thank you, Monish, for your introduction. Thank you all for joining us on our Q1 FY25 Results Conference Call. We are pleased to have this opportunity to update you on our progress and answer your questions.

As we continue to grow and innovate, we are embarking on Laurus most significant rebrand initiative in a decade, making the start of our new journey towards expanded horizon. Our new tagline, Chemistry for Better Living, reflects our dedication and purpose in leveraging scientific innovation and chemistry to enhance the quality of life for people around the globe. And I am confident that the new identity will reinforce our global positioning as a provider of manufacturing as a service in the pharmaceutical and biotechnology landscape. We have begun our FY 25 on a positive note, sustaining momentum in our key CDMO clinical projects and demonstrating resilience in our financial health. We are leveraging power of our wider and sustainable technology platforms and commercial excellence to advance our partners pipeline projects and maximizing the impact of our robust integrated model in delivering long -term stakeholder value. We are currently engaged in delivering multiple RFPs involving multi -step complex chemistry , large scale biocatalysts using inhouse manufactured enzymes for our partners clinical programs. I would say we have important large opportunities ahead of us. And we are highly focused on realizing them starting second half of this financial year.

We have invested significantly towards expanding our development and manufacturing capabilities over the last few years and this has been painful because of significant deleverage , but we believe this will be very rewarding and will significantly support another transition at Laurus of converting from highly generic focused into a well -respected and diversified CMO

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Page 3 of 15 focused company. Our commitment to disruptive technology in cell and gene therapy space continued to do well, especially enabling broader access to innovative cell therapy product, NexCAR 19 for patients in needs. In gene therapy, we are actively progressing on the construction of GMP lab, with focus on manufacturing GMP viral vectors and gene therapy products.

Moving on to our financial results :

Our Q1 results demonstrated continued strong resilience in financial health, reflecting robust business quality across divisions despite pricing pressure in generic APIs. I would also say that Q1 has been largely on expected lines as we prioritized a lot of resources towards delivering several clinical -phase complex projects. The performance is expected to pick up through second half. For the quarter, we delivered a flatish

revenue growth of 1% and achieved revenues of Rs.

1,195 crores. Strong growth in oncology APIs and firm demand in ARV portfolio was offset by

slightly sluggish performance in CDMO division. Gross margins were strong and maintained above 50% range, while EBITDA margins remained subdued at 14% due to lower asset utilization and dilution from investments in growth projects and new initiatives.

I would like to share key updates on various business divisions :

In the CDMO division, we continued operational commercial improvements and recorded sales of Rs. 214 crores. Revenue is on expected lines driven by significant resource allocation to various clinical phase deliveries. This also reflects growing customer confidence in our wider technology platform and capabilities like hydrogenation, flow chemistry, biocatalysis, and large commercial capacity. For the full year, we remain committed to a healthy growth outlook, which is supported by scheduled project deliveries for key late phase NCE projects in the Q4 of this financial year. Momentum in RFP continued from big pharma and large Biotechs, and we are also increasing our business development efforts towards securing early stage projects to widen the project pipeline. As mentioned earlier, we are working on over 70 active projects, ongoing commercial supplies for about 10 products, including APIs as well as several advanced intermediates.

Key CDMO focused growth projects is progressing in line with plan. Animal health facility under early ramp-up phase, commercial validations are going on. Crop Protection Ingredients Facility qualification targeted by end of FY 25. R&D center commission in the next month, which will further expand our R&D capabilities to support new business opportunities. Our focus continues on leveraging significant scientific overlaps and build diversified revenue stream from customers.

In the generic API division :

Revenues from this division are at Rs. 664 crores with a 10% growth, supported from strong oncology delivery and firm demand in the ARV volumes and growth in other APIs. ARV APIs has retained its volume-led steady momentum and reported revenues of Rs. 400 crores. The Laurus Labs Limited

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Page 4 of 15 current order book for our product basket looks encouraging, supported by additional supply contracts secured through successful tender wins by our customers. We continue to maintain a leading market share in the first line HIV treatment.

Oncology APIs reported Q1 sales of Rs. 120 crores, 120% growth year-on-year. We have completed validation of new oncology products at our Vizag site with increased batch sizes and currently waiting for regulatory approval for our customers. We believe our portfolio breadth and capacities along with ongoing positive market dynamics would continue to support additional volumes in this division on annual basis.

Other API segments, which includes cardiovascular, diabetes and asthma, were reported sales of Rs. 144 crores, growing 6% year-on-year. Sequentially, sales declined by 24% mainly due to timing of some CMO contract delivery schedules. We are working towards expanding CMO engagements and remain committed to long-term growth with a clear focus on cost leadership in select high-value APIs. During the Quarter 1, we filed 3 DMFs all in non-ARV category. With this, a total number of DMFs filed to date is 86.

In the generic formulation space :

We reported overall revenues of Rs. 274 crores for Q1, decreasing 4% over last year. On sequential basis, revenues decreased by one-third, mainly impacted by global agencies buying pattern in ARV formulations. Strategic JV with KrKa has been incorporated and progressing well. Over the medium term, JV focus will continue on delivering synergies and enhancing product portfolio. Meanwhile to meet the near term needs of our partner, we have extended our existin

g CMO collaboration to include additional oral solid dosage manufacturing lines at our existing Vizag site. These expanded lines to go on stream in the next 18 months.

Coming to L MIC business :

Overall market volumes have largely remained stable, partly supported from stable pricing trend over the last 2-3 quarters. We continue to pursue optimization program to counter any pricing impact. We believe the impact in ARV franchisee are broadly stabilized and expected to stay in this range. Coming to the developed market, we continue to perform well across our broader portfolio despite higher competitive intensity. During the Q1, we filed one dossier in US and obtained 4 final approvals, 3 in US, one in Europe. In US, while the price pressure had continued, we are working towards increasing the volume share on selected products. Also, we expect to see the benefit from recent ANDA approvals in the next couple of quarters supporting our anticipated full year utilization pickup. Cumulatively, we have a total of 41 ANDAs filed till date. Of this, we obtained 21 final approvals and 14 tentative approvals so far. We continue to have diverse portfolio in pipeline including franchisee, comprising of ARV, cardiovascular, diabetes, CNS and gastro. We have a total of 62 products in the R&D pipeline either under review or under development, having a significant addressable market value.

On R&D front :

Page 5 of 15 Overall R&D spending to sales for Q 1 FY 25 was at 5.4% increased by 35% year-on-year. Higher R&D spend is in line to enhance our pipeline and includes spends towards additional initiatives in cell and gene therapy assets. We continue to invest in portfolio with product specific approach based on complexity and scale economics.

In the Bio division :

We reported sales of Rs. 43 crores. Sequentially, sales have recovered strongly due to customer orders. The growth was led by diversifying application of our CDMO services. We've initiated discussion with several strategic customers for long-term collaborations. We continue to grow our enzyme engineering and production for small molecule, clinical and commercial projects, which will augment our pipeline using green chemistry for sustainable manufacturing. Our plan to build larger fermentation capacity in Vizag has broken ground. And we are accelerating efforts based on availability of support services like ETP and other services. And we also wanted to utilize this facility for GMP pharmaceutical manufacturing. We expect this facility to be commissioned by June 2026.

Let me share brief on our quality side as well :

In Q1, the company underwent 32 quality audits by multiple drug regulatory agencies and several customers. Company has successfully passed audit inspections without any critical findings. This includes successful US FDA inspection of our two large API manufacturing facilities, unit one and unit three in Parawada, Vizag, which has recently received EIR.

In summary :

Our R&D led commercial strategy is delivering on compelling growth projects. The confidence is strong and also growing that we are taking right steps to best position the company for value creation this year and take the company well into the future.

With that, I would like to hand it over to Ravi to share financial highlights.

V. V. Ravi Kumar : Thank you, Dr. Satya, and very warm welcome to everyone for our 1st Quarter of FY 25 Earnings .

Total income from operations Rs. 1,195 crores against Rs. 1192 crores year-on-year remained flatish . As Dr. Satya explained, Quarter 1 is largely on expected lines as lot of resources are prioritized towards delivering several clinical phase projects and the performance is expected to pick up mostly from H2. This was already indicated in our previous calls supported by on hand orders for the project deliveries . Gross margin

maintained at healthy level at 55%. This is due to product mix and some of the cost savings what we achieved in the raw material price negotiation. Our EBITDA of Quarter 1 is at Rs. 171 crores , 14.3% is in line with the previous quarter -on-quarter , but we expect improvement in the second half. Our diluted EPS for Quarter 1 is at 0.23.

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Page 6 of 15 Our ROCE was at 6 %. Of course, because of the lower revenue and lower profitability may not look comparable.

On the CAPEX front, we invested close to Rs. 125 crores in this quarter. And our net debt stood at Rs. 2,633 crores. And going ahead, we remain committed to delivering on our FY25 growth outlook and we will prioritize investment into high-value business segment to drive medium and long-term growth. Besides, the focus will also continue to improve on our working capital efficiencies . You can refer our IR presentation for more details. If anything, additional information you need, please contact our IR, we will provide.

With this, I would request moderator to open the lines for Q&A .

Moderator : Thank you very much. Ladies and gentlemen, we will now begin with the question and answer session. We take the first question from the line of Sajal Kapoor, an individual investor. Please go ahead.

Sajal Kapoor: In one of the slides, I mean, there was no slide number, so I can't refer to the slide number because there wasn't any, but in one of those slides, it was mentioned that out of the 28 customer audits conducted in Q1, how many were CDMO client audits out of these 28 that happened in Q1? What are these customers looking for? I mean, what draws them to Laurus when there are so many other CDMO companies in India? Thank you.

Dr. Satyanarayana Chava: Thanks, Sajal for asking that question. I would say at least half of the audits are done by CDMO customers. Some of them are periodic audits because they have to do audits in a stipulated timeframe and some of them from new customers which we are onboarding.

Sajal Kapoor: And is the intensity increasing? So, what was the number, let's say, 2 years ago versus today? I mean, do you see an increase in customer visits, customer audits, above and beyond the RFQ? So, I know you mentioned RFQs are coming. But are customers actually traveling to India and physically seeing the facilities and the infrastructure?

Dr. Satyanarayana Chava: I think there is a significant increase in visits followed by the quality audits followed by safety

audits and then they roll out the R FQs. So, to get an R FQ we have to go through a long process. See no big pharma, no NCE customers would like to give an R FQ and project without their commercial team visiting, without their quality team visiting, without their EHS team visiting. They can give pre-clinical projects, but when we are talking about late stage clinical programs, I think their audits are sometimes multiple days, sometimes involving multiple facilities also. Sajal Kapoor: Understood. And on the Laurus Bio slide, it's mentioned that initiated discussions with several strategic customers for longer term CDMO collaboration. And question really is why are customers interested in Laurus Bio given that R2 is fully booked and new capacity will only come online when R3 goes commercial. So, when there is no capacity available, how can we engage in discussions 3 years in advance because R3 going commercial, I think, is give or take three years away, right?

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Page 7 of 15 Dr. Satyanarayana Chava: It's 24 months away. We are also building fermentation capacity at Vizag also, which will come

a little earlier to R3. And the long-term customers who are willing to sign long-term contracts are visiting right now because they are running their projects currently at R2. It's not that we are bringing a new customer for R3. Actually, the customers

who are using R2 for pilot scale of

their programs are talking to us for the large-scale manufacturing in R3.

Sajal Kapoor: Right, you mentioned Vizag fermentation, but that's the GMP fermentation and that's under Laurus Generics, if I am not mistaken. That's not under Laurus Bio, correct?

Dr. Satyanarayana Chava: No, it is not Laurus Bio. So, there are two programs initiated when compared to the last 2 quarters and right now. Because of the higher demand of GMP intermediate manufacturing in our generic products and also some enzymes which needs GMP manufacturing will be anything related to GMP manufacturing and which involves organic solvents usage after fermentation, those will be done at Vizag and the fermentation which doesn't involve any GMP steps, doesn't involve any use of organic solvents will be done at R3. I think that is a very easy answer why we are keeping R3 under Bio umbrella and another facility under Laurus umbrella. So, we want to segregate GMP manufacturing and non-GMP manufacturing.

Sajal Kapoor: And lastly, very quickly, on the OPEX side, during the AGM that was conducted a few weeks back, you mentioned that today 80% of the scientists are on the CDMO side as compared to only 20% few years ago. If I look at our scientific count, so 2019 we had about 200 scientists in the synthesis division or the CDMO division versus today we have no less than 800 give or take.

And so that's a four-fold jump in 5 years. And now we have got this new Genome Valley Center coming up, which will add to our OPEX fixed cost further. So, it's kind of nearly five-fold jump in our scientists on the CDMO side, which is giving a significant high OPEX fixed cost, right?

You mentioned H2 is when we see the benefits emerging. How confident are we that we are not misallocating capital or we are overestimating the demand coming on these CDMO services? I mean, is the customer giving us enough assurance that gives us the confidence to increase 5-fold increase in the scientists on the CDMO side?

Dr. Satyanarayana Chava: This is a very great question, Sajalji. So, as you mentioned, a lot of resources are being allocated currently for the late-stage projects for big pharma. So, if you are putting resources on a phase one molecule with 30 steps, and it will take 100 scientists, the outcome may be questionable. But currently, we are taking very minimum early stage projects so that we don't put resources on a project with uncertainty associated with that. So, most of the resources are happening in projects with big pharma, with oncology, some of the projects in oncology, some of the projects in rare diseases, with high dosages. Our expanded R&D capabilities will augment our ability to take early clinical projects as we mentioned in our investor presentation. We don't want to neglect increasing the funnel by taking more early stage projects.

V. V. Ravi Kumar: But, Sajalji, actually we have not increased 5x resources. So, the resources I think if I am not wrong, may be 25% to 30%, but what Dr. Satya said is, re-allocating from generic to API. Additional OPEX because of the new R&D, yes it will be done but your productivity also will improve.

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Page 8 of 15 Moderator: Thank you. We'll take the next question from the line of Mr. Tushar from Motilal Oswal Financial Services. Please go ahead, sir.

Tushar: Sir firstly, how much will be ARV sales for the quarter?

Dr. Satyanarayana Chava: APIs around Rs. 400 crores and including formulations was Rs. 552 crores.

Tushar: Over all Rs. 552 crores?

Dr. Satyanarayana Chava: Yes.

Tushar: So, basically trying to understand the jump in the gross margin when the custom synthesis sales has been lower and even the formulation sales has been lower on an overall basis. If you could

explain the sharp jump in the gross margin and sustainable gross margin?

Dr. Satyana

Dr. Satyanarayana Chava: Sure. See the gross margin improvement is based on one is the product mix. We have a significant increase in our oncology sales and also the gross margin in AP Is also increased because of the favorable pricing mechanism from AR V API RMs and also the process improvements done in some of the key large volume APIs. These three factors led to the improvement in the gross margins.

Tushar: Oncology proportion has been largely stable as a percentage of sales may be in fourth quarter or even in earlier quarters as well?

Dr. Satyanarayana Chava: Yes, this significant impact came from raw material cost, reduction in the overall large volume APIs supported by the process improvements what we have done in the previous quarters also came in the Q1.

Tushar: Got it. So, secondly on the long term CMO agreements which we signed in FDF, so two questions, how much CAPEX will be required while this would be funded by the customer and this is for a patented product or a generic product?

Dr. Satyanarayana Chava: This additional CMO contract we are signing is to give additional manufacturing lines in our oral solid dosage form facility in unit two for our partner. So, currently we do about 2 billion tablets contract manufacturing there. And our partner is asking for additional capacity. So, we are adding several lines. And eventually we will give additional three billion tablet capacity over a period of time. And most of the CAPEX will be funded in the sense they will give advance and we will install the capacity.

Tushar: But would this be for again the generic product or for a patented product?

Dr. Satyanarayana Chava: Mostly this CMO contract is generic formulations.

Tushar: And lastly on this fermentation facility at Vizag, how much investment would be there and over what period of time?

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Page 9 of 15 Dr. Satyanarayana Chava: We expect about Rs. 200 crores investment into Vizag and we expect it will be ready by mid of 2026.

Moderator: Thank you. We move on to the next question from the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: I just wanted to ask on the leverage ratio in terms of the net debt to EBITDA being elevated at 3.3x. So, as our capacity utilization increases gradually, how do you see this settling?

V. V. Ravi Kumar :: I think the net debt by EBITDA is because of the lower EBITDA. I think as we indicated like for a full year basis actually we will be definitely improving. As we indicated before, we are targeting to make it less than 2.5 by end of March 25.

Krish Mehta: Okay, that's helpful and I wanted to ask second question on the mix in terms of the ARV and non-ARV. So, given that in Q4 and Q3 of last year, we were around 50% and it gradually come off a bit. How do you see this mix if we look at say from a 1 to 3 year basis going forward?

Dr. Satyanarayana Chava: I think as we mentioned in previous calls, the overall AR V franchisee will remain give or take Rs. 100 crores, around Rs. 2400 crores - Rs. 2,500 crores. That's the range we expect, despite of how much effort we put. Because we don't want to invest more in ARVs and as most of the investment going in other areas. So, even in Q1, you might have seen our ARV contributed Rs. 550 crores out of Rs. 1200 crores. So, Rs. 650 crores came from other businesses. As we grow in other businesses, especially what we are saying, our Animal Health facility is going on stream, our Crops and Ingredients facility going on stream next year. Most of the clinical programs late stage, we deliver second half of this year, and the commercials kick in next financial year. So, gradually, we expect the revenue contribution coming from ARV, AP Is, and formulations. The quantum will remain the same, but the percentage will significantly come down over a period of time. We don't want to comment the percentage, the n you can g

auge what is the top line. So, we want to leave that space open.

Moderator: Thank you. The next question is from the line of Jeevan Patwa from Sahasrar Capital. Please go ahead sir.

Jeevan Patwa: Yes, so first question is on the one of the slide where we mentioned that we have done some Rs. 2600 crore CAPEX. So, out of the 2600 crore CAPEX, how much is currently being utilized? How much is not being utilized?

Dr. Satyanarayana Chava: Mr. Jeevan Patwa, what is happening in the current capacity utilization which we have built for CDMO projects, We are not utilizing full capacity. Suppose we are doing 20 chemical steps in a project, we cannot do all 20 steps at a time because the project is not commercial. We do step 1, step 2, step 3, step 4. So, the facility where we do this complex chemistry, maybe if you see the reactor operation, it could be between 10 %-20% no more. But the facility looks like fully occupied, but the actual utilization will be very, very marginal. So, going back to your question

this Rs. 2, 600 crores investment, about three -fourths of that is done for CDMO.
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Page 10 of 15 Jeevan Patwa: Got it, sir. And second part is, so we are actually seeing last two years that FY25 is the year one

should be waiting out for. But the 1st Quarter actually doesn't look like the quarter. So, even last quarter we said that all bad quarters are behind right. But Q1 is again, I don't think it's a good quarter again. So, any color on this, are we still thinking that FY25 will be the big year or you think 26 will be the big year now?

Dr. Satyanarayana Chava: Jeevanji, we said our H2 will be better actually. We have indicated H1 will not be that great and H2 will be definitely better. That's what we indicated. And frankly speaking, this Quarter 1 is in line with our internal guidance. So, we are in line with the thing and FY 25 definitely will be a good year. But we indicated FY 26 will be much better year because some of the assets which we invested like Animal Health etc. will start yielding results.

Jeevan Patwa: And we have done a lot of work on the CDMO side. So, we talked about a lot of processes that we have developed, biocatalysis, continuous flow chemistry, and all that. And we are talking to a lot of big clients since last few quarters. So, any color on any large contracts or anything which is under negotiation in the last stages or final stages, do you see any? So, how do you see that?

Dr. Satyanarayana Chava: What we can say, we have utilized our biocatalysis expertise, and we are making enzymes and using in the late stage chemical programs. That is one good thing. And second, when we are saying continuous flow chemistry, we have delivered registration batches for an API. I would say we have completed registration batches in API, deliveries will happen this quarter using continuous flow chemistry. So, we are demonstrating our capabilities which are going into the registration files of our partner products, large scale biocatalysis, large scale continuous chromatography, large scale continuous manufacturing. These are going into our partner products. And we are also adding continuous manufacturing in hydrogenation also. We are expanding our capabilities. These will go into the files once they get approval and then the commercials will kick in.

Moderator: Thank you. The next question is from the line of Bharat, some Quest for Value. Please go ahead, sir.

Bharat: In annual report, I see that there are 17 PARA IV and 11 FTF opportunities. When can we expect revenue from these PARA IV and FTF?

Dr. Satyanarayana Chava: The major will come in FY29, not before.

Bharat: And this question is more on the macro level. I want to know your opinion on this BIOSECURE Act in US. Do you see supply chains shifting away from China for the innovative CDMO? And may know which country will benefit most from

this shift and do you see any supply chains shifting to India?

Dr. Satyanarayana Chava: I think because of the BIOSECURE Act, people will diversify their supplier base, that's for sure. And India is likely to get benefited from this. And it's not going to be a knee jerk reaction.

Nobody is going to shift in 2 months. So, they will take their own time. They visit, they audit,

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Page 11 of 15 and they give a small project, and then increase the collaboration over a period of time. I think in the long run it will benefit, but in the short run, it is not going to happen in two quarters. It will take its own time. But in the long run, it is a definite step, good step towards the CDMO opportunities for Indian companies.

Bharat: Thank you. And sir, you guided that the ARVs in total would be around Rs. 2500 crores and for FY25 also the guided margin was around 20% EBITDA. Are you still confident of achieving these two guidance?

Dr. Satyanarayana Chava: Yes, broadly yes.

Bharat: And regarding the new CAPEX in FDF that is funded by customer, I just want some clarity on this one. So, are you going to expand Unit-2 from 10 to 15 billion or is it 10 billion itself, so you are giving some expansion to this new customer?

Dr. Satyanarayana Chava: We plan to expand. The current 10 billion is not enough for our products and the partner products. So, partners need certain type of equipment, certain type of technologies. So, we are buying partner specific equipment and installing. That is an expansion. So, in 18 months our capacity at Unit-2 is going to be 13 billion tablets, not 10.

Bharat: Okay, so 3 billion for this new customer and 3 billion for the joint venture with KRKA and then the rest would be used for ARVs and our general things, right?

Dr. Satyanarayana Chava: Yes.

Moderator: Thank you. We take the next question from the line of Rishabh Gang from Sancheti Family Office, please go ahead.

Rishabh Gang: My question is that in the annual report mentions that there will be pricing headwinds in some

API portfolio, so need some light on the reasons for this and how long will this come? First question. Second, how much impact on margins this will cause? And how much of this pricing impact company expects to be moderated by cost improvement measures and increase in CDMO and Biotech business?

Dr. Satyanarayana Chava: As you have seen, our quality of business is very good as we demonstrated gross margins around 50% consistently. Despite price of APIs going down, we were able to maintain that gross margin because if you look at our last few quarters, the growth in CDMO revenue is not big, but we were able to maintain the margins at healthy 50% or above. That was primarily because of our sourcing benefits coming from the softer RM prices and higher process improvement benefits coming from our R&D efforts. These two are the main reasons we were able to offset the price headwinds in the APIs.

Rishabh Gang: All right, also I understand any guidance, over the 4 to 5 years?

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Page 12 of 15 Dr. Satyanarayana Chava: I am sorry we are not giving guidance but we are saying as we mentioned we are confident that

the performance will certainly improve from H2 and we are very confident on delivering some interesting and large CDMO opportunities.

Rishabh Gang: Any outlook on agro side?

Dr. Satyanarayana Chava: Agro, no revenues will come this year. So, facility will be commissioned only by end of this financial year.

Moderator: Thank you. The next question is from the line of Mr. Smith from RDA. Please go ahead.

Smith: As I can see, we received a patent for (Inaudible). Are we pursuing opportunity in API market or formulation market?

Dr. Satyanarayana Chava: We have several patents, but that doesn't mean all patents will pursue for commercial opportunity.

Smit

h: What is the addressable market and something like that?

Dr. Satyanarayana Chava: No, we cannot give product specific guidances.

Moderator: Thank you, sir. We take the next question from the line of Madhav from Fidelity. Please go ahead.

Madhav: When you speak about the CDMO or the NCE commercial CDMO launches in quarter 4 of second half of this year, does that mean that the product sort of moves through the R&D pipeline for the customer via Laurus, and now it's kind of commercializing for the customer with the new launch? Is that how we should look at that opportunity?

Dr. Satyanarayana Chava: No, we are not delivering commercial quantities. We are delivering projects for their registration purposes.

Madhav: So, this is basically after Phase -3 but before...

Dr. Satyanarayana Chava: After Phase -3.

Madhav: So, if this basically, the registration batch succeeds, then FY 26 we see commercial volumes coming in for that particular product. Is that how we should look at it?

Dr. Satyanarayana Chava: Hopefully. We also expect the same. So, the chances of success of these programs generally very high because these are in the registration pages. So, we expect for complex molecules, their supply chain also needs a lot of longer lead times. So, hopefully, once we deliver these registration batches, we expect some commercial quantities in the next financial year.

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Page 13 of 15 Moderator: We take the next question from the line of Harshal Patil from Mirae Asset Capital Market. Please go ahead, sir.

Harshal Patil: Sir, just had one clarification. For the PPTs, if I have to refer to the API PPT slide, there's a comment which says that overall sequential decline due to timing of shipments particularly. So, is there any problem that we faced, any logistical issue that we faced? And do you see this more as a transient thing or what?

Dr. Satyanarayana Chava: We can't give you a specific reason for that.

Harshal Patil: But is it at least transient in nature? So, we can expect the normalcy to be retained?

Dr. Satyanarayana Chava: Yes.

Harshal Patil: That was fair, sir. And secondly, with respect to the CDMO thing, definitely you clarified on the NCE scheduled deliveries, but with respect to the existing supplies, sir, if you could just talk a bit about the traction and what kind of improvement we could expect for FY25?

Dr. Satyanarayana Chava: I think our base of commercial deliveries is give or take Rs. 200 crores per quarter. That doesn't include any additional opportunities what we are delivering or what we are committed to deliver and where we have orders on hand. So, once we deliver new opportunities, the value will go beyond our regular supplies.

Harshal Patil: And lastly, if I can just squeeze one probably on the margins, where we are seeing that the API

prices are getting a bit more softer. So, believe that our margin trajectory, as you've guided, would be maintained despite of that?

Dr. Satyanarayana Chava: I think at least gross margin front, all of you might have noticed, last several quarters we were able to maintain around 50% gross margin. So, I think that we are very confident to maintain at that level. So, if you look at in the presentation, Q2 FY23 to Q1 FY25, that means almost 8 quarters. Eight quarters were able to maintain around 50% gross margin.

Moderator: Thank you. We take the next question from the line of Nitin Agarwal from D AM Capital. Please go ahead.

Nitin Agarwal: So, on your CAPEX plans, given where your various expansion plans are, what kind of CAPEX do you envisage for the next 2 years?

V. V. Ravi Kumar : This year and next year, probably anywhere between Rs. 1800 to Rs. 2000 crores , maybe around that.

Nitin Agarwal : And Ravi, how would you break that up into broad segments if you can?

V. V. Ravi Kumar : I think majority goes to the CDMO and some part

it goes to the FDF because of this specific requirement from one of the customers.

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Page 14 of 15 Nitin Agarwal : Is this customer specific requirement where in presentation you mentioned that CMO contract should start from FY27. How should we think about the potential size or scale of the business?

Dr. Satyanarayana Chava: We know the volumes, we know the products, we know the price. So, there are no surprises on either side. So, we are putting the capacity because we know how much we are going to make on that. So, yes, it is a very stable business. We are building that with generic customers, we know the markets, we know what percentage of market share he is enjoying. So, I think that is going to be a very stable business for us.

Nitin Agarwal: So, on this account, now since you are putting up additional capacity in formulations, this quarter for example, over the last few quarters we have had extreme volatility in our ARV supplies to LMIC markets. So, the capacity that we have for finished formulations, are they fungible across ARVs and non -ARVs or we have to use certain amount of capacity only for ARVs only?

Dr. Satyanarayana Chava: Formulation capacity is very fungible. So, we can use it for ARV, non -ARV, diabetes, cardiovascular . There are no challenges. Only the size of the batch determines which line we use.

Nitin Agarwal: Is there any reason why, what portion of the capacity currently is utilized for ARVs or the formulation size?

Dr. Satyanarayana Chava: ARV , we are making about \$100 million sales on average. So, why we will allocate capacity of ARV to something else . How much percentage of capacity we are using for ARV , formulation wise maybe 25% capacity is used for ARVs.

Nitin Agarwal: 25% of that?

Dr. Satyanarayana Chava: Yes.

Nitin Agarwal: Okay. And then lastly on the CDMO business, you obviously are into multiple negotiations. What is the nature of most of the business that comes in? It will be for early stage projects or do you have also opportunity for certain large supply starting because it's probably taking on some of the more commercialized products. So, do we have like the commercial supplies coming through immediately or you'll have contracts where you build up the relationships and then supplies happen over a period of time?

Dr. Satyanarayana Chava: Most of the supplies what we mentioned will happen in H2 of this financial year are for registration or Phase -3 projects. So, the certainty of those moving into the commercial is very high and we expect some commercial orders will come next financial year.

Moderator: Thank you. We'll take the next question from the line of Madhav from Fidelity. Please go ahead, sir.

Madhav: I was just asking that the one molecule which you spoke about, really supplying the registration batch. So, if I understood that from the presentation, currently we are supplying 10

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Page 15 of 15 commercialized products in the CDMO division. So, this one if it succeeds, it will be the 11th product for us, which is commercialized. Is that how we should understand the business currently?

Dr. Satyanarayana Chava: No. When we said 10 products commercial, those are already in our base sales. And what we mentioned the new projects, those are over and above what we are supplying commercially.

Madhav: Sir, basically commercial doesn't mean that it's a commercialized molecule for the customer.

That's not what you are indicating ?

Dr. Satyanarayana Chava: No. 10 products what we said commercial, those are products commercialized at our customer side also.

Madhav: Exactly , that's what I am saying. And just the other question was, in the CDMO business,

currently how many of the supplies that we are expected to do over a certain time are for like these registrations, which is very close to commercialization like 2-

3, if you could give some sense there, and how many are in late stages basically?

Dr. Satyanarayana Chava: Typically, when people file NDA, they expect to launch in 12 months. If there are no red flags raised by the FDA or agencies, they will launch in 12 months.

Madhav: And for particular project, is Laurus the sole supplier

Dr. Satyanarayana Chava: We are not talking of one project, we are talking multiple projects. And nowadays with the global supply chain challenges, nobody is going to use only one supplier for any project. I want to be very clear there.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question for the day. I would now like to hand the conference over to the management for closing comments.

Dr. Satyanarayana Chava: Thank you for joining our conference call for Q1 FY25 and also asking very pertinent and interesting questions. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

October 29, 2024

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q 2 FY25 r esults conference call hosted on October 24, 2024

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our r esults confer ence call intimation dated October 24, 2024 , please be informed that the results conference call for Q2 FY25 was hosted on October 24, 2024 and the transcript of the conference call is enclosed herewith .

This is for your information and records.

Yours faithfully,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a

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"Laurus Labs Limited
Q2 FY '25 Earnings Conference Call "
October 24, 2024

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND

CHIEF FINANCIAL OFFICER – LAURUS LABS
MR. VIVEK KUMAR –INVESTOR RELATIONS – LAURUS
LABS

MODERATOR : MR. MONISH SHAH – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to Laurus Labs Limited Q2 FY '25 Earnings Conference Call, hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Monish Shah from Antique Stock Broking. Thank you, and over to you, sir.

Monish Shah : Yes. Thank you, Del. Good evening, everyone, and welcome to Laurus Labs 2Q and 1H FY '25 results conference call. Today, we have with us Dr. Satyanarayana Chava , Founder and CEO; Mr. V.V. Ravi Kumar, Executive Director and CFO; and Vivek from the IR team. On behalf of Antique Stock Broking, I would like to thank the Laurus management for giving us the opportunity to host this call. I would now like to hand the call over to Dr. Satya for his opening remarks. Thank you, and over to you, sir.

Satyanarayana Chava: Thank you, Monish, for the introduction. We welcome you all to the Q2 FY '25 and first half of FY '25 results conference call. We are pleased to see sustained demand in our CDMO services, supported by operational excellence initiatives and expanding platform capabilities at both development and manufacturing scale. Our pipeline momentum across business network has remained healthy, and we are demonstrating steady progress in application of specialized technologies like continuous flow, biocatalysis across multiple projects.

Our ambitious and dedicated teams are working diligently to expand portfolio offering and advanced pipeline projects with a goal to solve our customer complex needs and deliver long -term stakeholder value. We recently announced opening of the new small molecule R&D center at IKP, Hyderabad, which significantly elevates our one -stop development and manufacturing service capability, enabling innovators to accelerate their clinical and commercial phase projects using cutting -edge technology.

I would say the new center is seeing good interest from our several existing biopharma customers for early -stage process development work, and we believe it will play an important role in driving our future growth. As communicated earlier, Laurus is on track to evolve into a well -respected and diversified CDMO company, meeting complex needs of our customers. And we are reinforcing it by executing on our long -term investment strategy in advancing both our development expertise and building integrated large -scale manufacturing capabilities.

Moving on to our financial results. Our Q2 results demonstrated continued resilience in financial health, reflecting robust business quality despite pricing pressure in generic APIs. For the quarter, we delivered a revenue of INR1,224 crores. The growth is flat over last year. Although there is a strong growth in CDMO division, which was substantially offset by lower offtake in ARV and oncology APIs. Gross margins were very healthy and maintained at 55%, while EBITDA margins remained subdued at 15%. This is due to lower asset utilization and dilution

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from growth projects initiatives in cell and gene therapy as well as both Human Health and Crop Sciences.

Our performance is well on track to deliver full -year growth outlook, which will be driven by facility ramp -up and scheduled CDMO project deliveries in the second half of this financial year.

To begin, I would like to share key updates on various business segments. In CDMO, we continued operational and commercial improvements and recorded a sales of INR299 crores. On H1 basis, the division recorded 8% growth. The soft growth

is on expected lines, driven by a significant resource allocation toward delivering multiple high -value complex programs at various clinical phases.

If you look at CDMO business environment, the outlook within small molecule service industry is positive. And then specific, there is good demand for specialized expertise with rising number of complex compounds in the clinical phases. Against the industry backdrop, we expect healthy growth in FY '25, supported by scheduled project deliveries for late -phase clinical programs in

Q4.

As highlighted in my initial remarks, we have commenced operations at our new small molecule R&D center in October 2024. The facility will leverage advanced capabilities like flow chemistry, biocatalysis, high potent chemistry. This will enable us to secure early -stage projects to widen the project funnel and meet the expanded global partner needs.

We are working on over 90 active projects in total, over 70 in Human Health and about 20 in the Animal Health and Crop Production. In the generic API, revenues from this division during Q2 reported a decline of 11%, and we achieved INR557 crores sales. This was mainly due to lower demand in Oncology portfolio and temporary impact from a planned facility shutdown for modifications, while other APIs reported in line sales. For H1, the overall growth was very flatish.

ARV APIs reported revenues of INR368 crores. This was lower compared to last quarter, as we had to undertake certain modifications in the manufacturing facilities, which created capacity shortages for a few products, affecting dispatches in the Q2. We expect operation to resume from this week onwards. Having said that, that Laurus will fulfil all confirmed orders and contractual obligations, we don't expect this will have any impact for the overall financial year. The current order book for product basket looks encouraging, and we continue to maintain a leading share in the first -line HIV treatment.

Oncology APIs, sales have declined, and we reported a Q2 sales of INR51 crores. In the other API segment, which includes various therapies like cardiovascular, diabetes and Asthma, we have reported sales of INR138 crores. For the year, it is only 3% growth. We're actively working with few customers to expand our CDMO engagements as part of our strategic growth initiatives, and we remain committed to long -term growth with clear focus on cost leadership and select high-value APIs.

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During H1, we filed 4 DMFs. Out of these, 3 are in non -ARV category. With this, total number of DMFs filed so far is 87. Our Formulation division reported overall revenues of INR328 crores for Q2. Our H1 revenues decreased marginally by 2%. Performance was subdued due to lower volume uptake in ARV business, offsetting good growth in the developed market portfolio. We expect to see sustained benefit of a few recent AND A approvals in the coming quarters. In addition, we also increased BD efforts to service new market opportunities with continued focus on strengthening portfolio offerings and increasing market share.

Cumulatively, we have a total of 42 ANDAs filled to date. Of these, we have a total of 21 final approvals and 14 tentative approvals so far. I'm also pleased to report that our collaboration with our partner, KRKA, is progressing smoothly, and the capacity expansion remains on track to meet their strategic capacity needs. We have already initiated tech transfer for multiple products under this arrangement. And in the medium term, the focus will continue on delivering synergies and enhancing product portfolio and also enter into India market through the joint venture. On R&D front, our overall spending to sales for the first half of this financial year was at 5.4%, which was increased by 25% year -on-year. The higher R&D spends is in line to enhance our pipeline, which in

cludes additional spend toward fermentation, biocatalysis and gene therapy programs.

We continue to invest in portfolio with product -specific approach based on complexity and scale economies. We have a total of 62 products in the R&D pipeline, either under review or under development, having a significant addressable market size. We also expanded our capabilities at our fermentation site, R2, by adding a new pilot plant. This enhancement will not only allow us to further optimize R2 capacity, but also helps us to debottleneck and optimize R1 capacity for our in -house projects. The plan to build larger fermentation capacity is on track to capitalize on GMP manufacturing opportunity. In H1, the company underwent close to 76 quality audits by multiple regulatory agencies and several customers. The company has successfully passed audit inspections without any critical findings.

During the quarter 2, we have concluded successful U.S. FDA inspection of API manufacturing facility in Hyderabad without any observations. Together, we have made significant progress across building diverse portfolio with an exciting project pipeline. As a company, we are committed to ensuring our actions remain aligned with our strategy. And I'm confident that we are all well positioned to deliver value to stakeholders in the coming years.

With that, I would like to hand it over to Ravi to share some financial highlights. Thank you.

V. V. Ravi Kumar: Thank you, Dr. Satya. A very warm welcome to everyone on our quarter 2 and H1 FY '25 earnings call. Total income from operations for H1 around INR2,419 crores against INR2,406 crores previous year. For the quarter, we have reported a revenue of INR1,224 crores, which is almost similar. Performance is largely on expected lines, and it's slated to improve in H2, driven by order book and expected project deliveries.

Gross margin maintained at a healthy level for Q2 at 55%, and for H1, it is at, same, 55%. This is partly for a better product mix and also process improvements done in some of the key large Laurus Labs Limited
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volume APIs. Our EBITDA for quarter 2 stands at INR182 crores and margin at around 15%. For H1, INR353 crores with a margin of around 15%. The margin was suppressed due to continued operational deliveries.

Our profit after tax for H1 is INR33 crores. Our ROCE was around 5.6%. This is because of lower profitability and the capex and continued capex investment for the growth projects. On the capex front, we invested close to INR137 crores for the quarter and INR262 crores for first half. Our net debt stood at INR2,679 crores, and debt to EBITDA is around 3.4 x. This we expect to improve based on H2 performance.

We will continue to prioritize investment into higher-value business segments to drive sustainable medium- to long-term growth. The Board of Directors recommended dividend of -- interim dividend of INR0.40 per share. You can refer for further details our IR presentation.

With this, I would request the moderator to open the lines for Q&A. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, with respect to this Onco API, given that this is to do with the increased competition, so how do we -- how are we thinking to cope up almost INR50 crores quarterly sales dip which has happened in the Onco API?

Satyanarayana Chava: Tushar, we don't have competition severe in this. The lower sales is only based on the delivery schedules to our partners. Overall, we don't see any challenge in achieving some growth over the last year.

Tushar Manudhane: That is for the Onco portfolio you're referring to, right?

Satyanarayana Chava: Yes, yes.

Tushar Manudhane: On the FDF side also, we have not seen major accruals or may

be even this quarter, we've seen

only 1 ANDA approval. So how are we able to sort of grow in the FDF segment going at least for next, say, 12, 15 months?

Satyanarayana Chava: For the ANDAs, which were approved in the last 2-3 quarters, we are only building up stocks to garner the market share. That is the reason we are very confident to increase our sales in the North American market.

Tushar Manudhane: And just lastly, if you could just refresh in terms of the guidance, which we are talking for FY '25, is that, that the sales would be stable as compared to FY '24? Or how to read this?

Satyanarayana Chava: See in the FY '24-'25, if you compare, the biggest growth will come in the Synthesis CDMO division. In the year FY '24, CDMO did INR922 crores. If you look at in H1 this year, we've already done INR530 crores. And we expect this number will go up significantly in H2. So that's

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where we've been investing in the last 2 years. Our efforts toward securing customers' projects and execution is going smoothly.

From the beginning of this year, we were clear in our message to our all stakeholders. The H1 is going to be softer and whereas H2 is going to go as per our expectations. Currently, we believe we are on track to deliver what we committed for growth in H2.

Moderator: The next question is from the line of Jeevan Patwa from Sahasrar Capital.

Jeevan Patwa: Yes, sir. So the first question is obviously last time, we said that for the full year, we will achieve 25% kind of EBITDA margin. So first half, we are at 15% EBITDA margin. So do you think second half we will be able to compensate for this?

Satyanarayana Chava: Jeevan if you remember well, we committed to achieve around 20% EBITDA for the entire financial year, yes. Maybe you are referring until we achieve 25% in the H2 we will not be averaging 20%. So we are committed to show 20% EBITDA for the entire financial year.

Jeevan Patwa: Okay. And secondly, this operating leverage is actually haunting us since last few quarters now. So I would say almost 8, 10, 12 quarters now. So by when you actually think that this operating leverage will start actually in the reverse, right, so operating leverage will start kicking. So this has been haunting since almost 12 quarters.

Satyanarayana Chava: You are absolutely right.

Jeevan Patwa: So gross margin has been good this time because of the Synthesis contribution. But again, we are at the 15% EBITDA margin because of operating leverage. So how long we are going to have this kind of operating leverage still?

Satyanarayana Chava: See, this operating leverage came because we only plan investments into new areas, we planned capex to meet the future demand. I think this operational leverage is not surprising,

not unexpected. And going back to the question how long this will continue. Maybe we are at the end of the deleverage. If you ask me, when we will leverage, maybe we have to wait a few quarters, but we are at the end of the deleverage right now. Yes.

Jeevan Patwa: So basically, I understand there are some large deliveries maybe Q4 on the CDMO part. But again, next half next year i.e. first half is again going to be the similar because these are lumpy deliveries, right? Or do you think that it will continue to be consistent, we will have the CDMO business growing even for the next year and next half as well?

Satyanarayana Chava: We will, it's a very interesting question, But as we maintained, we are not giving guidance, but we'll give you more clarity as we go toward the end of Q4. Maybe Q4 commentary will give you how the forecast will look for Q1 FY '26. Yes.

Jeevan Patwa: Because typically, it is like Q4, we have those large deliveries. But again, the question comes whether H1 next year is going to be soft

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Satyanarayana

Chava: No, we'll definitely answer your question closer to each quarter. We are not giving any guidance right now. Yes.

Jeevan Patwa: And the CDMO contracts on the formulation side, have we started those contracts, where we had the tertiary packaging. So are those contracts started in this quarter, Q3?

Satyanarayana Chava: No. We will start Q1 FY '26. We are investing more into manufacturing lines and packaging lines. The CMO for integrated generic contract manufacturing, the results will come in Q1 FY '26.

Jeevan Patwa: Okay. So the formulation sale will still be in the similar lines, so that will pick up only in next year. That's what you're saying, right?

Satyanarayana Chava: Our ARV sales will pick up. Our non-ARV sales in North America will also pick up. When I said Q1 FY '26, when you asked a specific question about the contract manufacturing. That expanded capacity will come in only in Q1 FY '26.

Jeevan Patwa: Correct. But a meaningful pickup, will happen only after we have the CMO contract starts.

Satyanarayana Chava: It is a combination of both. Our growth in FDF will come from our own sales in North America and contract manufacturing in Europe. It is a combination of both, not the only one.

Moderator: The next question is from the line of Sriraam from ML B.

Sriraam: Just 1 question on the debt, like debt has increased to INR2,700 crores now. And looking at first half, operating cash flow is negligible. We are definitely looking to improve the debt-to-EBITDA ratio, but in terms of absolute amount of debt, I mean, are we looking for some kind of reduction or it can increase further?

V. V. Ravi Kumar: As we indicated last time, we'll be in the similar range. It will be below INR3,000 crores.

Sriraam: And I believe we also have aggressive capex plan, right? I mean, around INR2,000 crores.

V. V. Ravi Kumar: Yes. capex plan is on.

Sriraam: And that can be funded from internal accruals or some kind of fundraise

V. V. Ravi Kumar: See, if you look at our depreciation itself, it's INR400 crores, right, on an annual basis.

Sriraam: Right. Yes. But I mean operating cash flow has been quite depressed. So that's why I was wondering...

V. V. Ravi Kumar: Yes. Operating cash flow also we'll support.

Sriraam: So actually internal accruals will be sufficient for the capex, which we have?

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V. V. Ravi Kumar: Yes.

Sriraam: I mean, the capex plan, which we have. Okay. Got it.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: I had a couple of questions. The first one was, in the presentation, you have mentioned that CDMO performance was soft due to long manufacturing time cycles. Could you explain what that means exactly? And typically, for these complex projects, which we do, how long are these manufacturing cycles, if you could help us understand?

Satyanarayana Chava: When we mentioned complex and long manufacturing lead times, some of the projects we're doing anywhere between 10 to 20 chemical steps linear. See, these are not yet commercial, so we cannot do on a regular manufacturing. So we have to be very careful in executing these batches. And sometimes our partners also will help us in scaling it up.

What we meant long lead times is executing those complex multi-step syntheses is taking a long time. So when we mentioned at the early of this financial year, the deliveries will happen in Q4, some of the high-value projects. We know that much long lead time is needed, yes, to procure raw material and execute those complex multistep synthesis projects.

Madhav: In a way for the quarter 4 delivery, which we are planning, in some sense production is already

happening in batches at our production site even as of right now and then all of those gets sold in quarter 4, something like that. Is that how we should think?

Satyanarayana Chava:

No. For some projects, we started production in the month of February itself.

Madhav: And sales for that will be booked in quarter 4, so like after 1 year.

Satyanarayana Chava: No, no. We started in February -March of calendar year, and we are going to bill in January - February next year.

Madhav: Yes, That's what I'm saying. So it's almost like a 1 -year cycle to complete the project.

Satyanarayana Chava: Yes. So as Ravi mentioned, you can't do 10 batches at a time like a regular production. So you consume capacity, but utilization is in teens. And once you have inventory for a year, mostly it is paid inventory. So these are the kind of leverage -- deleverages happening in the system right now. But this is what we expected. This is not surprising. When we handle such complex projects, we can't deliver in 1 month from PO. So we need long time. One way it is good. So we're handling complex projects. That means it's good for the organization. We are not doing a very simple chemistry.

Madhav: No, sir, I think it's positive. I mean at least it clarifies why they're going through this period of investment, right, that they're kind of doing these long lead time projects, sir, at least explain some of the financials which you are reporting. And the second question I had was on the margins. Did you mention 20% for the full -year FY '25

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Satyanarayana Chava: Yes, yes. That's what 20%.

Madhav: 20% for full -year FY '25.

V. V. Ravi Kumar: That's what doctor indicated before. He has clarified on that.

Madhav: Which means second half, we expect it to be significantly better, right? Because we're at 14%, 15% in first half.

Satyanarayana Chava: Madhav, as you have seen, our margins are healthy. If you do higher sales, I think most of the gross margin will flow into EBITDA, isn't it?

Moderator: The next question is from the line of Bharath Kumar from Quest for Value.

Bharath Kumar: Yes. Sir, in investor presentation, it is mentioned that there are several breakthrough molecules in pipeline for CDMO. Can you please throw some light on these molecules like number of breakthrough molecules, what phase they are in, are they in late phase or not?

Satyanarayana Chava: Actually, our intention is not to give any more details on the clinical phase or therapy category of those projects, I think, until those molecules go into commercial phase, which everybody can monitor from the exports. So until such time, we don't want to give more clarity on that.

Bharath Kumar: And may I know, what is your opinion on BIOSECURE Act? I know that in short term, there would not be much material impact, but do you see any early positive signs like increase in RFQs or increase in pilot projects? And more importantly, how your customers are seeing it? Are they diversifying away from China?

Satyanarayana Chava: So I can give our perspective, but I can't give you the overall industry perspective. What we have seen, there is a lot of customer interest in visiting, engaging with us on the capability, understanding for the large volume projects. But early -stage preclinical and Phase I, we aren't seeing much rush. So there were no increased flow of inquiries for preclinical and Phase I. But there are discussions for Phase II, III molecules, where they want to add a new vendor. Many customers are talking. Existing customers are increasing their pipeline toward us. That's the positive what we are seeing.

Bharath Kumar: Yes. And I see that this FDF revenue is very low in the last 2 quarters. There is a lower offtake in ARV FDF. May I know the reason for this

Satyanarayana Chava: No, it's quite normal. Maybe we have more deliveries planned in Q3, Q4, but nothing unusual. As I mentioned in my opening remarks, so one of the block went for maintenance and modifications, EHS modifications. So some delay in deliveries in Q2. But we

have enough

capacity to service the existing orders. Nothing unusual is happening in the ARV, both APIs or formulations.

Bharath Kumar: And my last question is to Ravi. Ravi sir, you guided that net debt to EBITDA would be around 2.5x by end of this year. Do you still maintain the same guidance?

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V. V. Ravi Kumar: Yes. Today, we are at INR2,600 crores, so maybe in that range. But actually, as I said little while back, so we will not breach the INR3,000 crores range.

Bharath Kumar: I mean I'm talking about the net debt -to-EBITDA.

V. V. Ravi Kumar: Net debt is between INR2,500 crores to INR3,000 crores.

Satyanarayana Chava: 2.5x, you said. Yes, around that number.

V. V. Ravi Kumar: Net debt -to-EBITDA, we are not committing. I know you will calculate if I tell that EBITDA also, right

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Sir, Gilead has issued voluntary licenses for manufacturing of Lenacapavir. You did see one huge transition from TLD a few years ago. We might possibly see another huge transition in the coming year or so. And you are not one of the licensees of Lenacapavir. Do you see another disruption in the ARV markets in the offering in the coming year or 2 because of this?

Satyanarayana Chava: In the Lenacapavir, currently it is approved as a prep. It is not approved as a treatment yet. So typically, the delta between approval in Europe, U.S. versus bringing that regimen to access markets is 3 years. So no therapy regimen disruptions will happen in the next 5 years. Will Lenacapavir disrupt? And will we be left behind? We don't think so. If you look at the current licensees, some of them have API capabilities, some of them have no API capabilities, some of them have no ARV API experience. So at some point of time, either we will get licensed from Gilead or we will get sublicensed from these manufacturers to make their API. So we are still very hopeful in that front.

Gagan Thareja: No, I get the point that you might be there for the APIs, but for being able to supply the finished injectable formulations, you may not be there unless you have a license. And if the license has been issued, and this is already a marketed brand in the regulated markets with comprehensive trial data available, do you still think that it will take as much time? I would have thought generally issuance of licenses are done only when market formation is on the horizon.

Satyanarayana Chava: We are pursuing our efforts. So today, we don't have a sterile manufacturing facility, and we can't convince anyone to give a license without having manufacturing capabilities. That's the one. So as and when we have sterile manufacturing capabilities, we will approach them because they know that we are a strong player in this ARV space.

When we have capabilities, we'll approach them again. And then there is time for us to do this. We are -- nobody has an API. It is still everybody has to develop. So it is very early stage. There were instances the number of licenses were increased closer to the market formation. So we are pursuing that.

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Gagan Thareja: Sure. And on GLP -1, would Laurus be involved in any way in the future? Or is it that, being a peptide, you may not be participating there?

Satyanarayana Chava: I will not comment on that right now.

Gagan Thareja: Are you attempting to develop it in-house?

Satyanarayana Chava: As I mentioned, I will refrain from commenting on that right now. Yes.

Gagan Thareja: Just a final one, what should we consider a sustainable working capital in days terms for Laurus? I understand currently, you're going through a phase where you're taking exhibit batches for your CDMO products and that is toxic, but what should be a sustainable number?

V. V. Ravi Kumar: As you rightly said -- your question has an answer. H1, actually, we have a higher number as an NWC, but March, definitely, it will come down. It all depends in the next few months' time, what kind of orders we are going to have and then what kind of revenue we will be having. But definitely, it will reduce than current number.

Moderator: The next question is from the line of Keshav Shriram Mundra from Guardian Capital.

Keshav Mundra: So I have couple of questions, please. What would be the revenue guidance you would give for the company as a whole for the next year, right? And what would be the revenue guidance you would give for the individual segments? This is my first question. And my second question is regarding the API segment. Like as we have seen a decline in the overall sales, right, what would be the major reason for this? Was this a drop in volumes? Or are we seeing a drop in the pricing -- price for our API products as well?

Satyanarayana Chava: Going back to your first question, except speaking the quality of business for the previous quarters, we are not giving any quantitative guidance. We are only giving very qualitative. So I think we expect to deliver better results in the H2 and also better next financial year. We are only giving qualitative.

Going back to the second question of APIs, API sale coming down because of less API deliveries in the ARV segment and also less sales in the Onco segment. And by the end of Q2, Q3, Q4, I think Oncology sales will go back to growth when compared to last year. And ARV sales will be flattish. We don't expect the ARV sales will grow. It will be very flattish by the end of the Q4.

And we are developing some portfolio of products to grow in API segment. We are not defocusing our efforts gaining market share or putting new products in the generic space. We have almost about 50, 60 products in the pipeline in various stages of development. And right now, we have seen good filings. We have done only 4 DMFs in the last 6 months, out of those

3 non -ARVs. So most of the DMFs what we are developing are in the non -ARV segment. So we expect growth will also come from generic APIs and also maybe integrated offering of doing formulations to our partners. So our generic segment will also grow but may not be as fast as

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synthesis because generic itself has its long -- large base right now, whereas synthesis has a low base.

The percentage-wise, you will see more growth in synthesis, but quantum-wise, generics will also grow beginning next year.

Moderator: The next question is from the line of Foram Parekh from BOB Capital.

Foram Parekh : My first question is, our EBITDA margin for H1 has been around 14%, 15%. And with the deleveraging being on the cards for the next couple of quarters, so are we sure we would be able to achieve 20% EBITDA margin for FY '25?

Satyanarayana Chava: Yes. That's what we broadly guided, Ms. Parekh. Our current forecast internally is Q3, Q4 looks better. And we expect overall for the financial year, the EBITDA margins will be closer to 20%.

Foram Parekh : With the deleveraging being on cards...

Satyanarayana Chava: As I mentioned, deleverage will be behind us soon. So we don't expect the deleverage will haunt us forever.

Foram Parekh : And my second question is, I see our tax rate has been quite low for this quarter. So is this the same tax rate we should assume for the rest of the quarter.

V. V. Ravi Kumar: You can assume historical one, around 28% is the effective tax rate for H1.

Moderator: The next question is from the line of Yasser Lakdawala from M3.

Yasser Lakdawala : My first question is, since CDMO can be a lumpy business, where late-stage molecules may or may not flow through commercial. So what are the opportunities you are exploring in, say, the generic API space to improve our capacity

utilization? And if you could highlight any potential large molecules in the pipeline in the event that we do have large spare capacity

Moderator: Sorry to interrupt sir, please come a bit close to your handset. You sound a bit distant.

Yasser Lakdawala : Sure.

Satyanarayana Chava: So there are a couple of therapy areas, which we believe Indian companies can gain advantage. We started working on those for the last 1.5 years. I will not give you the therapy areas right now until we do a couple of products. We will start gaining some business maybe at the end of FY '26 onwards. One DMF we are going to file maybe in the next quarter, not this quarter, next quarter, for which we have already started seeding.

That's the first indigenously developed large volume API in the therapy segment. Maybe we will give more clarity maybe in Q4 this year. So we have identified the few therapy areas for us to grow. See, we can grow by selling more, but we want to grow by identifying some niche large volume products where India hasn't played a big role so far.

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Moderator: The next question is from the line of Sachin from Tara Capital.

Sachin: Sir, last year, also, if I remember, you mentioned that the second half will be significantly better than the first half on the margin side, but we closed at 15% last year.

V. V. Ravi Kumar: Your voice is not clear.

Sachin: So I was just asking that last year also, I think, if I remember correctly, you mentioned second half will be much better than the first half on margins front, but we closed at 15% EBITDA margins. So what gives you confidence that this time we will be able to clock that 20% margin guidance?

Satyanarayana Chava: I think the business mix is going to change. The FY '24 versus FY '25 H2, if you look at our not only business mix, but the quantum of business also will be better from FY '24 to FY '25. So see, if we are saying that our H2 is better, we are already almost a month is over in our H2, so we have reasonable visibility of what products, what quantities we're going to sell and how our margin profile will look like. Yes.

Sachin: And any broader business mix like between CDMO and API and the FDF?

Satyanarayana Chava: I think we expect growth in all segments, not only in CDMO.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just these formulation sales if you could break down into ARV formulation and non -ARV.

Satyanarayana Chava: So we are not adding any capacity to expand our ARV formulations. We are not. And neither API.

Tushar Manudhane: No, no, I mean for the quarter, how much of the FDF sales is ARV and non -ARV?

Satyanarayana Chava: ARV is INR369 crores and non -ARV is INR233 crores.

Moderator: The next question is from the line of Abhishek from Padmaja Investments.

Abhishek: Sir, did you ever think of doing a QIP to resolve the debt issue, like many companies are doing it, like have you given it a thought?

Satyanarayana Chava: No.

V. V. Ravi Kumar: No, we are not thinking in that direction at this juncture.

Satyanarayana Chava: So we are having some stress, but we know that is not going to last long, so we believe we'll be able to weather that situation very easily. Yes.

Moderator: The next question is from the line of Rohit Jain from Tara Capital Partners.

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Rohit Jain : In the first quarter presentation, you had mentioned that there was a sequential decline in API because of timing of shipments. And I guess, this time also, you mentioned somewhere that the fall is because of timing of shipments. So how should we think about it? Because I think about 2, 3 quarters back, again, you had mentioned that there was an issue of timing of shipment. So this particular reason seems to

be a recurring reason. So how should we think about this?

V. V. Ravi Kumar: Can you repeat your question, please?

Rohit Jain : Yes. I'm saying in the last quarter's presentation, for API growth being down sequentially, you had mentioned that overall sequential decline was due to timing of shipments. And in this call also, you mentioned that some of the fall is because of timing of shipments. About 3, 4 quarters back, you had once again mentioned that some of the fall because of timing of shipments. Sir, my question is that this timing of shipment issue seems to have occurred over the last 2, 3 quarters continuously. So just wanted to understand how should we think about it.

Satyanarayana Chava: See, for non -ARV APIs, the timing changes depending on what customer is, whereas ARV API is not the timing issue, we have taken one manufacturing block for modifications, that disturbed some supplies. We are on track already. This week already the facilities came on track. So we don't expect entire year to have any disruptions in that.

Rohit Jain : No, no. My question was that if last quarter was lower because of timing of shipment issue, then logically benefited from those supplies getting shipped in this quarter, right? But we haven't seen that benefit in this quarter. So I'm just trying to understand how should we think about that dynamic.

Satyanarayana Chava: Maybe we have to take offline.

V. V. Ravi Kumar: You're asking like in the last quarter, we said that there is some timing issue hence there is a lower sale, what happened to this quarter, it's not recovered, right? So there are some like unrecognized revenue even in the second quarter. Actually, second quarter, those sales have been made actually because of the revenue recognition at end of September; the number is much higher than what it was in June, frankly. But your observation is right.

Rohit Jain : So that's what I'm asking, sir. Is this a regular business feature then? Like is this something that happens every quarter?

V. V. Ravi Kumar: No, it depends. Sometimes, if there is more sea shipments, then this problem may arise.

Rohit Jain : And just one more question I had. So I was asking that, as one of the earlier participants asked, the seasonality of our business is such that fourth quarter, we see lumpy sales, and hence, our working capital improves and our debt -to-EBITDA improves. But let's say, if we go back again to the next year, first quarter, second quarter, would it be fair to assume that there would be a deterioration in debt -to-EBITDA and working capital given the basic seasonality of our business that you explained?

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V. V. Ravi Kumar: As indicated by Dr. Satya in the previous question, so we are not giving a guidance there, but at the same time, on a yearly basis, we expect a growth. So because whatever investments we've made so far, those going to be turned into returns. So again, I'm just trying to give next quarter 1, quarter 2 how it will be, whether there will be a decline. I don't want to give a comment at this juncture, but maybe in April, we will give a guidance of how the next year will be.

Moderator: The next question is from the line of Samay, who is an Individual Investor.

Samay: So my first question to doctor sir. Sir, it's mentioned in the investor presentation on Slide Number 25, we are following high standard for all our plants. I just want to ask about December 2023, where we are receiving U.S. FDA 5 observations for LSPL plant. I know we acquired this plant, but we did in May 2020, it's a 4 -year, and still I don't understand why we are not following same high standard for this plant even it is very small in revenue for us.

Satyanarayana Chava: Thanks for asking this question. So as you are aware, when we acquired that site, that site has an Import Alert. And FDA inspected, and they gave 5 observation

s. We responded. And today,

that site, they have lifted the Import Alert. We have no Import Alert on that site. That is a good sign. So we are working with the agency. We have submitted our responses, and we are very hopeful to resolve that.

Samay: And the second question for Ravi sir. What is our current gross block for FY '25? At the end of FY '25, what would be there?

V. V. Ravi Kumar: From now, actually, if we add at least INR500 crores for the gross block, so it will be around -- it will be INR6,700 crores or so.

Samay: So if I add INR2,000 crores another by next 2 years, so by end of FY '27, we would be around INR8,500 crores.

V. V. Ravi Kumar: No, I was just talking about next year, March '26.

Samay: Yes, By FY '25, we would be around INR6,700 crores, and by end of FY '27, we would be around INR8,500 crores to INR9,000 crores, correct?

V. V. Ravi Kumar: No, I don't know. We have not given any guidance March '27.

Samay: No. last call, I mean, you have said that we will do around INR2,000 crores capex . That's why I said.

V. V. Ravi Kumar: That's correct. That is March '26, right, then and not '27.

Samay: And last question for doctor sir. Sir, I mean, is there any future that we can see any money or profit from Im munoACT by next by FY '26 or FY '27?

Satyanarayana Chava: See, that company is at the very formative stage. We will do actions at appropriate time. We believe this is not the right time.

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Moderator: The next question is from the line of Gagan Thareja: from ASK Investment Managers.

Gagan Thareja: Sir, the capex of INR2,000 crores that you've indicated, can you elaborate specifically how much will go into APIs, how much in CDMO, how much in bio -- in your biocatalysis venture?

V. V. Ravi Kumar: Bio, around INR225 crores, and CDMO will be the major, and then probably FDF another INR200 crores. This is for the CMO. And of course, the rest all will be the CDMO, and API will be lower.

Gagan Thareja: So predominantly, it's going into the CDMO piece.

V. V. Ravi Kumar: Yes. That's correct.

Gagan Thareja: And for the CDMO contracts in agrochemicals, when do you foresee commercial contribution starting?

Satyanarayana Chava: Maybe Q1. Yes, Q1.

Gagan Thareja: And the Animal Health will be starting in second half?

Satyanarayana Chava: Animal will start this year itself for some revenues. Yes.

Gagan Thareja: So I thought last call, we mentioned Animal Health, we should see contributions coming from second half of this year. Are you saying that there will be contributions, but scale will be suboptimal

Satyanarayana Chava: This year, we'll see revenues coming from Animal Health. But next year, also, the projections look good for Animal Health.

Gagan Thareja: So basically, 2 new revenue streams get added up next year, which should, therefore, have a substantial addition to topline for you . And on the formulations business also you have a contract with KRKA. I think you indicated you were doing a joint venture also. How should we think of that business scaling up from where it is today?

Satyanarayana Chava: The JV will have its own facilities in the next 2, 2.5 years. In the meantime, we're adding capacity that will come handy from Q1 FY '26 onwards. We expect some meaningful revenues coming from Animal Health, but not that significant from Crop Sciences right now. Right now, we have 1 contract , we are negotiating other products, other contracts. Validations will go on. So next year, meaningful revenues will come from Animal Health. Some revenues will come from Crop Sciences, but Crop Sciences meaningful revenues will only come in FY '27. And by FY '27, Animal Health will go to an optimum capacity.

Gagan Thareja: Sir, final one, you indicated the formulation sales from ARVs, I think the figure was around INR300 crores -- if I got it correctly around INR300 crore

s for the quarter?

Satyanarayana Chava: Yes.

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Gagan Thareja: Yes. So that's on an annualized basis, almost INR1,200 -odd crores.

Satyanarayana Chava: Probably, the H1 is INR369 crores ARV.

Gagan Thareja: So sir, eventually, whenever Lenacapavir comes in, while you participate in the API and you cover for a shift to whatever degree the shift happens to cover for it by supplying the API. But on the formulation piece, you possibly stand to lose out unless you build out a fill -finish facility

or a fill-finish line. Is that the correct way to understand it? That in ARVs, while overall sales, I do not know how much will be impacted, my personal perception is that it's going to be a big shift just as TLE to TLD happened. But for you, you can compensate on the API side, but not on the formulation side. Is that a correct way of understanding this?

Satyanarayana Chava: Yes, it's a very good question you asked. So currently, our API sale is about INR1,500 crores, INR1,600 crores and INR900 crores is the formulations. It is two-third, one-third roughly in ARV. Will we lose an opportunity if we don't get fully integrated in Lenacapavir by sterile manufacturing. See, Lenacapavir, also a lot of clinical phases happening on the treatment side. The subcutaneous one is the prevention, a prep, whereas the treatment they're coming with the oral versions, not every day, maybe weekly once or monthly twice treatment coming.

And for that, we don't need sterile basically. So I think we are not at a disadvantage right now because we may lose out in the prep space, but the prep is very prominent in the advanced market, not in the access to markets. So we are not at a disadvantage right now. But we are pursuing. We have time to catch up. So it's we don't think shift will happen. Even if it happens, we have another 5 years' time to get ready and then take the opportunity.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of our Q&A session. I would now like to hand the conference over to the management for closing comments.

Satyanarayana Chava: Thank you, everyone, for your insightful questions. Thank you, Monish, for hosting this call. Thank you.

V. V. Ravi Kumar: Thank you.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2025

January 29, 2025

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q 3 FY25 r esults conference call hosted on January 24, 202 5

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our r esults confer ence call intimation dated January 08, 2025 , please be informed that the results conference call for Q3 FY25 was hosted on January 24, 2025 and the transcript of the conference call is enclosed herewith .

This is for your information and records.

Yours faithfully,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a

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"Laurus Labs Limited
Q3 FY '25 Earnings Conference Call "
January 24, 202 5

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS LIMITED
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS LIMITED
MR. VIVEK KUMAR – ASSISTANT VICE PRESIDENT
INVESTOR RELATIONS – LAURUS LABS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Laurus Lab Limited Q3 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Nitin Agarwal: Thanks, Steve. Hi. Good afternoon, everyone, and a very warm welcome to Laurus Labs Q3 FY '25 Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have Laurus Lab management representing: Dr. Satyanarayana Chava, Founder and CEO; Mr. V. V. Ravi Kumar, Executive Director and CFO; and Mr. Vivek Kumar, A VP, Investor Relations. I will hand over the call to the management team to make the opening remarks, and we'll open the floor for questions. Dr. Chava, please go ahead, sir.

Satyanarayana Chava: Thank you, Nitin, for organizing this call. Good afternoon to all our stakeholders. We continue to demonstrate our unique platform capabilities for some of the difficult to make small molecules and effectively addressing the evolving needs of our customers. We're delivering on our key strategic priorities and successfully executing on the major pipelines that we have.

Interestingly, the strong progress we are making on the CDMO CMO business increases the confidence in our ability to achieve long-term success and create sustainable value for our stakeholders. We're applying our important platform technologies into some of the advanced clinical projects, which we believe have significant commercial potential.

And we are further augmenting it with value-creating business development efforts like new small molecule, high potent R&D center which elevates our one-stop development and manufacturing service capability with our innovators and parallelly, enhancing our business teams across the globe. We have also recently announced a strategic investment by Eight Roads into our biotech arm.

This new development further expands our efforts towards building commercial scale sustainable manufacturing capability, which will focus on creating large-scale microbial precision fermentation capacity as well as enhancing our enzymatic engineering applications as well. I would say through continuing excellent scientific and operational execution, we are achieving significant milestones for our company and for our customers.

Moving on to our financial results. Our Q3 operating results have progressively improved, and we delivered strong growth along with continued resilience in our financial health. For the current quarter, we delivered revenue of INR1,415 crores. Strong growth is driven by robust demand in our CDMO business, supported by healthy performance of formulation division. The growth was partially offset by lower offtake in our ARV business. Gross margins were healthy and maintained well above 50% for the last several quarters and EBITDA margins increased to 20.1% following better operating leverage and the product mix.

Healthy commercial execution is our top priority, and our performance remains well on track to deliver full year growth with the revenues accelerating in the near term. To begin, I would like to share key updates on our CDMO business. This division saw continued robust demand for its commercial offerings and coupled with strong operational performance, we recorded highest quarterly sales for CDMO division in the last 8 quarters, close to INR400 crores. On a 9-month basis, CDMO division recorded 33% growth, reflecting continued uptake with

our new assets

ramping up. I would say the division portfolio continues to shift towards high-value complex small molecules. We also saw encouraging RFPs and continue to see signing an early to mid-stage projects involving complex chemistry. This momentum is partially enabled by increasing collaboration with our new R&D center with new big pharma partners. Additionally, we are actively promoting our BD efforts to successfully deliver clinical projects to broaden project pipeline for long-term accelerated growth.

The broader outlook for CDMO industry with small molecules is positive, and we remain committed to our 2025 growth outlook, supported by scheduled project deliveries for a few late-stage projects in the Q4. We're working on over 90 active projects, mostly in human health and also some in the Animal health and Corp Protection as well.

In the generic APIs, we reported revenues of INR531 crores with a decline of 7%. This was mainly due to lower volume uptake in ARV APIs. For 9 months, the business were more or less very stable, declined slightly about 3%. The soft ARV performance was essentially due to prioritized capacity allocations towards high -yielding long -term business opportunities. Having said that, we would like to reassure that our order book in ARV is healthy and Laurus will fulfill all confirmed orders and contractual obligations.

Also, we have indicated in previous calls that our combined ARV performance, APIs and formulations, we have done better than last year and stabilizing franchisee revenues. On the non -ARV portfolio, we have seen some sequential recovery as part of ongoing strategic initiatives.

We continue to work towards expanding our CDMO /CMO offerings in small molecule APIs.

Overall, we see API growth returning next year with positive order book what we have.

During the 9 -month period, we filed four DMFs, three in non -ARV category. With this, the total number of DMFs filed is 87. In our Formulation division, we delivered strong progression in Q3, improving our year -to-date performance. Overall revenues for the quarter were INR436 crores. For 9 months, we have returned to growth of over 5%. ARV business and developed market business portfolio increased on higher activity. We have a couple of ANDA launches that we expect to provide meaningful growth in the next financial year.

Cumulatively, we have a total of 43 ANDAs filed to date. Of this, we have a total 21 final approvals and 14 tentative approvals. We continue to have diverse portfolio and pipeline, including products franchisee comprising of ARV, cardiovascular, diabetes and CNS, apart from gastrointestinal as well. I'm also pleased to report that our collaboration with KrKa is progressing well. We have already initiated the validation of a few products under the new CMO agreement for integrated generic contract manufacturing.

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On the R&D front, we have spent about 5% of our sales for the 9 months of the current financial year. We continue the investment portfolio with product -specific approaches based on complexity and scale economics. Coming to Laurus Bio, this division reported Q3 sales of INR48 crores, a growth of 14% year -on-year. If you look at the 9 months performance, the underlying growth is very healthy excluding impact of advanced shipments last year. And also we discontinued some low -margin non -core nutrition business.

Q3 continued to see increased customer pipeline with AOF and CDMO customer base increased significantly. We are further expanding on R&D capacity with installation of high throughput systems to meet our increasing demand of our R&D services. Regarding our plan to set up the large -scale fermentation capacity in Vizag, we are pleased to join forces with Eight Roads as their partner. We believe our strong collaboration will enable us to expand and accel

erate high -

quality CDMO services capability to global partners. The proposed investment will more than double our fermentation capacity, and we expect facility to be ready by end of calendar year 2026.

Let me share briefly on the quality side. In 9 months, the company underwent close to 120 quality audits by multiple drug regulatory agencies and also customers. The company has successfully passed the target without any critical findings.

To conclude, I want to again acknowledge the focus and commitment of our team. Based on our continued progress across diverse portfolio and pipeline projects, we are more confident about our long -term future and value creation for the stakeholders in the coming years.

With that, I'd like to hand it over to Ravi to share some financial highlights.

V. V. Ravi Kumar: Thank you, doctor, and a very warm welcome to everyone on our Q3 and 9 M FY '25 earnings call. Total income from operations for 9 months is around INR3,834 crores with a growth of 6%. For the quarter, we have done INR1,415 crores, with a growth of 18 % year -on-year. The fundamentals of our business have remained healthy, led by order book position and continued progress in CDMO business.

Gross margins maintained at healthy level for quarter 3, which came 56.9% and for 9 months, 55.8%, mainly due to better product mix as well as process improvements done in some of the key large volume APIs. Our EBITDA for quarter 3 stands at INR285 crores, with EBITDA margin at 20.1%, which has progressively improved. For 9 months, EBITDA came at INR638 crores with a margin of 16.6%. This is versus 15% in last year. The margins are suppressed due to continued operational de leverage, even though some of the assets may have started to ramp up, we expect quarter 4 will ramp up further.

Our profit after tax for quarter 3 is at INR92 crores and for 9 months, at INR125 crores. Our ROCE was 6.8% due to lower operating results and continued capex investments towards growth projects. On the capex front, we invested close to INR186 crores for the quarter and INR448 crores for 9 months FY '25.

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Our net debt stood at INR2,766 crores and debt to EBITDA is around 3.1 versus 3.4 in the last quarter. As we have articulated in the past, we are expecting gradual deleveraging following acceleration and operating performance in the near term. On the capital allocation front, our strategy remains unchanged, and we will continue to prioritize investment into high-value business segments like CDMO. You can refer to our IR presentation for more details.

With this, I would request the moderator to open the lines for the question-and-answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: First question is related to Laurus Bio. Recently, a 59-year-old female patient from Netherlands travel led to India for CAR-T cell therapy and her treatment was successful. And of course, this is a wonderful outcome for Indian scientists, doctors and health care infrastructure in the country, in particular. And I'm, of course, so proud to be an investor in ImmunoACT through Laurus Labs, of course. My question is about both ImmunoACT and our gene therapy Phase I progress at IIT Kanpur. Can these individually become multitherapy assets at scale?

Satyanarayana Chava: Thanks, Sajalji, asking a very interesting question. As you are speaking, our associated company, ImmunoACT obtained DCGA approval to conduct a clinical trial for BCMA. So it is not a one product company anymore. So they're going to start dosing the first patient in BCMA soon and they are also starting to work on other clinical assets as well. So we are moving from 1 product company to a multi-asset company at ImmunoACT. Coming back to your question on I

IT

Kanpur, our commitment to progress, the three assets, what we are licensed from IIT Kanpur, we are progressing them. And we'll have more to share about the timeliness and all in the coming quarters.

Sajal Kapoor: That's helpful, Dr. Satya. And my second and last question is, given our reactors are interchangeable or fungible, we can always stop ARV and switch to NCE or higher-margin products in the same block where we are currently doing ARV today should an opportunity arise in the future. So I mean, logically thinking, instead of doing a 35% gross margin in a fungible reactor, we would rather do a 70% gross margin molecule. I mean, is that how you would think as well?

Satyanarayana Chava: Currently, we are not struggling for capacities. And at the same time, ARV, both API and formulation put together is a sizable business. It is a cash cow. So we don't want to disregard that and then focused on other business. So we have enough capacities to cater to NCE programs, Sajal, yes.

Sajal Kapoor: Yes, definitely. So we won't. Yes, it's a cash cow for sure. But if there is a dramatic shift in the external environment. So US pulling out of WHO causing a near-term knee-jerk reaction on PEPFAR tender or any such kind of a scenario emerging, we always have the capability and the capacity to make a different product in the same infrastructure. That's my question precisely.

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Satyanarayana Chava: You are absolutely right. I think it is definitely doable. If you look at our journey in the last 6, 7 years, we used to make more than 1,000 tons of efavirenz per year. Now we are making 50 tons per year. So that capacity converted to something else. So the reactors are fungible, as we mentioned. If there is need arises where our ability to repurpose to other APIs is quite possible.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just a bookkeeping question first. How much of the ARV formulation sales for the quarter?

V. V. Ravi Kumar: Do you have a second question? We will answer the first question.

Tushar Manudhane: So with respect to this investment by Eight Roads in the fermentation business, we were already implementing the capex for 2 million fermentation facility. So this investment goes into this 2 million facility or this is separately 400 KL capacity, which we are going to come up under the deal with Eight Roads?

Satyanarayana Chava: Actually, the deal with Eight Roads, we are not creating capacity for Eight Roads, we are creating capacity for our own purpose. And we took the partner for their technical advises and their portfolio companies. But otherwise, the 400 KL capacity will come for Bio. So we will do our own products. And going back to the first question, in the Q3, our ARV sales were a little over INR300 crores, precisely INR304 crores.

Tushar Manudhane: Looking at FDF?

Satyanarayana Chava: Yes, INR304 crores is the FDF ARV sales in the Q3 period.

Tushar Manudhane: So sorry for this confusion, but the facility which we are building up, that is the 2 million fermentation facility, and then 400-KL capacity is another project. Is that the right way to understand?

Satyanarayana Chava: Actually, if you look at our large-scale bio capacity, we have two large-scale capacities will

come, one in Vizag, one in Mysore. So both plants are intact. So we have accelerated construction of facility in Vizag because of operational reasons, but eventually, we'll also have another facility coming in Mysore. Both are active.

Moderator: The next question is from the line of Krish Mehta from Enam Holdings.

Krish Mehta: I just wanted to follow up on the previous participant's question on the ARV versus non -ARV mix. Is it right to assume that your ARV total revenue for this quarter was INR617 crores? If you could

just break up the total ARV versus non -ARV?

Satyanarayana Chava: You're right. That's about INR619 crores. Yes.

Krish Mehta: And if I could follow up, how do you see this trajectory going forward as our API sales sort of stabilize a bit in the next, say, 1, 2 years?

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Satyanarayana Chava: We can give you a broad range. We are not anticipating any growth coming from this franchise in both API and formulation put together. If you sum it up, it is INR650 crores per quarter. We expect it to remain in that range next year, year after also. So that's kind of the stabilization we expect in that ARV franchise, between INR2,300 crores and INR2,500 crores, somewhere in between. And we believe that's quite possible even now, yes.

Moderator: The next question is from the line of Bharat from Quest for Value Capital.

Bharat : May I know when is this Bio plant going live, sir?

Satyanarayana Chava: By end of 2026.

Bharat : End of 2026. Okay and regarding this FDF 3 billion capacity for Krka, may I know by when this would be starting deliver revenue for us from Unit 2 ?

Satyanarayana Chava: See, what we started doing, we started doing validation of the products which will go into the increased capacity already. And then the new capacity will come from November, December this year onwards in a phased manner, yes.

Bharat : Okay. And my last question is regarding Biosecure Act. Now that these actives are delayed, because of this, do you see any slowdown on momentum of the supply chain diversification efforts from innovators?

Satyanarayana Chava: We haven't seen any degrowth in visits or RFP flow. Yes.

Moderator: The next question is from the line of Chirag Shah from White Pine Investment Management.

Chirag Shah: Sir, first question is on Q4 of current financial year. So last quarter, you indicated H2 margins could be around 25%, so that our annualized margins would be 20%. Now, we have done around 20% in Q3. So do you still hold to your H2 guidance of 25%? And if not, has there been any delay in Q3 revenue which leads to lower margin? That's my first question.

Satyanarayana Chava: As I mentioned in the initial comments, we are still confident to what we are committed to bring the entire financial year EBITDA closer to 20%. Yes.

Chirag Shah: Okay . And sir, second is, for next year, that's '26, given the efforts you're putting on CDMO over the last 2, 3 years, can we expect '26 could be the year of the breakthrough phase and we can cross or reach INR2,500 crores of revenue on a full year basis

Satyanarayana Chava: I don't want to comment on the quantum of business we can do next financial year. But the prospects in the CDMO division looks very bright, and we expect to have growth.

Chirag Shah: And when you say growth, will it be substantial over FY25 because FY25 has been a subdued year.

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Satyanarayana Chava: I think we'll reserve my comment on this. So I can still say that FY'25 will be a good year for CDMO, FY'26 will be even better year for CDMO.

Chirag Shah: Yes. Okay. And any margin guidance do you have for '26 given there are a lot of moving parts in the business?

Satyanarayana Chava: We are not giving any margin guidance.

Moderator: The next question is from the line of Jeevan Patwa from Sahasr Capital.

Jeevan Patwa: Yes, sir. So, congratulations first to the entire team. So, we are seeing very good trajectory on the CDMO side. I think CDMO is going to fire from here on, that's what I feel. And Q4 and onwards, I think we will have a different number from CDMO. Just wanted to understand, and if you are able to give some details on this.

Any number of commercial molecules getting commercialized in FY '26, any idea on that? In terms of also the Animal health business, how do you see that Animal health business is going

to shape up? And also, the agrochemical business, how it's going to shape up in the CDMO side,

Satyanarayana Chava: I think next year will be a good year for our Animal health. So we expect a significant growth

will come from there. And we will commercialize our CropScience facility, and we will also expect sales coming from that unit. When it comes to human health CDMO, we have a lot of clinical programs. I don't want to comment on how many we commercialize, how many in Phase III. We never gave that number of breakup of programs. But we have a very good pipeline. As I mentioned, we are not offering RSMs or intermediates. So we moved one orbit and we are giving APIs, and which are also volume and which are also complex APIs. So that's the game we are playing and we are happy we have invested significantly in those, and our customers are also very happy with what we have been delivering.

Jeevan Patwa: Perfect, sir. No, sir, I'm also very happy with the numbers this quarter. I think next quarter is going to be really good in terms of CDMO. One more thing, sir, in terms of gene therapy, so we are saying we're going to commercialize the vector manufacturing facility in FY '26. So, is it going to be utilized for contract manufacturing also?

Satyanarayana Chava: Yes, you're right. So, the facility will also sell GMP -grade viral vectors, and also we have the ability to do plasmids, CMO, and it will be a combination of both.

Jeevan Patwa: And how big it would be, how much we are putting investments there?

Satyanarayana Chava: Our investment into GMP scale facility is about INR120-130 crores. And we invest if there is a need. So our initial philosophy continues, again, invest ahead of the time. And then we have licensed patents, we have licensed technology for viral vectors. I think as we committed, FY '26, we'll have the GMP facility up and running.

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Jeevan Patwa: Perfect. So INR100 crores is a big amount for, I think, this viral vector? That's great, sir. And the last question, I think, a little difficult question again. So when do you think the kind of FY '21 kind of growth we can expect in the formulation and the API side. Do you think FY '26 will give that kind of growth in the formulation or it will be FY '27?

Satyanarayana Chava: I think we are broadening our pipeline in our API and also in formulations. That will take some time. It is not a quantum jump in FY '26, but the kind of pipeline we are developing will have a unique offering, and we expect significant growth coming in the medium term. I don't expect significant growth coming in the near term, but medium term, we're very confident.

Jeevan Patwa: So can we expect FY '27 to be the year for formulation and API?

Satyanarayana Chava: I think, see, we can discuss closer to when we are filing DMFs in the new portfolio.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: So I just wanted to understand that you mentioned that you have shifted from doing RSM and intermediate to doing high -volume complex APIs. I mean, could you explain a little bit more like what's happening? Is that customers are asking us to do the final API itself? Or sort of what's changed there? I mean just trying to understand the thought process.

Satyanarayana Chava: I think when people come and they want volume, we're able to provide what volume our partners are asking. And also what technology platforms we have created also enables us to do complex things. We do significant work in flow chemistry, bio -catalysis, high -potent manufacturing, high-energy chemistry, and hydrogenation . So we've created some technology platforms, which helps us to add value to our partners' programs. So that's the reason we moved from RSMs to very advanced intermediates or APIs. Yes.

Madhav: Is this a recent shift in the pipeline? Because if I understand th

at one or 2 years back, we did do

some KSM intermediates. So I mean, this is the first time I'm hearing this shift. So is it something more recent that we've kind of realigned the portfolio or something which has been happening for some time?

Satyanarayana Chava: We have realigned our portfolio. We are getting that kind of projects. I'll put it that way. It is progressive, yes.

Madhav: Okay. Sir, just had one request. Given a lot of your peers, they do give a breakup of, let's say, you have 70, 80 human health projects. I think you do mention how many are commercialized. But if it's possible just to give a breakup into different phases, like how many in Phase III, Phase II, Phase I, that will just be more clear for the investor community. So just a request from my side here.

Satyanarayana Chava: So as I mentioned, Madhav, we don't want to dwell into those finer details. See, this CDMO business is very dynamic in nature. And we don't want people to start guessing projects and all. So we also have confidential agreement. We don't want to reveal too much. So when it is

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commercialized, people know very easily on the export data nowadays. The people are dissecting so much, so we don't want to give more data further. Yes.

Madhav: Got it. And just the last question from my side was the Krka JV, which we are implementing. I

don't know if you've called it out before, how much capex are we putting in for that JV? And sort of in 2, 3 years, what kind of revenue can come from that JV separately? If you could give us some sense, that will be really helpful.

Satyanarayana Chava: I think we are formulating our strategy correctly right now. The blueprint stays on the facility and also products. Maybe we'll be able to give more details maybe middle of next financial year. Yes.

Moderator: The next question is from the line of Deepak Malik from Carnelian Capital.

Deepak Malik: Congratulations for a good set of numbers. Sir, my first question is on the CDMO business. Can you please highlight what drove this strong growth in this quarter? Is it like human CDMO? Or was it animal in this quarter? So what actually drove the performance? And is it sustainable for quarter 4?

Satyanarayana Chava: I think the growth came from both. Majority came from human health, but partly also came from animal health CDMO. And we expect our pipeline is robust, and we're also doing very late-stage intermediates or APIs. We expect to do well in this division in Q4 and beyond.

Deepak Malik: In this human health and animal health, has there any new capacity which goes into commercialization? Or was it a new product which got launched? So what actually -- if you can give a little more colour on exactly -- so what exactly led to this kind of strong growth, launch of new products, the commercialization of new facility or ramp-up of existing contracts

Satyanarayana Chava: I think no new capacities came online. We have a lot of capacity, which we have created for this division. And we started utilizing and we are delivering some projects, which we delivered small quantities in the previous years. So it is a gradual growth. So this business, one has to have a lot of patience, and we patiently waited for the programs moving from earlier clinical phase to late clinical phases. And this growth is effort what we have put in the last 2 years.

Deepak Malik: Okay, sir. And you think this is something which will further scale up going forward from Q4 and Q1 and Q2? So this is like just the start and then things will further scale up from here onwards?

V. V. Ravi Kumar: Year-on-year, it scales.

Satyanarayana Chava: Yes. We expect definitely, this division will grow in FY '26. I'll leave it at that stage. I'll not quantify how much growth comes right now.

Deepak Malik: Okay. And second, sir, you have given one very good slide in the presentation, the seventh

number slide, where you have given that there's INR3,000 crores of total capex from FY '22 to

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'25 you have done. And in that, around 72% capex is into the API and CDMO. And then you have given the breakup also that, okay, there is 50%, which is ongoing capex and the operational is only just 21% and ramp-up stage is only 28%.

So that means like more than half of the capex is still not commercialized and that is still to come in this INR3,000 crores. Only INR1,500 crores is something which is in the various stage of scaling up.

Satyanarayana Chava: I think I'll answer this question a little differently. See, the capacity is there, but we are not doing regular production there. So when we do scale-up batches or the validation batches, we utilize your block very inefficiently. So the real value comes when we do commercial. Yes.

Deepak Malik: Okay. Got it. And in this, so if I have to say that so approximately, what kind of sale must be coming in from this INR3,000 crores? Is INR1,000 crores or maybe even less than that? With this new capacity?

Satyanarayana Chava: We don't want to quantify that way. But on the left-hand side, you might have seen at the highest, we have done 1.4 asset turnover ratio. At the lowest, currently, we are 0.8. So when we go commercial, I think revenues will be somewhere in between.

Deepak Malik: So, you have given there that it's 0.8x. So, when you say 0.8x, of the overall INR3,000 crores?

Satyanarayana Chava: Overall gross block, including INR3,000 crores.

Deepak Malik: Okay. Got it. And whatever capex which will be coming in going forward, that will be over and above this?

Satyanarayana Chava: Yes.

Moderator: The next question is from the line of Venkat, an Individual Investor.

Venkat: I just wanted to know, what is the impact on ARV business if US exits from WHO?

Satyanarayana Chava: See, WHO is a policy framing organization. WHO don't fund any ARV procurement. They do make policies. They do approve the dossiers, guidelines and all. So if the US start moving away from membership of WHO will have some impact on the guidelines, approval time lines of files and all. But in the near to medium term, we don't expect any impact on the drug purchases because the amount of money spent on drug purchase is 10% of the money spent on the HIV eradication program. So we don't expect significant impact on that.

Venkat: Okay. Sir, one more question. Sir, earlier when we purchased Richcore, we thought to put up 2 million fermentation facility in Bangalore. Why was it moved to Mysore, sir? I mean just trying

Satyanarayana Chava: We have used Bangalore as a word. But otherwise, our initial plan was to put up a facility near Tumkur or Mysore. So that was the idea. And we moved our phase of construction to Vizag for operational reasons. So our plan of creating large volume facility of 2 million liter's still intact.

Venkat: When is it expected to complete, sir?

Satyanarayana Chava: The Vizag facility will be operational the end of 2026.

Venkat: It's going beyond end of 2026 in Mysore, right?

Satyanarayana Chava: Yes. Yes.

Moderator: The next question is from the line of Mayur from Wealth Managers India Private Limited.

Mayur: Sir, just one broad question. And it may appear to be a little financial, but I think from a strategic standpoint, the stakes, Eight Roads stake of 14%, when we look at, broadly, the value comes to around INR850 crores, INR860 crores for the overall Laurus Bio. And when we look at the annualized current revenue run rate, it is just slightly sub of INR200 crores.

Our own entire Laurus is valued much higher than that. So we believe the Bio segment should have been a little more, qualitatively more, higher valuation if it commands, s

o to say. So just

wanted to understand your thought process when we looked at this and what kind of benefit shall it accrue. And is it the right way to look at? And what are your thought processes when we looked at that kind of an arrangement?

Satyanarayana Chava: The primary objective for us to bring Fidelity as a partner is to work closely with their portfolio companies across the globe. That's the primary intention. Second is, see, you might be aware, we acquired majority of the Bio stake from Fidelity itself. So they are coming back itself is a good indication that they see value right now into this. Not just money purpose, we got Fidelity into the picture to broaden our management bandwidth there and also work with their portfolio companies. I'll put it that way.

V. V. Ravi Kumar: The valuation we feel it's a fair valuation. In fact, the same valuation, even Laurus also investing. So we will invest around another INR40 crores before end of June 2025.

Mayur: And we further have both either of the partners at INR35 crores additional? That is also at the similar valuation?

Satyanarayana Chava: Yes. You're right.

Moderator: The next question is from the line of Ankur Bhadekar from ULJK Financial Services.

Ankur Bhadekar : First of all, congratulations for the good set of numbers. So, a couple of questions from my side. One was during the quarter, the onco API contribution has been low, around like 8% or so. So, I wanted to know the reason behind the same. And also, do we still hold a higher market share in the gemcitabine API?

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Satyanarayana Chava: If you look at the 12-month period, answer is yes, not quarter-on-quarter. And for many of the oncology APIs, we hold significant market share. And see, it is some kind of an order book shifts from quarter-to-quarter. Otherwise, our onco pipeline looks healthy.

Ankur Bhadekar : Okay. And how do you look at the business going forward in terms of the Bio business? Like with Eight Roads coming in, what is your future growth strategy? And like how do you see the contribution from the Bio business going ahead?

Satyanarayana Chava: I think we'll be able to answer that once our new additional capacity comes online. See, until such time, we are only de-bottlenecking existing capacity. We don't expect FY '26 will see significant growth in Bio. So, the quality of business may vary, but quantum of business may not be very significant in FY '26. But year after then, we'll see a big growth in the Bio division. But we are not quantifying how much we'll do in FY '27 and onwards, but we will see growth there.

Moderator: The next question is from the line of Dhiraj kumar from Tank Your Wealth.

Dhirajkumar : So my first question is around I hope we supplied a registration batch in Q3, and we are doing in Q4 as well. So my question is around and I'm not expecting any number, but my question is around, are you supplying more than one product or molecule for this Q3 and Q4? Or it's for one product or molecule?

Satyanarayana Chava: I can give broad answer. So the deliveries what we have done in Q3 and what we're going to do in Q4 are for multiple products, not for one product.

Dhirajkumar : Okay. I mean we are good then, In 2021, we supplied PO, and that's the only one product, and then it vanished. I mean, revenue has significantly declined. That's why I asked.

Satyanarayana Chava: There are multiple products, I think. Yes.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Sir, on the CDMO bit, in your presentation, you mentioned that you're working on 70 -plus projects, including several breakthrough designated molecules. Sir, from a CDMO partner perspective, is there any implication we should read into this designation of molecules as fast track as breakthrough molecules? I mean, does it have any impl

ication? What implication does it have as a CDMO service provider?

Satyanarayana Chava: The approvals will be faster for our partners.

Nitin Agarwal: Okay. And you mentioned that there are multiple of such products which are there in our pipeline.

Satyanarayana Chava: Yes. Yes.

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Nitin Agarwal: And sir, such molecules typically would be what? Typically, the orphan drug molecules with smaller sort of scales or these are not necessarily orphan drug products

Satyanarayana Chava: I think I will not answer this question.

Nitin Agarwal: And sir, the other point that you mentioned on the ecosystem for CDMO. Sir, I mean, some of the trends that you mentioned, what implications do they have, positive or negative, for Laurus as a business in whatever changes that you've seen in the landscape over the last few quarters and the things that you're seeing changing for now?

Satyanarayana Chava: I mean there are changes, but those are all positive for us.

Nitin Agarwal: I mean, the point that you mentioned about supply chain optimization by big and midsized pharma, what kind of changes are you seeing on that account, sir

Satyanarayana Chava: I think they are trying to add some key vendors to diversify their supply base. That's what is happening, and we're happy with the way things are going right now.

Nitin Agarwal: Okay. And the last question, what kind of programs do we have for the peptides drugs right now? The big talk of town in terms of GLP -1s and the other sort of products. What kind of capabilities do we have on peptides? And how do we see that part of our business scaling up?

Satyanarayana Chava: I think, see, we are not giving what products we are working, what therapies we are working, we are not giving. So we -- that's giving too much of details. We don't want to give very minute details, which is against our policy now.

Moderator: Next, we have a follow-up question from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: So just on the CDMO or the custom synthesis space, if you could just clarify, this is like more of the exhibit batches' traction, which has come in this quarter? Or this is like subsequent to product approval, the initial buildup commercial activity, that has driven the custom synthesis business quarter-over-quarter?

Satyanarayana Chava: We supplied one commercial launch quantity and multiple registration quantities.

Tushar Manudhane: So this commercial buildup activity will then probably take a breather and then drive the business. Or this is more like a sustainable number to work for?

Satyanarayana Chava: The commercial API, what we supplied in this quarter will continue to be there. We know the forecast. I think that's good for us. And there are several, as I mentioned. The growth doesn't come from one product. Growth came from multiple products, so we're happy that our CDMO division now is well diversified.

Tushar Manudhane: Understood, sir. And lastly, when do we see pickup in the formulation business, where we've seen certain products filed and approved and subsequent launches?

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Satyanarayana Chava: I think overall, our formulation business grew this quarter, and we expect it will do well.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Dr. Satya, culture is always the hidden factor in delivering high science and innovation, and I'm sure you know that more than anyone else. And according to some empirical studies, employees who eat together and kind of engage in social activities out of their labs and workplaces, they tend to perform better at work.

So, I mean, this is in the context of this mushrooming of life sciences global capability centers around Hyderabad. I mean, do you think this poses

a threat in terms of attracting or retaining

talent? And if yes, what is Laurus doing in terms of culture, work-life balance, and creating a more fun at work kind of a climate for disruptive innovation to foster?

Satyanarayana Chava: I think, see, at Laurus, most of our mid- to senior leadership feels this is their company because we give liberal stock options. And also, since many employee spends significant time in the office, unless workplace is happier, the organization will not be happier. We put a lot of effort

to make the workplace a happier, safer place. And most of the time, senior leadership thinks about how we are helping our colleagues to do their job better happily.

And as I mentioned, we also moved from employee well-being to family well-being. We do a lot of programs for not only employees, for their kids, for their spouses as well. So we think we are treating our colleagues as a bigger family.

Sajal Kapoor: That's helpful, Dr. Satya. So in terms of our recent R&D -- with this new R&D center in the Genome Valley, given the mushrooming of these GCCs, I mean, was there any sort of a struggle?

Or we were finding it difficult to attract the kind of talent that we were looking for that new R&D center, given what all is happening in Hyderabad? I mean, there are far too many CDMOs and GCCs in the region. Have you faced any sort of difficulty or employee attrition on the R&D side?

Satyanarayana Chava: That is a very interesting question, Sajal. You see, when it comes to global capability centers, they are more on regulatory, IT, back office kind of, which Laurus is not part of any other programs. When it comes to other CROs, CMOs in the region, I think your point is valid. It is a challenge we have to overcome, and we do that effectively. See, the kind of recruitment drive we do, the kind of opportunities our colleagues see, I think we are happy to take that challenge and then recruit the right talent.

Moderator: The next question is from the line of Bharat from Quest for Value Capital.

Bharat: Regarding this PEPFAR tender, sir, I think it's for 3 years. May I know when is it the current tender getting expired?

Satyanarayana Chava: I think global fund tenders are for 3 years, and they started last year. So it continues for 2 more years.

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Bharat: Okay and the next tender cycle is from '27 then, is it?

Satyanarayana Chava: Yes.

Bharat: And may I know the split of this INR531 crores for this API in split? Can you please give the split up between ARV, Onco and other API?

Satyanarayana Chava: The ARV is INR315 crores.

Bharat: Okay. And Onco the other API?

Satyanarayana Chava: INR216 crores, yes.

Moderator: The next question is from the line of Malhar Sanghavi from Bodhi Capital.

Malhar Sanghavi: Congrats on a good set of numbers. So my first question is, are you planning to reduce the capex

Moderator: Sorry to interrupt. Mr. Malhar, can you please use your handset and speak?

Malhar Sanghavi: Is it better now?

Satyanarayana Chava: Yes.

Malhar Sanghavi: The question was are you planning to reduce capex...

Moderator: Malhar, your voice is cracking. Can you please rejoin the queue again? The next question is from the line of Chirag Shah from White Pine Investments.

Chirag Shah: Sir, I have a question on CDMO again. So if you can just highlight the predictability of the revenue of CDMO as it was a bit more volatile at least on a quarterly basis. So what is the change or the nature of the CDMO revenues that we'll have, which will make it more predictable versus the past? It will be volatile, so I understand that.

But I'm just trying to understand, is there a major change in the nature of CDMO revenue stream?

We did INR400 crores, for example. And looking at the synthesis business altogether, INR400 crores for them in Q3. If we take that as a base, how

should one look at the predictability going ahead of the CDMO business?

Satyanarayana Chava: I think as I mentioned, the pipeline in our CDMO business is robust, and growth came from multiple projects, not from one. And we have a large number of clinical programs running. So I think all of us are aware, it is absolutely impossible for all programs to succeed. It is also difficult to guess all programs fail. And these are coming from multiple big pharma for us. So we believe the chances of success of our CDMO pipeline is very high right now because of the therapy areas where we are involved in those programs. We expect the chances of success is bright. I'll leave at that stage.

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Chirag Shah: So, is it right versus the history? Is there a much bigger pipeline executing at the same time and probability of those achieving success is also higher versus the past? And that will bring in a bit more predictability versus our past? That is the right way to understand?

Satyanarayana Chava: You're right, absolutely. So yes, see, previously, the large PO came and then after that, there is a gap. Now with this growth, we believe it's sustainable growth.

Moderator: The next question is from the line of Vivek Ag arwal from Citigroup.

Vivek Agrawal: So, the question is on 4Q NCE product deliveries that we are talking, right? So, any deliveries happened in 3Q as well? Or it is going to be completely the new supplies that are going to reflect in the 4Q on top of what we have done in 3Q?

Satyanarayana Chava: It's a combination. Yes.

Vivek Agrawal: So, some part of supplies you also made in 3Q as well, right?

Satyanarayana Chava: Yes. We will do more products in Q4. We'll continue to augment our supplies of the launch quantities what we gave in Q3. We'll continue to do in Q4 as well. So, I think I would say the pipeline is robust. So yes, we're happy. Our efforts came to this stage, yes.

Vivek Agrawal: Just one more question on the six ongoing growth projects that you're talking about, including three small molecules, 1 drug product and 2 CGTs. So, is it possible if you can give some more colour on what stage these products are, whether it's a Phase I, Phase II, later stage, or either filed with the FDA

Satyanarayana Chava: In the generic portfolio, two products approvals we expect this quarter or next quarter, so we hope to launch those. And then CGT is very early for us to give any guidance and because our facility is only coming up in FY '26, GMP facility. So I think on CGT, we are only investing, nurturing that. And I think we are happy for the investment what we are doing here.

As we mentioned earlier, our commitment to put about INR120 crores in the facility itself is a good commitment, and we are happy to do that. And we believe our facility will cater to not only for the viral vectors but also the ability to make plasmids for others.

Vivek Agrawal: And just one more, I think, repetitive question earlier participants have also asked. I think it would be super helpful if you can highlight that how many new products that you see that can be commercialized in the next, let's say, 1 year. Or even if you can give a broader range, let's say that like in the next 3 years, we are going to commercialize this number of molecules, especially in the CDMO, that would be super helpful.

Satyanarayana Chava: I think it's difficult to give that number.

Moderator: Ladies and gentlemen, this will be the last question. It's from the line of Malhar Sanghavi from Bodhi Capital.

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Malhar Sanghavi: So, my question was in the presentation, you mentioned that there are around 2,600 scientists and around 1,250 R&D scientists. So, I just wanted to know if you have front-ended the hiring and if we can handle much more amount of molecules if we currently have

the same number of team?

Satyanarayana Chava: That is the intention we opened a new R&D last quarter. And that R&D is as big as our current R&D. And currently, we are not doing much early-phase programs because our late-stage programs are taking away a lot of resources. So, we will offer more early-stage work that will also fill our pipeline. We are augmenting, and we'll augment further our scientific talent to take more clinical programs.

Malhar Sanghavi: Right, sir. And one more question. Are you planning to reduce the capex going forward in the next couple of years because that's been the trend over the last 2 years? So is it going to continue?

Satyanarayana Chava: I think capex-wise, if we see an opportunity, we invest. That's the way, our philosophy, and we continue to do that. If somebody comes in looking for a project, we're happy to invest.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Satyanarayana Chava: Thank you, Nitin, for organizing this call. And also, thanks for all the participants of the call for their outside-in view. And some of the questions asked by you are very thoughtful and also help us to guide our business forward. Thank you.

V. V. Ravi Kumar: Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

(no extractable text — likely a scanned image PDF)

Call: Jul 2025

July 29, 2025

To

The Corporate Relations Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Code: 540222 To

The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Code: LAURUSLABS

Dear Sir / Madam ,

Sub: Transcript of the Q1 FY '26 Results Conference Call hosted on July 25, 2025

Pursuant to Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our results conference call intimation dated July 09, 2025, please be informed that the results conference call for Q1 FY26 was hosted on July 25, 2025 and the transcript of the conference call is enclosed herewith .

This is for your information and records.

Yours faithfully,

For Laurus Labs Limited

G. Venkateswar Reddy
Company Secretary & Compliance Officer

Encl: A/a

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"Laurus Labs Limited
Q1 FY'26 Earnings Conference Call "
July 25, 2025

MANAGEMENT : DR. SATYANARAYANA CHAVA – FOUNDER AND
CHIEF EXECUTIVE OFFICER – LAURUS LABS
MR. V. V. RAVI KUMAR – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – LAURUS LABS

MR. VIVEK KUMAR –AVP, INVESTOR RELATIONS –
LAURUS LABS

MODERATOR : MR. NITIN AGARWAL -- DAM CAPITAL

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July 25, 2025
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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Laurus Labs hosted by DAM Capital. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital. Thank you, and over to you, sir.

Nitin Agarwal: Thanks, Steve. Hi, good afternoon, everyone, and a very good evening and welcome to Laurus Labs Q1 FY'26 earnings call, hosted by DAM Capital Advisors Limited. On the call today, we have representing Laurus Labs management Dr. Satyanarayana Chava, Founder and CEO; Mr. V.V. Ravi Kumar, Executive Director and CFO; and Mr. Vivek Kumar, AVP, Investor Relations. I hand over the call to Dr. Chava to make the opening comments, and then we'll open the floor for questions. Please go ahead, sir.

Satyanarayana Chava: Good afternoon to all our stakeholders. The company made healthy progress to start the financial year with increasing contributions from CDMO business and continued advancement of our pipeline with Big Pharma. We're moving ahead with strong focus on commercial execution, realizing the full potential from mid and late -stage pipeline programs and rapidly enhancing our service capabilities to meet complex needs of our customers and drive future value creation for all stakeholders.

We announced three major capacity expansions during the quarter. First one, microbial fermentation Phase 1 Greenfield project at Vizag; the second one, gene therapy and antibody - drug conjugate GMP facility at Shameerpet. The third one, finished formulation facility in Hyderabad under the K Rka joint venture.

These investments will create more opportunities for growth and further strengthen our ongoing commitment of being a strong manufacturing partner on some of the new technology platforms at scale.

Moving on to our financial results. Our Q1 performance was in line with our expectations with the revenues of INR1,570 crores, reflecting robust demand for our CDMO offerings and continued growth in the formulation business.

Gross margins further expanded and are at 59% range. And EBITDA margins expanded by 10.5 percentage points to close to 25%, following better operating leverage, product and segment mix. As we look forward, we remain confident in our outlook for improved growth in the rest of the year.

To begin, I'd like to share key updates on our CDMO business. We are seeing a very good progress in this division with sustained demand in our high -value integrated offerings. We achieved very strong growth for the Q1, registering a sales of INR493 crores. This growth was Laurus Labs Limited

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mainly driven by several mid - to late -stage NCE deliveries and the increase in sales from new manufacturing assets.

Pipeline momentum was healthy across clinical commercial phase with the mix shifting towards increased Big Pharma projects. In specific, a lot of customer interest seen around biocatalysis, flow chemistry, high -energy chemistry, continuous manufacturing, peptide manufacturing, etc. As on date, we have a pipeline of over 110 active projects, over 90 in Human Health and about 20 in Animal Health and Crop Sciences.

We continue to invest in our capabilities and commercial offerings in line with what market needs. Accordingly, additional capacity buildup is in progress, particularly in relation to complex molecules, including peptides. When it comes to Laurus Bio, our large molecule CDMO division. This division reported subdued Q1 sales of INR29 crores, which was flat year-on-year. The

sales impacted from customer specific scale -up challenges.

However, we remain focused on building strong diversified pipeline across segments and customers. We have a few potential long -term partnerships under discussion with the new and existing CDMO partners, utilizing enzyme engineering platform. As we discussed, construction

work for the commercial scale fermentation facility in Vizag commenced in this quarter. The plan is to create over 400 kiloliter capacity in Phase 1, which is expected to go online by the end of 2026.

We believe the new site will further accelerate on high-quality CDMO service capability and growing our industry position. In Generics, the division reported a growth of 12% and achieved sales of INR1,048 crores. This was mainly supported by volume expansion in both ARV and developed market sales. Quarter also seeing execution of contracts signed last year, which helped the improvements in our capacity utilization.

On filings, we filed over 90 DMFs till date and also 1 dossier filed in formulations and 3 approvals received in Q1. Cumulatively, we have filed 88 products. Overall, demand outlook largely stable in generics business. Our focus continued on rebalancing the generic R&D and manufacturing resources, mainly to enhance product pipeline and meeting the delivery commitments.

On R&D front, overall R&D spending to sales in Q1 was at 4.3%, which is about INR68 crores for the Q1, which was increased by about 6% year-on-year. The expenditure, including our spend on cell and gene therapy. The R&D spend is in line with our full year target, and we continue to invest in portfolio with product-specific approach based on complexity and scale economies besides accelerating the adoption of sustainable technologies.

Let me share brief on quality. In Q1, the company underwent close to 39 quality audits by multiple regulatory as well as key customers. Company has successfully passed audit inspections without any critical findings. In summary, our technology platform commercial performance today continues to enable meaningful advancement of pipeline projects as well as business development opportunities.

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We remain confident in our strategic direction and commitment as the source of value creation now and well into the future. With that, I would like to hand it over to Ravi to share some financial highlights.

V.V. Ravi Kumar: Thank you, doctor, and a very warm welcome to everyone for this quarter 1 FY '26 earnings call. Total income from operations is INR1,570 crores with a growth of 31% year-on-year. And the momentum has come from the CDMO and the Generic division business. Gross margin maintained very healthy, 59%, which is more than 4% due to the better product mix and process improvement efforts apart from that raw material price improvement also.

EBITDA for quarter 1 stands at INR389 crores with a margin of 25%, progressively improved versus full year for FY '25. Profit after tax for quarter 1 is INR163 crores. ROCE stands at 13%. But of course, the continued capex investment, which has not improved, though it has improved by 3% versus FY '25. On the capex front, we invested close to INR265 crores for the quarter. Our net debt stood at INR2,388 crores with a debt to EBITDA of 1.8 versus 2.3 for the last quarter.

On the capital allocation front, our strategy remains unchanged, and we will continue to prioritize investments into high-value business segments to drive near- and long-term growth and returns for our shareholders. You can refer our IR presentation for more details. With this, I would request the moderator to open the lines for Q&A. Thank you.

Moderator: The first question is from the line of Bharat Sheth from Quest for Value.

Bharat Sheth: Yes. Firstly, I'd like to congratulate Dr. Satya and Ravi ji, for delivering a good set of numbers.

And I would also like to especially congratulate Krishna Chaitanya for delivering exceptional CDMO numbers consistently from past few quarters.

And coming to my questions, so there is a significant jump of gross margin in this quarter. It increased by around 500 basis points. We are now at 59.5%. Can we expect this kind of high gross margin will be maintained in future too as the share of CDMO increases? Or do you see it as a one-off and it's too early to expect this kind of high gross margin?

Satyanarayana Chava: If you look at our gross margins over several quarters, we're always informing and also maintaining around 52%. Now you can say as the contribution from CDMO business increases, we expect the gross margins will remain between 55% to 60%. That's what we expect in the coming quarters.

Bharat Sheth: And if you see the past trend, sir, CDMO in Q1 is generally weaker. And as the year passes by, Q2 will be better, and Q3 will be much better and Q4 would be the top. And generally, H2 will be much better than H1. But this time, surprisingly, if you see CDMO in Q1 is very, very strong. It is even better than last year's Q4. So on this base, do you still think H2 will be better than H1 for CDMO in FY '26 too?

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Satyanarayana Chava: The CDMO business, you can't count quarter -on-quarter. But we expect good growth over last year for sure. Our manufacturing and delivery depends on their clinical programs. So it will be bumpy, but we see we are in a good shape right now on our CDMO segment.

Bhara t Sheth: Okay. Good. And my last question is that currently, if you see the current cycle of Global Fund tender, which is generally for 3 years, it is going to end, I think, if I'm not wrong, it will be going to end by end of December. May I know if Laurus has won the next tender cycle?

Satyanarayana Chava: Generally, they will run the tender a little later, end of maybe September, October. See, if you see our trend, we are very successful in getting good share of that tender, and we don't see any challenges there.

Moderator: The next question is from the line of Jeevan Patwa from Sahasrar Capital.

Jeevan Patwa: Sir, firstly, congratulations to the entire team for whatever hard work we have put in the last few years, I think that has started showing the results. I'm very happy for it. Only question I have is on the bio side. So on the food protein side. So we are basically about to set up a facility for 2 million liter and then 4 million liters. So on the food protein side, what is the progress, sir? Are we now started putting any work there? If orders have been placed for the reactor? Where are we in that?

Satyanarayana Chava: As I mentioned, Jeevan, we are installing 400 kiloliters of fermentation capacity in Vizag greenfield project that's the Phase 1. As you mentioned, overall capacity at that site will go to 2 million liters in 2 more phases. In Phase II, Phase III put together, it will go to 2 million liters.

And we have very good visibility about the utilization of that fermentation site, which product, which customer and all. Like we are gaining confidence and gaining visibility in our small molecule CDMO segment. We're also seeing a lot of visibility now what customer, what project, what price, what time lines on our large molecule CDMO. As you were talking about our focus on food proteins, we are focusing also on other proteins, cosmetic proteins, some polymers produced by fermentation. So the offerings are becoming very interesting, which are also at scale.

Jeevan Patwa: Wonderful, sir. And second question I have is on the ImmunoACT. So how do you see the ramp - up in number of capacity, I understand it will come on stream by September. But in terms of the response from the market, I just wanted to understand your feedback on that. How is the response from the market? Are we also seeing

foreign national travelling to India to get this treatment done in India since the cost is much lower?

Satyanarayana Chava: There are some more treatments offered to foreigners. That was based on the hospitals choice. What is also happening, we are also trying to build overseas presence by entering partnership with some Big Pharma in those regions. Maybe in the near future, we'll give you more details on our global expansion of CAR -T therapy using ImmunoACT.

Jeevan Patwa: Okay. Great, sir. And third, last is on the gene therapy, sir. So we are setting up a viral vector facility in Kanpur, right? So any update there, sir?

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Satyanarayana Chava: So there is a change in our approach because our thought process changed from 2,500 square meter facility to 6,000 square meter facility. So there is no space available at Technopark in Kanpur. So we have moved idea of that facility to Hyderabad, Genome Valley, where we have broke the ground for a 6,000 square meter facility. And whatever gene therapy, viral vector and also that building houses antibody drug conjugate GMP facility as well. So because we have added another therapy ADCs, we thought to move to Hyderabad.

Moderator: The next question is from the line of Rahul, an individual investor.

Rahul: Congratulations on the great set of numbers. Dr. Chava, if you can possibly paint a picture for us. Over the last 5 years, we've kind of come a long way and the product mix has changed and now we see the CDMO revenue contributing to 30-plus percent. Last probably 5 years ago, it was less than 10%. At this point, we see the contributions from Bio division to be less than 5%. How do you see this product mix changing 5 years out? What is the vision of the company over there? If you can share a bit on that? I'd be interested in listening.

Satyanarayana Chava: While we continue to focus on our core, which is APIs and integrated offerings in generics, we are also increasing our investments, capex, resources and technology platforms to offer a wide variety of services for late clinical and commercial Human health, Animal health and Crop science programs. As we've mentioned, currently, the CDMO contributes over 30% of our revenue. We expect it will continue to grow. In the near to medium term future, we expect it has the potential to touch 50%. That's our guesstimate.

Rahul: Like just a hypothetical question. At any point in time, do you see these divisions becoming big to the extent that there may be a possibility of listing these as separate entities and business?

Satyanarayana Chava: We don't have any plans for that.

Moderator: The next question is from the line of Chirag Shah from White Pine Investment.

Chirag Shah: Congratulations on a good set of numbers. So my first question is on gross margins that we have seen. Would it be right to assume that the gross margin improvement is driven by non-CDMO business significantly or largely because CDMO gross margins would largely be static in a range, right, maybe 5% deviation here and there.

So would it be a right statement to make that the sharp improvement in gross margin over the last 6, 7 quarters that we are seeing is driven by the non-CDMO business, and it would be now almost closer to what we were 3 years back?

Satyanarayana Chava: If you look at our quarter-on-quarter performance, our revenue decline came from ARVs and other generics, whereas there was a growth from CDMO. So I think these 2 contributed to the gross margin expansion.

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Chirag Shah: But sir, would it be a right statement that in gross margin -- in CDMO, your gross margin would reasonably be stable irrespective of the stage of project, whether it's an early stage or late stage?

Or it materially varies gross margins on the stage of the project that you are?

Satyanarayana Chava:

You are right. Generally, the gross margins remain similar irrespective of stage and scale of the project.

Chirag Shah: Maybe that answers my question. And sir, then in that case, which part of the non-CDMO business has been contributing to margins? Because if I do some mathematics, there is a significant improvement of almost 700 bps to 1,000 bps in non-CDMO gross margin. So is it the ARV part or FDF part which is driving? Or if you can just share some light?

Satyanarayana Chava: It's majority came from non-ARV.

Chirag Shah: Major came from non-ARV. And is there further scope of improvement growth there? Or rather what is driving that non-ARV performance?

Satyanarayana Chava: It's based on some shipments. As I mentioned, we expect the gross margins remain between 55% to 60%. Earlier we used to say around 55%. Now we are saying it will be between 55% to 60%.

So that's very healthy, and we expect we'll be able to maintain that.

Chirag Shah: Sir, one last question. Any prebuying that you have witnessed or any indication of prebuying given the perpetual risk of some tariff that could come across? Sir is there any prebuying that you are witnessed from your customers?

Satyanarayana Chava: I think it's a very difficult question to guess an answer because we have to wait. And as you have seen from our results. See our dependency on formulation sales to U.S. are not that significant. So yes.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just on CDMO business, now that the animal health facility is commissioned, even agrochemical. So has this contributed meaningfully for the CDMO business for the quarter? Or the other way to ask is if you could break the CDMO business into Human health, Animal health and the Agrochemical and Ingredients?

Satyanarayana Chava: The contributions from Human health and Animal health were there in this quarter. Nothing significant from crop sciences in this quarter.

Tushar Manudhane: So will that come up in the coming quarters? Is that the fair assumption or it would take some more time

Satyanarayana Chava: We expect meaningful revenues from crop sciences will only come next financial year.

Tushar Manudhane: Sir, just more on this aspect. From a return on investment perspective, like the KL facilities whether to utilize for the ingredients, for Human health or Animal health or Crop sciences. Now

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sort of is it the similar chemistry and hence, it's just a different application or how to think about it strategically for next 5 to 6 years?

Satyanarayana Chava: So the facilities for animal health are segregated and dedicated. We can't use that for Human health or Crop sciences. Similarly, the Crop science facilities are also segregated and dedicated. So those can be used for only Crop sciences. So interchangeability of these 2 facilities are not possible. Whereas Human health, we have large capacity where we can do these projects in multiple sites at multiple scales.

Tushar Manudhane: Understood, sir. And just lastly on Bio side, where there has been certain issues with the customer. So probably if that customer comes back or if we have new customers, like tentative timeline approximately for this business to sort of revive

Satyanarayana Chava: There is no challenge. It's only delay. The project now the bottleneck was resolved. Things are back to normal. And we don't see any big challenge achieving what numbers we thought at the beginning of the year.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Yes. Dr. Satya, any progress update you can share regarding the Willow Bio and AI -driven bioengineering platform partnership we are progressing with? I mean what advantages does bioengineering provided over conventional che mic

al synthesis in terms of efficiency, cost and sustainability, please?

Satyanarayana Chava: Sajal what programs we are working with Willow using their AI -driven enzyme engineering platform, primarily hydroxylation platform. Adding hydroxy groups on stereo idal backbones.

That's the one we are working. There are multiple programs. Maybe in this financial year, one program will go from lab to pilot mode. And we expect 2 more programs in the next financial year.

Sajal Kapoor: And do we expect the learnings out of this program to be kind of integrated into some of our future ventures? I mean because Bio is a very emerging promising area and we are just exploring the unhealthy tip of the iceberg.

Satyanarayana Chava: Our partnership with Willow is primarily meant for steroids and hormones . Our Bengaluru team is doing development, whereas Willow is doing research. I think they identify the enzyme and then they give it to Bengaluru team for optimization. So that partnership is working well. And currently, we are not intending to use that technology on any other program right now.

Sajal Kapoor: Okay. Understood. Ravi ji, this new capex investment of over INR5,000 crores that you have announced in Andhra Pradesh, I guess will be executed over multiple phases and years. So if my assumption is correct, can we, therefore, anticipate maintaining a healthy net debt -to-EBITDA ratio despite this massive growth capex ?

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V.V. Ravi Kumar: Yes. As we indicated before, we are going to invest INR5,000 crores in the next 5 -year time. I think internal cash flows will be sufficient to take care of it. As we indicate, we don't want to make our net debt more than 50% of our revenue at any point of time.

Sajal Kapoor: Sure. And finally, in the context of Trump's make in America, Big Pharma is investing heavily in biologics, gene therapies, weight loss drugs, even diagnostics and more to expand capacity and strengthen their supply chain. So many of them from Roche to AstraZeneca to Eli Lilly, almost all of them have announced multibillion dollar capex in the U.S. So how will these investments by innovators in the U.S. affect the outsourcing and CDMO industry?

Satyanarayana Chava: These Big Pharmas have a very large pipeline. Maybe part of the supply chain will be located in U.S., part of the supply chain located outside. We have to see how it evolves. Everybody is announcing a lot of investments in U.S. But we don't see beginning of impact. So as you mentioned, they will not move core chemistry to U.S. They may move cell and gene therapy, finishing steps. So the demand for intermediates will remain constant or increasing maybe.

Sajal Kapoor: And maybe small molecule APIs as well, that's not going to move to U.S.

Satyanarayana Chava: Yes. That's what we believe, yes.

Moderator: The next question is from the line of Vivek, an individual investor.

Vivek: I have a question regarding the Laurus Bio, sir. You have mentioned that there is a pricing challenge in that particular slide for the Laurus Bio. Could you please share the details on the pricing challenge? And the second question is that how big it can become in the next 5 to 10 years at Laurus Bio itself?

Satyanarayana Chava: See, the pricing challenge at Bio pertains to hiring reactor months to product billing. So that was the one shift happened because in the trials since we don't know how many days fermentation will take, how many days the downstream processing happens. So customer used to pay per month or per batch. Once the product stabilizes, then the billing will go to per kg. So that's the pricing shift happening for them when the product mature.

And the question regarding the opportunities in the next 5 years, we see significant potential. That is the reason we are investing a lot of money in greenfield projects. As we mentioned, the Phase I itself, we

are creating 400 kiloliters capacity and eventually, it will go to 2 million liters fermentation capacity.

Moderator: Next question is from the line of Abhijit, an individual investor.

Abhijit: Yes. Great set of numbers. I have a question with regards to the FDF. If you can see on a quarterly basis, there has been a reduction. The volatility in these numbers have been there for the last 4 quarters as in the presentation. So is this going to continue? Is there any stability that is going to be there in the generic FDF and generic portfolio? That's one question.

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Satyanarayana Chava: The majority delta in our sales in FDF is coming from how many millions of packs of

antiretroviral we are shipping in the quarter. So overall, we are shipping the same numbers, but depending on the approvals from various countries to ship logistics and all, revenue recognition because most of them are sea shipments. So those are the factors contributing to the variation in the generic formulation sales.

Abhijit: Okay. My next question is with regards to this crazy move that every body is making in India and globally about peptides and the opportunity for GLP -1 and weight loss drugs basically and also other peptide products. Is there any opportunity that is available for Laurus also in this space?

Satyanarayana Chava: We believe so.

Abhijit: Okay. You don't want to go more further about it? I mean you don't want to disclose, I guess. Is that correct?

Satyanarayana Chava: Yes.

Moderator: The next question is from the line of Ankush Mahajan from Santam Wealth.

Ankush Mahajan: Congrats for a good set of number. Sir, can I get a breakup of this INR5,000 crore capex, how much is going for the CDMO over the next 5 years?

V.V. Ravi Kumar: No, we have not disclosed that. It will interchange based on the business opportunities.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal.

Tushar Manudhane: Just a bookkeeping question on the ARV business, if you could give break up of formulation and API please?

Satyanarayana Chava: Yes. Just give me 1 minute, we'll give you the ARV APIs is INR363 crores and formulations is INR284 crores. About INR640 crores both put together.

Tushar Manudhane: The non -ARV formulation we've seen a bit moderate run rate over the past maybe few quarters, if you could share how we sort of think of growing business in this segment?

Satyanarayana Chava: We are expanding our capacity for non -ARV formulations and which will be qualified by end of this year. So we can expect non -ARV formulations should grow from Q4 onwards.

Tushar Manudhane: But on the product approval side also, there has been bit slow, correct me if I'm wrong.

Satyanarayana Chava: Revenue growth primarily comes from contract manufacturing of integrated formulations, both the API and FDF. We are doing tech transfers. Once the capacity is qualified, we don't see lag in revenues.

Moderator: The next question is from the line of Chirag Shah from White Pine Investment.

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Chirag Shah: And sir, apologies on going back to the gross margin point. So on the non -ARV side, would it be a right statement that we are almost at the peak gross margins that we had in the past, say, around 2021? On the non -CDMO aggregate gross margin, which could be a function of which I'm not going into those details. But non -CDMO gross margin would be closer to the peak maybe of FY'21 or '22 that we had?

V.V. Ravi Kumar: Yes, it's a difficult, but maybe closer.

Satyanarayana Chava: You are right we had a very good gross margin. I'll put it that way.

Chirag Shah: Yes. Sir, my actual question is, so what are we doing from here on to improve that part, that piece of gross margin further?

Satyanarayana Chava: As we grow our CDMO business, today, we

haven't achieved operational efficiency, still a lot

of unutilized capacities and all. As we grow our revenues, we are not going to grow our R&D and quality staff proportionately. We are going to increase other expenditure proportionately. If you look at when our revenue was less, our cost of employees went up to 16%, 17%. Sometimes it was around 10%. So we are at the beginning of that benefit to operational efficiency.

Yes. Once we improve revenues, our percentage of expenditure will come down. So that is another metric, which will help us to improve our numbers, EBITDA as well as return on capital.

Chirag Shah: Sir, my question was more on the non -CDMO gross margins, is our business mix changing that it can see a significant uptick from what was the historical peak on the gross margin because that will directly flow through EBITDA and PAT also in that sense. So is the business model changing where we can see a higher peak gross margin in non -CDMO piece?

Satyanarayana Chava: I think there is no business mix change. There's only product change. In some products, we get more margins, maybe we might shift in this quarter. So it is fundamentally the business is not changing significantly.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Doctor, on the CMO business, which we have in both API and formulations, can you give us some color on when do you see momentum picking up on those pieces? Because we've seen sudden flattening out of the API business in the formulation business except of ARVs also, we've not seem to have picked up much over the last few quarters.

Satyanarayana Chava: It will pick up from Q4 onwards, Nitin, yes.

Nitin Agarwal: This is driven by certain specific contracts? Or what will drive the timing from Q4 onwards on these businesses?

Satyanarayana Chava: Right now, the tech transfer batches are going on in formulations. And the capacity enhancement is also going on parallelly. So both we expect will be handy to get higher supplies and higher revenue from Q4 onwards.

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Nitin Agarwal: And for the APIs?

Satyanarayana Chava: API, what is happening with that contract, we are doing more integrated. So we're making API and converting that into formulations. So we don't expect the contract manufacturing or API revenues will grow. It will not grow to the extent formulations are growing.

Nitin Agarwal: Got it. And sir, on the API business, except of the ARVs, last year, we had a bit of a slump in the oncology part. I mean, till the time you were disclosing that. I mean, how do we see the non-ARV API piece going forward? Are we seeing momentum coming in that business at some point in time?

Satyanarayana Chava: Not in the next few quarters.

Nitin Agarwal: And sir, what is the reason because of which there has been some challenge on this piece over the last?

Satyanarayana Chava: It's not a challenge is by choice, actually. The reason is we have allocated more resources to take up more CDMO projects instead of allocating to a significant number to generic API development. So we took that as a decision made by internal people.

I think we are also expanding our R&D strength. Once that is done, we will put resources back in development, validation of generic APIs. We also need capacity to do that. So there are multiple things. So right now, we made an informed decision internally to allocate resources to CDMO projects.

Nitin Agarwal: Okay. That makes sense. And sir, on the CDMO business, I think the question was asked earlier also, sir, because we've had 3 very strong consecutive quarters on the business. The growth has come through sequentially for the last few quarters on a Q-o-Q basis. Now on this base, sir how should we think about quarterly growth for this business? Is it going to be linear? Or we expect some lumpiness as we go

forward?

Satyanarayana Chava: Overall year, we can comment it's going to be a healthy growth.

Nitin Agarwal: Okay. And probably some volatility on a Q-o-Q basis as we go through the quarters?

Satyanarayana Chava: We are not expanding that because of ARVs some business, we know very clear. See, it's not that we will get an order for CDMO in July and we deliver in September. It's not that. So this is a long lead time, we know very clear what molecule we're making, how much we are making, which is the customer, what price and all pretty well for this year. So we see comfortable and we expect good growth in CDMO revenues overall for the year.

Nitin Agarwal: And sir, if you can on the CDMO part, how many products are we supplying against which you're doing commercial supplies at this point of time. And typically, how should we think about typically given your pipeline, how many new products can get commercial typically on an annual basis given the pipeline over the next couple of years?

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Satyanarayana Chava: It's difficult. We don't want to guess that number and confuse all the investors. So I think as you have mentioned, we have grown significantly in CDMO quarter-on-quarter for the last 5 quarters. And the numbers only will speak. That's what we don't want to forecast our partner products, yes. So when it comes to ARV, we are telling we'll be around INR2,500 crores plus or minus INR200 crores. We have visibility there. In CMO in generic, we have visibility. In CDMO, we don't want to guess and give a number.

Nitin Agarwal: Got it. And sir, in your opening comments, you made a few references to the fact that a lot of Big Pharma contracts supplies have started or are scaling up for our CDMO business. I mean, sir, if you can just probably on the studies, when you highlight the Big Pharma part, how should one read it? Is it essentially leading to larger contracts or these are more strategic partnerships?

V.V. Ravi Kumar: And Nitin, I think we are going beyond on the CDMO.

Satyanarayana Chava: I think we cannot disclose more than what we have done.

Moderator: The next question is from the line of Foram Parekh from Bank of Baroda.

Foram Parekh: Congratulations on a very good set of numbers. There was one comment made on the CDMO side, which was very big, that the contribution is now 30% of the sales, and we expect it to touch 50%. So can you give some more clarity? I mean, by when can we expect this kind of contribution to come in from CDMO?

Satyanarayana Chava: We mentioned it has a potential to go there. And we are not attaching any year to that. Okay.

Foram Parekh: Yes. But like somewhere in 5 years down the line, can we expect this kind of potential run rate?

Satyanarayana Chava: We are not giving any forecast there.

Foram Parekh: Okay. And secondly, on the ADC front, we have mentioned a couple of times that we endeavor to go into the ADC side also. So may I ask which part of the ADC are we looking at? Is it the payloads, linkers, bioconjugation? Any color on that?

Satyanarayana Chava: See, we already make payloads and linkers. And we don't want to make mabs. We'll do conjugation, purification and fill finish. That's the infrastructure resources we are building. Internally, we make payloads, linkers and then do bioconjugation, purification and fill finish. We will not make Mabs.

Foram Parekh: Okay. Got it. And out of this INR5,000 crore capex that we have announced, would it be possible to give some color there, like how much capex would go towards the ADC side?

Satyanarayana Chava: This new INR5,000 crore capex is in Vizag, none of that capex will go to ADC.

Moderator: The next question is from the line of Gaurav from Antique Stockbroking.

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Gaurav: This quarter, we've seen a significant jump in your employee expenses, almost 21% quarter-on-

quarter, year-on-year. Any nonrecurring expenses here? Or this is the new base?

V.V. Ravi Kumar: The part is nonrecurring in the sense, once in a year, actually, we are giving a long-term service awards for the people who stayed with us for a longer period. And of course, there is an increment over the last year, last quarter. That's also reflected apart from the additional manpower.

Gaurav: So quarter-on-quarter, we may see some decline in Q2, right, from this?

V.V. Ravi Kumar: I don't say decline, but it will not have that kind of an increase.

Satyanarayana Chava: We're also expanding our team strength. So we keep on recruiting more and more to our expanded facilities. So it will maybe you can consider that as a new norm maybe.

Gaurav: Got it. On the ARV side, we've seen year-on-year growth in this quarter, but you're still maintaining your guidance of no growth for an overall full year basis. Any particular reason why still you're not seeing growth in this segment for the full year? Is it just uncertainty on the global tender?

Satyanarayana Chava: We kept some margin. We have seen significant price drops in ARVs. If there is no price drop, we may go a little better. If there is a price drop, our incremental volumes will compensate the price drop. So we are keeping that cushion when we are committing INR2,500 crore ARV plus or minus INR200 crore.

Moderator: Mr. Gaurav, does that answer your question?

Satyanarayana Chava: He must be dropped off.

Moderator: Yes, sir. We'll move on to the next question, it's from the line of Yasser.

Yasser: Congrats on a great performance. I like some qualitative inputs in terms of CDMO business. Is it large volume sort of chronic drugs? Are they in the rare or orphan space? Secondly, also what could be our mix between, say, Big Pharma and small biotech on the CDMO business?

Satyanarayana Chava: We can't give you therapeutic mix of our CDMO revenue. But the majority of revenues are coming from medium and Big Pharma, very less from small and virtual biotechs.

Yasser: Are we the primary source in these cases? Are these projects where Big Pharma customers want to diversify the supply, and we are probably a second source. Any sort of insights on that would be helpful.

Satyanarayana Chava: I think those insights are very difficult to divulge. I'm sorry.

Moderator: The next question is from the line of Abhijeet, an individual investor.

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Abhijeet: I have a question with regards to the debt. So the net debt for EBITDA right now is 1.8.

Obviously, it's come down because your EBITDA has gone up. What is the management's guidance for the debt over the next 2 years or next 3 years?

V.V. Ravi Kumar: We are not expecting a significant increase in the debt. So as we have said we will try to manage with 50% of our revenue levels, the annual revenue levels. That means debt by EBITDA, maybe 2, 2.5 is max.

Abhijeet: Okay. So 2, 2.5 is the maximum net debt to EBITDA levels. But the INR5,000 crore that you're going to plan to do in the next, I presume, next 3 to 4 years, right? We will not do it overnight. It will be 3 to 4 years.

Satyanarayana Chava: That's 4 to 5 years.

Abhijeet: Okay, 4 to 5 years, you are going. What is the breakup? Like are you going to do internal accruals or you are planning to do more JVs with other companies? Or you want to do mostly everything yourself?

V.V. Ravi Kumar: Mostly from the Laurus Labs side and majority of funding will be through internal accruals.

Abhijeet: Okay. And another question is with regards to the business strategy. Are you looking at more opportunity because of this tariff tantrum that is happening around in the U.S.? I know that

Laurus does not have a large amount of exposure to the U.S. market directly apart from the generics. In the other space more complex drug products, is

there any opportunity that is coming about? Are there any meetings going on with the large companies?

V.V. Ravi Kumar: No.

Satyanarayana Chava: No.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Sir, the first question is on the CDMO piece. Is it possible to understand within CDMO revenue breakdown in terms of what is coming from commercial supplies and what is coming from Phase I, Phase II, Phase III and how that will evolve over the next 2, 3 years?

Satyanarayana Chava: We are not dissecting those numbers into commercial Phase III, Phase II, Phase I and customer. That's we can't divulge customer and products. So I'm afraid, we can't give you that breakup.

Gagan Thareja: Okay. The second question is, as the percentage of CDMO in your total sales rises and since CDMO is a higher gross margin business for you, is it reasonable to assume that it will take the aggregate or average margin -- overall margin trajectory of the company upward?

Satyanarayana Chava: Yes. As the contribution and percentage from CDMO growth, we expect both gross margin and EBITDA margins should continue to go up.

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Gagan Thareja: All right. And sir, final one is on the ARVs, lenacapavir and cabotegravir, both have issued voluntary licenses. Even WHO today now seems to stand very strongly behind bringing in lenacapavir advocating for lenacapavir as probably the preferred treatment and bringing it in the emerging markets as well via the voluntary license route. So first question is, would Laurus have an opportunity in lenacapavir?

Satyanarayana Chava: We are not part of the licensee of lenacapavir. And the Lenacapavir will be part of the guidelines for prevention rather than the treatment. That's one. And the cabotegravir, rilpivirine we have developed API. And we have a few partners using our APIs. Lenacapavir, we are not part of the licensee.

Nitin Agarwal: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Satyanarayana Chava: Thank you, Nitin and DAM team for hosting this Q1 investor conference call. And thanks for asking very pertinent questions, all the stakeholders. Thank you.

V.V. Ravi Kumar: Thank you.

Nitin Agarwal: On behalf of DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

(no extractable text — likely a scanned image PDF)

Call: Jan 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

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